

**UNITED STATES BANKRUPTCY COURT
SOUTHERN DISTRICT OF NEW YORK**

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In re:	:	Chapter 11
	:	
ENRON CORP., <i>et al.</i> ,	:	Case No. 01-16034 (AJG)
	:	
Debtors.	:	Jointly Administered
	:	
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APPENDIX B

(Role of Andersen)

to

**FINAL REPORT OF NEAL BATSON,
COURT-APPOINTED EXAMINER**

Reference is made to the preceding Final Report of Neal Batson, Court-Appointed Examiner (the "Report"). This Appendix constitutes an integral part of the Report. All capitalized terms not otherwise defined herein shall have the meanings set forth in the Report.

TABLE OF CONTENTS

I.	INTRODUCTION	1
A.	Overview	1
B.	Andersen's Potential Liability	5
II.	HISTORY OF THE ANDERSEN/ENRON RELATIONSHIP	9
A.	Andersen's Services to Enron	9
B.	Fees	28
C.	Andersen's Independence	31
III.	ENRON'S BANKRUPTCY AND THE DEMISE OF ANDERSEN	39
A.	The Final Months of the Enron/Andersen Relationship	39
B.	Andersen's Conviction and Current Status	59
IV.	ANDERSEN'S ROLE IN ENRON'S SPE TRANSACTIONS	62
A.	Three Errors Acknowledged by Andersen	62
B.	Evidence of Enron's Deception of Andersen	63
C.	Andersen's Role in the Prepay Transactions	68
D.	Andersen's Role in the FAS 140 Transactions	85
E.	Andersen's Role in the Non-Economic Hedges	94
F.	Andersen's Role in the Tax Transactions	105
G.	Andersen's Role in the Nahanni Transaction	126
H.	Conclusions on Andersen's Role in Enron's SPE Transactions	130
I.	Andersen's Interaction with Enron's Audit Committee	131
V.	POTENTIAL LIABILITY OF ANDERSEN	156
A.	Arguments Supporting the Imposition of Professional Malpractice and Aiding and Abetting Liability	156
B.	Arguments Against the Imposition of Professional Malpractice and Aiding and Abetting Liability	164
C.	Conclusion	167

Annex 1 – Summary of Raptor Memoranda

Annex 2 – Legal Standards Applicable to Andersen

I. INTRODUCTION

A. Overview

Arthur Andersen LLP (“Andersen”) audited Enron’s annual financial statements and opined that they fairly presented, in all material respects, Enron’s financial position, results of operations and cash flows in accordance with GAAP.¹ In the fall of 2001, Andersen discovered certain material errors in Enron’s financial statements. Within months of that discovery, Enron filed its bankruptcy petition.

The discovery by Andersen in the fall of 2001 of material errors in Enron’s accounting contributed to the velocity of Enron’s demise in the last months of 2001. Despite the dramatic conclusion to the relationship between Enron and Andersen, however, the events of these final months are but a small part of the story of how Enron’s management involved Andersen in the most complex public company accounting fraud in history.

Putting aside the mistakes Andersen acknowledges having made, the evidence suggests that Enron officers withheld information from Andersen in numerous instances in which, had Andersen known of the actual facts, Andersen would not have approved Enron’s misleading accounting and disclosure for the particular transactions involved. The story of Andersen’s role in the rise and fall of Enron, however, cannot be explained simply by the fact that in some cases Enron’s officers withheld material information from

¹ See Enron Annual Report 2000 (the “Enron 2000 Annual Report”), at 30. Andersen also issued separate letters opining that the assertion by Enron management that Enron’s system of internal control was adequate to provide reasonable assurance as to the reliability of its financial statements and the protection of its assets was fairly stated in all material respects. Enron was formed in 1985 upon the merger of Houston Natural Gas and InterNorth Pipeline (“InterNorth”), and Andersen became the auditor for the resulting company. Prior to the merger, Andersen was the auditor for InterNorth. See InterNorth, Inc., Schedule 14A filed with the SEC on Feb. 27, 1984, at 32 (in connection with annual meeting of stockholders held on April 10, 1984) [ELIB00004764-00001-ELIB00004764-00070].

Andersen or that Andersen made the several mistakes that it has acknowledged. Transcending these circumstances, the evidence suggests a concerted effort over a period of years by Andersen to assist one of its largest clients in taking advantage of rules-based GAAP accounting in order to present financial information to the public that made it appear that Enron's income, cash flow and financial position were materially more robust than was the case.

As discussed in more detail below, the evidence reviewed by the Examiner is sufficient for a fact-finder to conclude that Andersen breached its duty of care and was negligent as to certain portions of work it performed for Enron. In public statements and testimony, Andersen has acknowledged that it made material errors. The Examiner has reviewed evidence that suggests additional acts of negligence beyond those previously acknowledged. This includes evidence indicating Andersen's failure to discharge its duties in communicating with Enron's Audit Committee, as well as evidence indicating a failure to perform appropriate audit procedures to learn of facts that were critical to Andersen's understanding of the SPE transactions.

Beyond instances of negligence, the Examiner has also determined that a fact-finder could conclude that, in connection with certain transactions, Andersen aided and abetted Enron officers in breaches of fiduciary duty. The evidence suggests that, on multiple occasions, Andersen accountants had actual knowledge of the wrongful conduct giving rise to breaches of fiduciary duty by Enron officers with respect to those transactions, and gave substantial assistance to those officers by: (i) approving accounting that made Enron's financial statements materially misleading; and (ii) not communicating to the Audit Committee in accordance with applicable standards.

In this Appendix, the Examiner reviews the evidence relevant to the foregoing conclusions, including evidence related to:

- the types of audit and other services Andersen rendered to Enron;
- the deployment of Andersen personnel, including: (i) its engagement team in Houston and other locations (the “Engagement Team”); (ii) its GAAP accounting experts within its Professional Standards Group (the “PSG”) at its headquarters in Chicago; and (iii) its “on-call” group of experts in New York;
- the fees Andersen received for its services;
- factors relevant to Andersen’s independence in certifying Enron’s financial statements;
- Andersen’s role in designing and approving accounting techniques that Enron used to manipulate its financial statements, including specific errors that Andersen has acknowledged; and
- Andersen’s interaction with Enron’s Audit Committee.

As discussed in this Appendix, evidence would permit a fact-finder to conclude that Andersen was negligent as to, and aided and abetted breaches of fiduciary duties in connection with, a variety of Enron’s accounting techniques. In particular, the evidence reviewed by the Examiner is sufficient to permit a fact-finder to conclude that:

- Andersen assisted Enron’s abuse of rules-based GAAP by helping Enron design accounting techniques or “models”² that Enron could use in order to report income, cash flow and financial position more favorable than if the financial statements and related disclosures faithfully represented the economic substance of the transactions.³

² These “models” include each of the six accounting techniques described in the Examiner’s Second Interim Report. *See generally* Second Interim Report; *see also* discussion below in the *Andersen’s “Continuous” Audit of Enron and Accounting Consultation* Section of this Appendix.

³ Qualitative Characteristics of Accounting Information, Statement of Financial Accounting Concepts No. 2 (Financial Accounting Standards Bd. 1980) (“FAC 2”), ¶¶ 47-97. In responding to one of his colleagues who suggested that a particular accounting result might violate Financial Accounting Concepts requiring faithful representation of the underlying transaction, John Stewart of the Andersen Professional Standards Group (the “PSG”) stated, “The conceptual framework has little to do with how we in practice respond to day to day questions. . . . As you know, the FASB’s conceptual framework was developed

- Andersen failed to exercise due care in auditing whether the intermediaries used by Enron in its Prepay Transactions were SPEs,⁴ and whether the 3% equity investments in the SPEs utilized by Enron in its FAS 140 Transactions were at risk.⁵
- Andersen failed to discharge its duty under applicable auditing standards to “determine that the audit committee is informed about the methods used to account for significant unusual transactions and the effect of significant accounting policies in controversial or emerging areas for which there is a lack of authoritative guidance or consensus.”⁶

With Andersen’s certification of Enron’s annual financial statements, Enron portrayed itself as a thriving, fast-growing, diversified global energy and communications conglomerate and thus attracted billions of dollars in debt and equity financing. As indicated in the Prior Reports, Enron’s financial statements and related disclosures were materially misleading. For example, virtually all of Enron’s \$979 million of net income and \$3 billion of funds flow from operations for the year 2000, and approximately

primarily to help the FASB itself as it developed new standards not so much to aid practice on a day to day basis.” Email from John E. Stewart, Andersen, to Kieva M. Skinner, Andersen, and copy to H. Ronald Weissman, *et al.*, Andersen, regarding ANZ Transaction, Aug. 9, 1999, at 1 [AB0633 2448-AB0633 2456]. As discussed in the Examiner’s Second Interim Report, Financial Accounting Concepts are not contained within the GAAP hierarchy. *See* Second Interim Report, Appendix B (Accounting Standards); *see also* Objectives of Financial Reporting by Business Enterprises, Statement of Financial Accounting Concepts No. 1 (Financial Accounting Standards Bd. 1978), ¶ 3.

⁴ As discussed below in the *Accepting Questionable Audit Evidence* Section of this Appendix.

⁵ As discussed below in the *Evidence of Enron’s Deception of Andersen* Section of this Appendix.

⁶ Communication with Audit Committees, Statement on Auditing Standards No. 61 (American Institute of Certified Public Accountants 1988) (“SAS 61”), at § 7. Similarly, the evidence suggests that Andersen failed to discharge its duty under applicable auditing standards to have an “open and frank” discussion with Enron’s Audit Committee concerning the “quality, not just the acceptability, of [Enron’s] accounting principles as applied in its financial reporting” and by failing to discuss “items that have a significant impact on the representational faithfulness . . . of the accounting information included in the financial statements, which include related disclosures.” Audit Committee Communications, Statement on Auditing Standards No. 90 (American Institute of Certified Public Accountants 1989) (“SAS 90”), at § 1 (amending SAS 61) (effective for audits of financial statements for periods ending on or after December 15, 2000); *see also* discussion below in the *Andersen’s Interaction with Enron’s Audit Committee* Section of this Appendix. Statements on Auditing Standards, normally cited as “SAS (statement number),” were also codified, as issued, into the Codification of Statements on Auditing Standards by the American Institute of Certified Public Accountants (cited as “AU (section number)”). Such codifications for the SAS 61 and SAS 90 quotes above are AU § 380.07 and AU § 380.11, respectively. Where a SAS is cited, a short citation to the related AU codification is provided for ease of reference.

\$8.6 billion of full recourse indebtedness not reflected on Enron's balance sheet as of December 31, 2000, were attributable to six accounting techniques used by Enron.⁷

In light of this evidence and applicable legal standards, the Examiner concludes that a fact-finder could determine that Andersen is liable to the Debtors for professional negligence and for aiding and abetting breaches of fiduciary duties by Enron's officers. Andersen would be able to raise factual and legal defenses to such claims, however, including defenses based on statutory proportionate responsibility and the doctrine of *in pari delicto*, both of which would be related to deception or other misconduct by Enron officers in certain transactions.

The Examiner has reviewed a substantial amount of evidence, including documentary and testimonial evidence, and has noted reasonable inferences that could be drawn from the evidence. A fact-finder may draw alternative or contrary inferences from the same evidence. Moreover, as described above, there are certain defenses to negligence and aiding and abetting available to Andersen, many of which arise from the evidence of Enron officers' deception of Andersen. Whether Andersen will succeed on one or more defenses will depend upon the fact-finder's resolution of the facts.

B. Andersen's Potential Liability

Professional Malpractice

As discussed in more detail below, the Examiner has determined that there is sufficient evidence, including the testimony of Andersen partners and related

⁷ Second Interim Report, Appendix Q (Schedule Depicting Impact of Enron's Six Accounting Techniques). Enron's 2000 financial statements were not the only materially misleading financial statements. For example, all of Enron's 1999 cash flow from operations was attributable to just two transactions in which Enron used its accounting techniques – the Nahanni Minority Interest Transaction (\$500 million of operating cash flow) and the Yosemite I Prepay Transaction (\$800 million of operating cash flow). Third Interim Report, Appendix D (Role of Citigroup and its Affiliates), at 13, 14.

documentary evidence admitted in the Andersen criminal trial, for a fact-finder to conclude that Andersen was negligent in rendering its services to Enron.

Aiding and Abetting Breaches of Fiduciary Duties

The Examiner determined in the Third Interim Report that there is sufficient evidence for a fact-finder to conclude that certain of Enron's officers, including those responsible for Enron's accounting and disclosure, breached their fiduciary duties under applicable law by causing the Debtors to enter into certain SPE transactions that were designed to manipulate the Debtors' financial statements and that their breaches of duty resulted in the dissemination of financial information known to be materially misleading.

In this Appendix, the Examiner discusses evidence from which a fact-finder could conclude that:

(i) Andersen had actual knowledge of the wrongful conduct giving rise to breaches of fiduciary duty by Enron's officers;

(ii) Andersen gave substantial assistance to those officers by (a) designing and approving the accounting and disclosure of certain transactions that Andersen knew had no business purpose other than to manipulate the Debtors' financial statements, and (b) misleading the Enron Audit Committee about the manipulation; and

(iii) injury to the Debtors was a direct or reasonably foreseeable result of this conduct.

Accordingly, the evidence discussed, and the reasonable inferences that may be drawn from that evidence, are sufficient for a fact-finder to conclude that Andersen aided and abetted Enron's officers in breaching their fiduciary duties.

Defenses Available to Andersen

While the evidence, and the reasonable inferences that may be drawn therefrom, are sufficient to create issues of fact concerning the liability of Andersen for negligence and for aiding and abetting breaches of fiduciary duties by Enron's officers, Andersen would be able to raise factual and legal defenses to such claims, including defenses based on statutory proportionate responsibility and the doctrine of *in pari delicto*.⁸ Many of those defenses would arise from facts suggesting that Enron officers deceived Andersen.

As discussed in Prior Reports, the Examiner has concluded that Enron's accounting for the SPE transactions violated GAAP in a number of respects. With respect to some of these violations of GAAP, there is evidence that certain of Enron's officers and others acting at their direction concealed material facts from Andersen that would have precluded Enron's desired accounting treatment if Andersen had been made aware of those facts. For example, as discussed later in this Appendix, Andersen accountants have indicated that they were unaware that Enron officers had entered into side agreements guaranteeing repayment of equity that was supposedly "at-risk" in Enron's FAS 140 Transactions.⁹ Andersen accountants also have indicated that, had they known this information, they would not have approved Enron's accounting for those

⁸ See Annex 2 to this Appendix.

⁹ In-Person Interview with Kimberly Scardino, Andersen, by H. Bryan Ives, III, A&B, May 29, 2003 (the "Scardino Interview"); Sworn Statement of Debra A. Cash, Andersen, to H. Bryan Ives, III, A&B, June 5, 2003 (the "Cash Sworn Statement"), at 139-42; Sworn Statement of Carl E. Bass, Andersen, to H. Bryan Ives, III, A&B, June 4, 2003 (the "Bass Sworn Statement"), at 31-32; In-Person Interview with Benjamin S. Neuhausen, Andersen, by H. Bryan Ives, III, A&B, June 13, 2003 (the "Neuhausen Interview"); In-Person Interview with John E. Stewart, Andersen, to H. Bryan Ives, III, A&B, June 12, 2003 (the "Stewart Interview"); Sworn Statement of Patricia Grutzmacher, Andersen, to H. Bryan Ives, III, A&B, June 11, 2003 (the "Grutzmacher Sworn Statement"), at 106-07.

transactions.¹⁰ Indeed, evidence suggests that Enron officers and employees understood that Andersen accountants would not agree with the chosen accounting if they were aware of the information, and thus the officers and employees deliberately kept the information from Andersen.¹¹ Andersen would likely claim that this deception and other misconduct by Enron officers is a defense to claims of negligence and aiding and abetting. Andersen would need to show, however, that the misconduct by Enron's officers should be imputed to Enron. Moreover, even if the misconduct were imputed to Enron, under statutory proportionate responsibility in Texas, Andersen could still be held liable to Enron for some portion of the resulting damages.

¹⁰ Scardino Interview; Stewart Interview; Bass Sworn Statement at 44-46. Evidence also suggests that Andersen may not have been aware that the Raptor entities were prohibited from commencing hedging activities until an amount greater than its initial investment was distributed to LJM2. See Memorandum from Dave Duncan, *et al.*, Andersen, to the Files, regarding Raptor Transaction, Mar. 28, 2000 ("Raptor Memo #3") (listed in Annex 1 to this Appendix) (containing no description of this prohibition) [AB0648 01051-AB0648 01058]. See Third Interim Report, Appendix C (Role of Enron's Officers), at 39-44 for other circumstances in which the evidence indicates that important information was withheld or concealed from Andersen.

¹¹ As discussed below in the *Evidence of Enron's Deception of Andersen* Section of this Appendix.

II. HISTORY OF THE ANDERSEN/ENRON RELATIONSHIP

A. Andersen's Services to Enron

The Engagement Team and the PSG

Andersen's audit of Enron was a massive undertaking. In February 2001, Andersen partner David Duncan reported to Andersen senior executives that the Andersen professional personnel deployed on the Enron engagement consisted of:¹²

	<u>Houston Core Team</u>	<u>London Core Team</u>	<u>Total</u>
Partners	9	4	13
Managers	31	11	42
Staff accountants	<u>58</u>	<u>—</u>	<u>58</u>
Total	<u>98</u>	<u>15</u>	<u>113</u>

In addition, Andersen offices in Portland; Chicago; New York; Sao Paulo, Brazil; Tokyo, Japan; Buenos Aires, Argentina and India were involved in the Enron engagement.¹³ Andersen's fees from its Enron engagement were approximately \$54 million for 2000, broken down as follows:¹⁴

¹² Enron Client Retention Meeting Presentation (the "Retention Meeting Presentation"), at 21-22 [AA-EX00291216-AA-EX00291245].

¹³ *United States v. Arthur Andersen, LLP*, Transcript of the Proceedings, No. H-02-121, May 6, 2002-June 5, 2002 (S.D. Tex. 2002) (the "Andersen Criminal Trial Transcript"), at 1665, 1690 (testimony of David Duncan, May 13, 2002).

¹⁴ Retention Meeting Presentation, at 7. Unlike Enron, Andersen's fiscal year ended on August 31. *See* Andersen Criminal Trial Transcript, at 1684 (testimony of David Duncan, May 14, 2002). Accordingly, the amount of 2000 fees identified on the Retention Meeting Presentation differs from the amount of 2000 fees identified in the April 2001 Audit Committee presentation. *See* First Quarter 2001 Audit Update Presentation, *Summary of Fees*, undated, at AB0246 01899 ("Recurring Baseline Audit" of \$12,200,000 + "Expanded Audit Activities" of \$12,900,000 + "Other Fees" of \$22,800,000 = \$47,900,000) (attached to Enron Audit Committee Meeting Minutes, Apr. 30, 2001) [AB0246 01899-AB0246 01900].

	<u>Fees (in millions)</u>
U.S.	
Audit	\$10.3 million
“ABA [Audit and Business Advisory] Consult”	14.1
“Other Consult”	8.3
International	
London	8.3
Other	<u>13.0</u>
	<u>\$54.0 million</u> ¹⁵

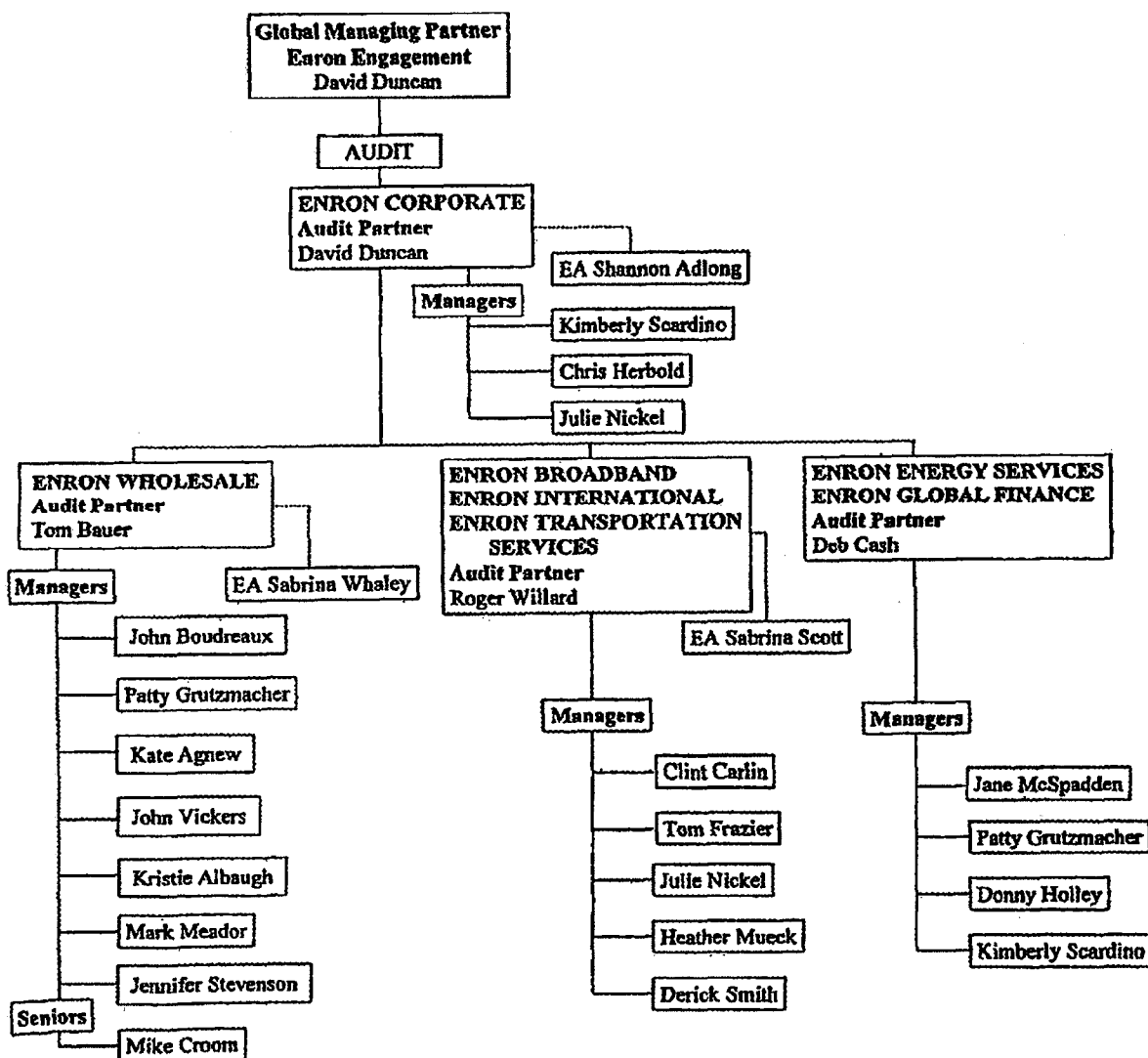
Enron’s business operations were managed on a semi-autonomous basis. Thus, for example, there was a CFO and principal accounting officer for Enron North America, Enron Broadband, Enron Energy Services, Enron International, Enron Europe and Portland General.¹⁶ Andersen’s Engagement Team was organized to mirror Enron’s organizational structure, with separate teams of Andersen accountants, each headed by an Andersen partner, deployed to serve the various business units. The following organizational chart is typical of the deployment of staff during the engagement:¹⁷

¹⁵ \$12 million of these fees were related to “accounting consultation” or advice on how proposed transactions would be accounted for and advice on the development of Enron’s various accounting “models” or techniques. As discussed below in the *Andersen’s Continuous Audit of Enron and Accounting Consultation* Section of this Appendix.

¹⁶ Third Interim Report, Appendix C (Role of Enron’s Officers), at 10; *see also* In-Person Interview with Christopher Herbold, Andersen, by H. Bryan Ives, III, A&B, Oct. 10, 2003 (the “Herbold Interview”) (stating that “Enron was decentralized by business units”). These business unit officers had dual reporting relationships -- they reported to the heads of their business unit and to Enron’s headquarters operations. The headquarters operations included Andrew Fastow as CFO, Richard Causey as CAO, and Jeff McMahon, and later Ben Glisan, as Treasurer.

¹⁷ Arthur Andersen LLP Organizational Chart, undated (the “Andersen Organizational Chart”), at ELIB00003616-00001 (relevant portion of chart shown with stray marks removed to improve legibility) [ELIB00003614-00001-ELIB00003616-00001].

ENRON ENGAGEMENT (HOUSTON)



Duncan¹⁸ was the “Global Managing Partner” for the Enron engagement and thus responsible for Andersen’s worldwide services to Enron.¹⁹ Duncan was also the partner who headed the “corporate” engagement team. The corporate engagement team was

¹⁸ In this Appendix, references to “Duncan” refer to David B. Duncan of Andersen, not John H. Duncan, who served on Enron’s board of directors.

¹⁹ Andersen Criminal Trial Transcript, at 1665 (testimony of David Duncan, May 13, 2002).

responsible for Andersen's work in consolidating the various business units into Enron's quarterly and annual financial statements and reviewing Enron's filings with the SEC.²⁰ This group was responsible for coordinating with Enron's corporate reporting group led by Enron vice president Bob Butts, and reviewing and commenting on Enron's MD&A disclosures.²¹

Other Engagement Team partners included Thomas Bauer, who was in charge of the audit of Enron's wholesale services business segment; Debra Cash, who was in charge of the audit of Enron's Global Finance operations headed by Fastow, as well as Enron Energy Services; and Roger Willard, who was in charge of the audit of Enron Broadband Services.²²

In addition to the Engagement Team partners noted above, a number of other Houston-based partners were involved in the Enron engagement, including:

<u>Partner</u>	<u>Title/Role</u>
Stephen Goddard	Advisory Partner on the Enron engagement; Managing Partner of the Houston office; Duncan's immediate predecessor as Global Managing Partner for the Enron engagement; attended most Enron Audit Committee meetings with Bauer and Duncan. ²³
Michael Odom	Practice Director for the Gulf Coast Market Circle. ²⁴

²⁰ Herbold Interview.

²¹ *Id.*

²² Andersen Organizational Chart, at ELIB00003616-00001.

²³ In-Person Interview with Stephen Goddard, Andersen, by H. Bryan Ives, III, A&B, Sept. 10, 2003 (the "Goddard 9/10/03 Interview").

²⁴ In-Person Interview with Michael C. Odom, Andersen, by H. Bryan Ives, III, A&B, Sept. 15, 2003 (the "Odom Interview"). Andersen divided its U.S. offices into groups called "market circles." Its "Gulf Coast Market Circle" included the Houston office and several other offices. Andersen Criminal Trial Transcript, at 1681 (testimony of David Duncan, May 13, 2002). Andersen's audit practice was called its "Assurance and Business Advisory" group or "ABA." In-Person Interview with Roger D. Willard, Andersen, by H. Bryan Ives, III, A&B, Sept. 9, 2003 (the "Willard Interview"). The ABA portion of the Gulf Coast Market Circle included the Houston Office Energy Division, which handled the Enron audit. See Memorandum

Michael Lowther	Partner in charge of the Energy Audit Division of Andersen's Houston office; Concurring Partner on the Enron engagement; ²⁵ along with Odom, his advice was sought and concurrence required on many major accounting and auditing determinations made by the Engagement Team. ²⁶
William Swanson	Head of the Assurance and Business Advisory ("ABA") Audit Practice for the Gulf Coast Market Circle. ²⁷
Gary Goolsby	Practice Director for the Gulf Coast Market Circle prior to Odom and then Global Managing Partner, Risk Management. ²⁸

Outside the Engagement Team, many of the material GAAP determinations made by Andersen in the Enron engagement were discussed with and approved by the PSG.

The Examiner has taken sworn statements from or interviewed many members of the Engagement Team, four members of the PSG, Goddard, Odom and Lowther. Duncan and Bauer exercised their Fifth Amendment privilege and did not provide sworn testimony or an interview to the Examiner.

To understand the roles of the Engagement Team and the PSG in Andersen's Enron engagement, it is helpful to understand the goal of an audit and the basic undertakings necessary to achieve that goal. "The objective of the ordinary audit of financial statements by the independent auditor is the expression of an opinion on the

from Richard Corgel, Andersen, to D. Stephen Goddard, *et al.*, Andersen, regarding 2000 Houston Office Energy Division ABA Practice – Assurance Review Report, July 21, 2000 (presented Aug. 22, 2000) [AACC000088580-AACC000088590].

²⁵ In-Person Interview with Michael Lowther, Andersen, by H. Bryan Ives, III, A&B, Sept. 10, 2003 (the "Lowther Interview").

²⁶ *Id.*; Andersen Criminal Trial Transcript, at 4496-99, 5532 (testimony of Richard Corgel, May 27, 2002, and John Stewart, May 31, 2002).

²⁷ Lowther Interview; *see also* Andersen Organizational Chart, at ELIB00003614-00001.

²⁸ Odom Interview; Lowther Interview.

fairness with which they present, in all material respects, financial position, results of operations, and its cash flows in conformity with generally accepted accounting principles.”²⁹ To meet this objective, “[t]he auditor has a responsibility to plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement, whether caused by error or fraud.”³⁰

The auditor’s opinion that financial statements present fairly an entity’s financial position, results of operations, and cash flows in conformity with generally accepted accounting principles should be based on his or her judgment as to whether (a) the accounting principles selected and applied have general acceptance; (b) the accounting principles are appropriate in the circumstances; (c) the financial statements, including the related notes, are informative of matters that may affect their use, understanding, and interpretation . . . ; (d) the information presented in the financial statements is classified and summarized in a reasonable manner, that is, neither too detailed nor too condensed . . . ; and (e) the financial statements reflect the underlying transactions and events in a manner that presents the financial position, results of operations, and cash flows stated within a range of acceptable limits, that is, limits that are reasonable and practicable to attain in financial statements. [Noting in a footnote: The concept of materiality is inherent in the auditor’s judgments That concept involves qualitative as well as quantitative judgments.]³¹

The Engagement Team was responsible both for the audit and for assessing Enron’s compliance with GAAP. The PSG was responsible for advising the Engagement Team on GAAP compliance in those cases on which it was consulted by the Engagement Team.³² The PSG did not consult directly with Enron personnel on specific issues,

²⁹ Codification of Auditing Standards and Procedures, Statement on Auditing Standards No. 1 (American Institute of Certified Public Accountants 1972) (“SAS 1”), at § 110.01 (AU § 110.01).

³⁰ SAS 1, at § 110.02 (AU § 110.02).

³¹ The Meaning of *Present Fairly in Conformity With Generally Accepted Accounting Principles* in the Independent Auditor’s Report, Statement on Auditing Standards No. 69 (American Institute of Certified Public Accountants 1992) (“SAS 69”), at § 4 (AU § 411.04).

³² Under Andersen’s policies, Andersen’s Enron engagement team (the “Engagement Team”) was expected to consult with the PSG on novel or complex GAAP issues. Lowther Interview; Andersen Criminal Trial Transcript, at 4493 (testimony of Richard Corgel, May 27, 2002).

although on occasions PSG member John Stewart and other PSG accountants would meet with Enron's Chief Accounting Officer, Rick Causey, and other Enron accounting executives to discuss general GAAP matters.³³ When the PSG rendered advice on GAAP matters, the Engagement Team was, for all practical purposes, required to follow it.³⁴

Andersen's "Integrated" Audit of Enron

The professional standards under which accountants perform the auditing component of their work are called Generally Accepted Auditing Standards ("GAAS"). At all relevant times, GAAS was promulgated by the accounting industry's trade association, the American Institute of Certified Public Accountants ("AICPA"). GAAS provides substantial latitude to the accountant in the procedures used to obtain reasonable assurance that the financial statements are free from material misstatements. One essential element of the audit component, however, is obtaining evidence on a test basis that the underlying transactions are properly reflected in the financial statements.

In determining the amount and nature of evidence and the number and type of transactions to be tested, the accountant must assess the entity's system of "internal

³³ See, e.g., Email from David B. Duncan, Andersen, to Thomas H. Bauer, *et al.*, Andersen, regarding Monthly conf. call w/Enron, July 1, 1999 [PSI00006361].

³⁴ As a technical matter, an engagement team could deviate from the PSG's advice on the application of GAAP if the engagement team obtained the approval of its Practice Director. It was the policy of the Practice Directors, however, to require that the PSG's GAAP accounting advice be followed. Andersen Criminal Trial Transcript, at 4499 (testimony of Richard Corgel, May 27, 2002). There were several instances in which the PSG disagreed, after-the-fact, with GAAP conclusions reached and client advice rendered by the Engagement Team, or disagreed on matters that were part GAAP, part auditing. The most prominent example is the controversy surrounding the aggregation of the credit capacity of Raptor entities at the end of 2000 and the first and second quarters of 2001 (the "Aggregation Issue"). In addition, in the Blockbuster transaction (*see* Second Interim Report, at 29-32), Stewart thought the Engagement Team was going to require an outside appraisal to support the gain on sale recognized in that FAS 140 Transaction. Andersen Criminal Trial Transcript, at 5570 (testimony of John Stewart, May 30, 2002). When Enron would not obtain an outside appraisal, the Engagement Team, with the concurrence of Odom and Lowther, viewed that as an issue relevant to whether sufficient audit evidence was obtained, rather than a GAAP issue. Willard Interview; Odom Interview.

control.”³⁵ An entity’s system of internal control, for this purpose, is comprised of the entity’s policies and procedures that:³⁶

- pertain to maintenance of records in reasonable detail to accurately reflect the entity’s transactions;
- provide reasonable assurance that transactions are recorded as necessary to permit preparation of GAAP financial statements and that receipts or expenditures are made only as authorized; and
- provide reasonable assurance to prevent or timely detect unauthorized acquisition, use or disposition of assets.

If the accountant determines that an entity’s internal control has a “reportable condition,” the accountant must report this to the entity’s audit committee.³⁷ The accountant can still give a “clean” opinion that the financial statements fairly present in all material respects the financial position, results of operations and cash flow of the entity, but the audit tests must be designed to meet the misstatement risk arising from those areas in which there are weaknesses in internal control.³⁸

³⁵ The accountant must also consider what items would be material in amount to the reported financial position, results of operations and cash flow. *See* Audit Risk and Materiality in Conducting an Audit, Statement on Auditing Standards No. 47 (American Institute of Certified Public Accountants 1983) (AU § 312).

³⁶ *See id.*

³⁷ Communication of Internal Control Related Matters Noted in an Audit, Statement on Auditing Standards No. 60 (American Institute of Certified Public Accountants 1989) (“SAS 60”), at § 2 (AU § 325.02). “Reportable conditions” are “matters coming to the auditor’s attention that, in his judgment, should be communicated to the audit committee because they represent significant deficiencies in the design or operation of internal control, which could adversely affect the organization’s ability to record, process, summarize, and report financial data consistent with the assertions of management in the financial statements.” *Id.* “A *material weakness* in internal control is a reportable condition in which the design or operation of one or more of the internal control components does not reduce to a relatively low level the risk that misstatements caused by fraud or error in amounts that would be material in relation to the financial statements being audited may occur and not be detected within a timely period by employees in the normal course of performing their assigned functions.” SAS 60, at § 15 (AU § 325.15) (emphasis added). Reportable conditions must be reported to the board or audit committee, but the standards do not require the auditor to state whether the reportable condition constitutes a material weakness. *Id.*

³⁸ The Examiner has not undertaken to assess Enron’s system of internal control. The Examiner has seen no evidence that Andersen identified any “material weaknesses” in Enron’s internal control for the years under investigation. Andersen did identify “significant deficiencies” in the internal control of Enron

Designing and maintaining an effective system of internal control for large and complex operations is a major undertaking requiring substantial resources. Just as an entity's financial statements are primarily the responsibility of management, the adequacy of internal control is also primarily the responsibility of management.³⁹ To maintain an effective system of internal control, most large businesses have employees who perform an "internal audit" function – that is, they obtain evidence on a test basis to determine whether the entity's transactions are being reflected properly in its financial statements and whether its assets are being adequately protected. Even if the entity has a strong internal audit function, the outside accountant must still perform sufficient auditing work by obtaining evidence, on a test basis, that the transactions have been reflected properly in the books in order to obtain reasonable assurance that the financial statements contain no material misstatements.⁴⁰ There is, however, some overlap between the internal audit function and the procedures that must be performed by the outside accountant in order to certify to the public that the entity's financial statements fairly present its financial position, results of operation, and cash flow in accordance with GAAP.

Energy Services LLC ("EES") as part of its 1998 audit of that majority-owned subsidiary and reported those deficiencies to the EES board. Letter from Arthur Andersen LLP, by Debra A. Cash, to Management and the Board of Directors, Enron Energy Services, LLC, Apr. 26, 1999, at AA000021421-AA000021422 (letter includes attachment entitled "Memorandum on Internal Control Structure and Other Matters") [AA000021420-AA000021424]. The Examiner has found no evidence that the significant deficiencies in the EES internal control reported by Andersen resulted in Enron's materially misleading financial statements.

³⁹ Enron 2000 Annual Report, at 29. The financial statements and internal control are not ultimately the responsibility of the audit committee or the board, although the board is charged with the obligation of due care in overseeing management in designing and maintaining internal control and preparing financial statements. See Report, Appendix D (Roles of Lay, Skilling and Outside Directors).

⁴⁰ See generally The Auditor's Consideration of the Internal Audit Function in an Audit of Financial Statements, Statement on Auditing Standards No. 65 (American Institute of Certified Public Accountants 1991) (AU § 322).

To some extent, Andersen performed both of these functions for Enron – it assisted Enron by performing an internal audit function, and it evaluated Enron’s internal controls in setting the scopes for the audit necessary for rendering an opinion on Enron’s financial statements. Andersen called this approach an “integrated audit” or its “Business Audit methodology.”⁴¹ Even with the integrated audit approach, however, Enron’s management was ultimately responsible for all decisions with respect to the design and maintenance of Enron’s system of internal control.⁴²

Because of its increased work on internal control as a part of its integrated audit approach, Andersen was able to render Enron a second opinion -- that management’s assertion that Enron’s system of internal control provided reasonable assurance that Enron’s financial statements did not contain material misstatements and that its assets were protected was accurate in all material respects. This so-called internal control opinion goes beyond the evaluation of internal control implicit in the standard audit opinion. In essence, it is a representation that the outside accountant has found no material weaknesses in the entity’s internal control.

Andersen believed that its integrated audit approach to the Enron engagement was innovative and on the leading edge of things to come. The Examiner has found no evidence that Andersen’s integrated audit approach contributed directly to Enron’s

⁴¹ Memorandum from Thomas H. Bauer, Andersen, and Debra A. Cash, Andersen, regarding Implementation of the Business Audit of Enron North America and Enron Energy Services for the year ended Dec. 31, 1999, Sept. 23, 1999 (the “ENA Memo”) [AA000025246-AA000025247].

⁴² Enron 2000 Annual Report, at 30. An accountant is not “auditing its own work” when the accountant performs an integrated audit. At its most basic, the audit function involves determining on a test basis that an entity’s transactions are accurately reflected in its books and records. Neither the internal auditor nor the outside accountant, who certifies the financial statements, records the results of transactions in the entity’s books, nor are they responsible for maintaining the books and records. Thus, neither the internal auditor nor the outside accountant is “auditing its own work” when they determine on a test basis that the transactions have been properly recorded.

misleading financial statements. In fact, to some extent, the integrated audit approach used by Andersen in its audit of Enron has since been enacted into law by Congress⁴³ and implemented through SEC regulations effective for most large public companies, which will be required to obtain and publish in their annual reports internal control opinions of their outside auditors beginning in 2004.⁴⁴ Under those regulations, however, an external auditor is restricted from performing a client's internal audit function.⁴⁵

Andersen's "Continuous" Audit of Enron and Accounting Consultation

Andersen's audit of Enron was also a "continuous audit" in that the audit began in the first quarter of the year and progressed through the year.⁴⁶ In essence, Andersen was auditing Enron's transactions as they occurred on an almost real-time basis. In an organization dependent on numerous, large transactions (rather than on operations) to achieve income and cash flow targets,⁴⁷ a "continuous" audit was a necessity.

Andersen took the notion of a continuous audit one step further in the case of Enron by advising on the GAAP consequences of proposed or hypothetical transactions, thereby helping Enron design and structure actual transactions prior to their closing in order to ensure that Enron would achieve its desired income, cash flow and balance sheet results. Memoranda contained in Andersen's Enron audit work papers and documents

⁴³ Sarbanes-Oxley Act of 2002, Pub. L. No. 107-204, § 404, 116 Stat. 745 (2002).

⁴⁴ Management's Report on Internal Control Over Financial Reporting and Certification of Disclosure in Exchange Act Periodic Reports, Release No. 33-8238, 68 Fed. Reg. 36636 (June 18, 2003), *available at* <http://www.sec.gov/rules/final/33-8238.htm>.

⁴⁵ Strengthening the Commission's Requirements Regarding Auditor Independence, Exchange Act Release No. 33-8183, 68 Fed. Reg. 6006 (Feb. 5, 2003), *available at* <http://www.sec.gov/rules/final/33-8183.htm>. Under the regulations, it remains permissible for an external auditor to perform an internal audit service for a client only if it is "reasonable to conclude that the results of these services will not be subject to audit procedures during an audit of the audit client's financial statements." *Id.*

⁴⁶ *See, e.g.,* ENA Memo.

⁴⁷ Retention Meeting Presentation, at 23.

produced from the desk files of various Andersen accountants show that Andersen helped Enron design the template or model for the

- FAS 140 Transactions;⁴⁸
- Prepay Transactions;⁴⁹
- Non-Economic Hedges;⁵⁰
- Minority Interest Transactions;⁵¹
- Share Trust Transactions;⁵² and
- Tax Transactions.⁵³

⁴⁸ See, e.g., Memorandum from Tom Bauer, *et al.*, Andersen, regarding EOTT 140 Sale-Project Nikita, Oct. 1, 2001 (the "EOTT-Project Nikita Memo") [AB0911 1931-AB0911 1937]; Memorandum from Kimberly R. Scardino, Andersen, to the Files, regarding Project Generic - Sale of Enron's Sub's Financial Asset (a Hawaii 125-O transaction), Apr. 9, 2000 (the "Hawaii Memo") [AB0911 1938-AB0911 1943]; Memorandum from H Ronald Weissman, *et al.*, Andersen, to the Files, regarding Enron/Tax Efficient Lease Monetization, Sept. 9, 1998 (the "Tax Efficient Lease Memo") (draft) [AB0911 1920-AB0911 1930].

⁴⁹ See Memorandum from Patricia S. Grutzmacher, Andersen, to the Files, regarding Chase/Mohonia (sic) Prepay, June 30, 1999 (the "Chase/Mahonia Prepay Memo") [AB0648 00056-AB0648 00057]; Prepay Swap, undated (the "Prepay Swap Diagram") (PowerPoint presentation containing diagram of the Mahonia transaction) [AB0786 02965-AB0786 02968]; Memorandum from Deb Cash and Patty Grutzmacher, Andersen, to the Files, regarding Yosemite Prepay, Dec. 1999 (the "Yosemite Prepay Memo") [AB0786 02953-AB0786 02955]; Email from Patricia S. Grutzmacher, Andersen, to Lisa A. Bomba, Andersen regarding Yosemite II, Mar. 16, 2001 (the "Yosemite II Email") [AB0786 02961-AB0786 02964]; Memorandum from Deb Cash, Andersen, and Kimberly Scardino, Andersen, to the Files, regarding Yosemite III- Transaction Summary, Aug. 2000 (the "Yosemite III Memo") [AB000565301-AB000565305]; Memorandum from Kimberly Scardino, Andersen, and Don Holley, Andersen, to the Files, regarding Yosemite IV- Transaction Summary, May 2001 (draft) (the "Yosemite IV Memo") [AB0786 02956-AB0786 02960].

⁵⁰ See Annex 1 to this Appendix (summarizing the Raptor memos).

⁵¹ See Memorandum from Debra A. Cash, *et al.*, Andersen, to the Files, regarding Non-Cash Activity, Dec. 7, 1999 (the "Nahanni Memo") [AA000019694-AA000019695].

⁵² See Second Interim Report, Appendix G (Whitewing Transaction), at 116-17; Second Interim Report, Appendix H (Marlin Transaction), at 57-59.

⁵³ See Memorandum from H Ronald Weissman, *et al.*, Andersen, to the Files, regarding Enron/Tax Efficient Lease Monetization, May 27, 1998 (the "Tomas Accounting Memo") [PSI00020546-PSI00020556]; Memorandum from H Ronald Weissman, Andersen, and P. Michael Baldasaro, Andersen, to the Files, regarding Project Aries, July 7, 2000 (the "Tammy I Accounting Memo") [AB0785 02620-AB0785 02629]; Memorandum from Herman Manis and Christopher J. Herbold, Andersen, to Enron Corp. Files, Houston, regarding Project Cochise - Acquisition of REMICs, Mar. 31, 1999 (the "Cochise Accounting Memo") [AA 000006082-AA 000006088]; Memorandum from Roger D. Willard, Andersen, to Enron Corp. Files, Houston, regarding Acquisition of Interests in Real Estate Mortgage Investment

When performing this function, Andersen viewed itself as providing “accounting consultation” audit services. As described above, in 2000, \$12 million of \$54 million, or 22%, of Andersen’s fees from Enron were attributable to accounting consultation. This accounting consultation process involved Enron’s transaction support accountants who reported to Causey,⁵⁴ the Engagement Team and the PSG. Enron’s transaction support accountants, most of whom were Andersen alumni,⁵⁵ often advocated very aggressive positions, which on some occasions Andersen rebuffed.⁵⁶ In this process, the

Condu[i]ts (REMIC), Oct. 30, 1997 (the “Steele Accounting Memo”) [AA 000006581-AA 000006587]; Memorandum from David B. Duncan, *et al.*, Andersen, to the Files, regarding Tax Accounting for Project Teresa, Mar. 14, 1997 (the “Teresa Accounting Memo”) [AA-EX00016709-AA-EX00016715]; *see* Facsimile from Thomas Finley, Bankers Trust, to Robert Hermann, Enron, May 28, 1996 (notifying Hermann that Mike Baldasaro in Andersen’s New York office would be calling to discuss the structure of the transactions that later became the Teresa Transaction and attaching PowerPoint presentation materials) [DBC 013815-DBC 013827]. In several transactions, Andersen issued SAS 50 letters to BT/Deutsche, which were furnished to Enron by BT/Deutsche. *See* Third Interim Report, Appendix G (Role of BT/Deutsche and its Affiliates), at 76 n.363; Report on the Application of Accounting Principles, Statement on Auditing Standards No. 50 (American Institute of Certified Public Accountants 1986) (“SAS 50”) (AU § 625).

⁵⁴ Third Interim Report, Appendix C (Role of Enron’s Officers).

⁵⁵ From 1989 through 2000, 86 Andersen accountants left Andersen for employment with Enron. *See* Chart entitled “AA Employees who left for Enron,” undated, at ELIB00003650-00002 (part of Government exhibit 2000H to Andersen Criminal Trial) [ELIB00003650-00001-ELIB00003650-00009].

⁵⁶ Examples of instances in which Andersen apparently insisted on less aggressive positions than Enron accountants initially advocated include:

- Insisting that three parties were needed in Prepay Transactions and insisting on confirmation from the third parties. *See* discussion below in the *Andersen’s Role in the Prepay Transactions* Section of this Appendix.
- Insisting that the LJM2 governance provisions be modified to permit Fastow’s removal upon a vote of holders of 66 2/3% rather than 75% of the limited partner interests. *See* Memorandum from Dave Duncan, *et al.*, Andersen, to the Files, regarding the LJMII Governance, July 28, 2000 (“Raptor Memo #4”) (listed in Annex 1 to this Appendix) [AA-EX 0179611].
- Disagreeing with the Enron transaction accountant working on the Raptor transactions regarding whether the Raptor entities could be required to distribute funds to LJM2 before the Raptors entered into hedges with Enron. Enron apparently agreed to this requirement anyway, but evidence suggests that the Enron accountants concealed agreement this from Andersen. *See* discussion below in the *Andersen’s Role in the Non-Economic Hedges* Section of this Appendix.
- Requiring that Enron satisfy the 3% Equity Test for the Raptors using the balance sheet footing plus the notional amount of the derivative risk. *See* Raptor Memo #3.

Engagement Team served as a “middle man” by obtaining the facts from the Enron transaction support accountants, and relaying those facts, Enron’s accounting goals and the arguments of the Enron transaction support accountants to the PSG. The Engagement Team would debate and “brainstorm” the issues with the PSG and ultimately translate and deliver the PSG’s advice to the transaction support accountants at Enron.⁵⁷

The evidence concerning Andersen’s work on Enron matters suggests that while Andersen may have rebuffed some of Enron’s aggressive positions, Andersen’s accountants both on the Engagement Team and at the PSG generally endeavored to achieve the financial statement goals of Enron by assisting it in utilizing rules-based GAAP in order to report income, cash flow and financial position that did not faithfully represent the substance of Enron’s underlying transactions. The evidence suggests that

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- Requiring, in the cases in which Enron was seeking to avoid consolidation of an entity that was arguably a business and not an SPE based on the lack of control, that the non-Enron owner have 3% equity at risk and satisfy Andersen’s own internal so-called 4-to-1 test designed to provide evidence that the non-Enron owner would exercise its rights (or at least address the issue in some manner). *See* Second Interim Report, Appendix B (Accounting Standards) and Appendix K (Forest Products Transactions).
 - Proposing a proposed adjusting journal entry (“PAJE”) on the Eli Lilly transaction. *See* Summary of Proposed Adjusting Journal Entries, 2nd Qtr 2001 (the “PAJE 2001-2Q”) [AASDTEX00041208].
 - Refusing to permit a FAS 140 Transaction of a power plant in the Sutton Bridge transaction until an informal inquiry made with the SEC indicated that equity interests in entities that owned power plants were not in substance real estate. Subsequently, the EITF ruled to the contrary on a prospective basis. *See* Second Interim Report, Appendix B (Accounting Standards).

⁵⁷ This process was the source of internal tension between the PSG and the Engagement Team. Some sources of friction were: (i) the belief by the PSG that the Engagement Team was identifying PSG accountants to Enron who took positions contrary to Enron’s view, was sharing with Enron the deliberations or “brainstorming” between the PSG and the Engagement Team, and was not properly documenting consultations with the PSG; and (ii) the belief by the Engagement Team that PSG accountants (other than Stewart) were “programmed to say ‘no’ or do not have John Stewart’s ‘bedside’ manner.” *See* Memorandum from Lawrence A. Rieger, Andersen, to the Enron File, regarding Enron Consultation Process, Feb. 12, 2001 [AB000540830-AB000540833]. In addition, the circumstances surrounding Causey’s removal of Bass from Enron matters had an adverse effect on Stewart’s view of the client and the Engagement Team. *See* Andersen Criminal Trial Transcript, at 5413 (testimony of John Stewart, May 30, 2002).

this accounting consultation process, when combined with Andersen's failure to: (i) determine whether Enron's Audit Committee was informed of the effects of Enron's use of rules-based GAAP on its reported financial position, results of operations and cash flow; or (ii) insist on disclosure of these effects in the footnotes to Enron's financial statements or MD&A, was a significant contributing factor to Enron's materially misleading financial statements and related disclosures.

Andersen Materiality and Risk Assessment Resources Used by the Engagement Team

In performing the Enron audit, the Engagement Team had at its disposal numerous Andersen firmwide resources designed to enable it to render competent and efficient audit services and reduce the risk arising out of its audit work. For example, Andersen had numerous sophisticated and state-of-the-art forms that its accountants used in order to complete their work. One such form was Andersen's Form AP-110, an audit practice aid or "tool" designed to help engagement teams determine what items and amounts were quantitatively and qualitatively "material" to the client's financial statements.⁵⁸ Using the Form AP-110, the Engagement Team was required under Andersen's policies to determine each year, in advance of their audit work, the amount of misstatement that would be material to Enron's financial statements based on existing SEC, accounting and legal standards of materiality.⁵⁹ Duncan, as the Engagement Partner, was required to approve the materiality determinations,⁶⁰ after which audit

⁵⁸ Other forms included a fraud risk practice aid (Form AP-125), a going concern practice aid (Form AP-330), a financial statement "Inspection Tool" (Form AP-70), and interim financial statements review practice aid (Form AP-324).

⁵⁹ See SEC Staff Accounting Bulletin No. 99, Materiality, 56 Fed. Reg. 4938 (Feb. 7, 1991) ("SAB 99").

⁶⁰ The engagement manager, Christopher Herbold, signed the form that approved the materiality thresholds. Lowther Interview.

scopes were set based on the materiality thresholds. In addition, “listing scopes” were set to avoid summarizing errors that were clearly inconsequential. The AP-110 indicated that a suggested listing scope was 5% of the after-tax equivalent of items that were “material.” If the amount of a misstatement detected on audit was beneath the listing scope, it would generally be ignored. If the matter was greater than the listing scope, it would be “listed” and thus brought to management’s attention. Because Enron’s audit was “continuous” (see discussion above), many listed items were corrected by Enron prior to preparing quarterly or annual financial statements. If the listed misstatement was not corrected by Enron, it became a Proposed Adjusting Journal Entry (“PAJE”)⁶¹ for the applicable quarter or year.⁶²

It was management’s decision whether to record a PAJE on Enron’s books and thereby have it reflected in the financial statements. If, however, the PAJE: (i) was above Andersen’s materiality thresholds; (ii) resulted from a transaction intended to achieve earnings targets or similar goals; or (iii) would result in noncompliance with loan covenants or contractual obligations if it was recorded, Andersen would insist that Enron record the PAJE.

⁶¹ A PAJE is an entry that the auditor proposes that the client make on the client’s books.

⁶² There were also “Proposed Reclassifying Journal Entries” or “PRJEs,” which represented reclassifications on the balance sheet such as from long-term to short-term liabilities. Materiality thresholds, and thus listing scopes, for PRJEs were higher than listing scopes for PAJEs.

Andersen was required to report to the Audit Committee all PAJEs identified by Andersen to management regardless of whether they were recorded.⁶³ Enron did not fail to record any PAJEs that Andersen insisted it record.

Another tool used in the Enron engagement was Andersen's so-called SMART form. This computerized form was designed to enable engagement teams and firm management to assess the risk inherent in Andersen's audit engagements. This sophisticated risk assessment tool required an engagement team to complete each year a list of very detailed questions concerning such things as management integrity, aggressive use of GAAP, pressure on management to meet earnings expectations, share price, volatility of share price and financial health. Weights were assigned to the various criteria by Andersen's risk assessment software. Using mathematical formulae based in part on Andersen's prior claims experience, the software assigned the audit client to one of the following risk categories:⁶⁴

⁶³ Andersen's policy changed in August 1999. Prior to that time, the policy required that only PAJEs that were not recorded and that exceeded 3% of earnings were required to be reported to the Audit Committee. See Author unknown, Typed Document (part of Andersen work papers) (including a section entitled "Communications with Audit Committees") [AASDTEX000357397]. Evidence suggests that Andersen may have been selective in the communication of PAJEs to Enron's Audit Committee, notwithstanding the existence of an Andersen policy requiring the communication of all such proposed entries. On May 9, 2001, an employee in Andersen's London office sent an email to Christopher Herbold inquiring as follows: "Chris - Just wondering what our policy is as far as communicating PAJEs/PRJEs to Enron's audit committee. I know that it is AA's policy (US ABA 99-16) to communicate all PAJEs whether booked or passed but I wanted to know what we do in practice with Enron." Email from Kimberly J. Meyer, Andersen, to Christopher J. Herbold, Andersen, regarding communications with audit committee, May 9, 2001 [AB0786 02943]. In response, Herbold replied, "That decision is made at the Duncan level and he communicates those entries that he feels are necessary. I think his general position is that there is ambiguity surrounding some entries" Email from Christopher Herbold, Andersen, to Kimberly J. Meyer, Andersen, regarding communications with audit committee, May 9, 2001 [AB0786 02943].

⁶⁴ Memorandum from Joseph F. Berardino, Andersen, and Gary B. Goolsby, Andersen, to U.S. ABA Heads, regarding Expanded Consultation Initiative: Discussion Guide and Selected Client List, Oct. 15, 1998 (the "Expanded Consultation Initiative Memo"), at AA-EX00325589-AA-EX00325592 [AA-EX00325577-AA-EX00325592]. "Maximum*" was a higher risk category than "Maximum," but the Examiner understands that the procedures required of "Maximum*" clients were not materially different from those required for "Maximum" clients.

- Maximum*
- Maximum
- High
- Moderate
- Low

Enron was rated “Maximum*” for 1999,⁶⁵ and “Maximum” for 2000.⁶⁶ In its 2000 SMART form, Enron’s “Management Pressures” and “Accounting and Financial Reporting Risk” were rated “Very Significant.”⁶⁷ In the case of “Management Pressures,” the SMART Form notes that “Enron has aggressive earnings targets and enters into numerous transactions to achieve those targets.”⁶⁸ In the area of “Accounting and Financial Reporting Risk,” the SMART form indicates under the category “Complex/risky transactions: Form over substance transactions” that the risk was “Very Significant”⁶⁹ and that “[t]he Company’s personnel are very sophisticated and enter into numerous complex transactions and are often aggressive in structuring transactions to achieve desired financial reporting objectives.”⁷⁰

In the case of “Maximum*” or “Maximum” risk clients, Andersen’s procedures required that each year the engagement partner, Practice Director and ABA head

⁶⁵ Enron SMART Tool form, Nov. 22, 1999, at 4 (part of Andersen work papers) [AASDTEX000360729-AASDTEX000360761].

⁶⁶ Enron SMART Tool form, May 18, 2000 (the “2000 SMART Form”), at 5 (part of Andersen work papers) [AASDTEX000367165-AASDTEX000367200].

⁶⁷ *Id.* at 13.

⁶⁸ *Id.* at 3.

⁶⁹ *Id.* at 12.

⁷⁰ *Id.* at 3.

articulate a rationale for retaining the client.⁷¹ With regard to Enron, Andersen's 2000 rationale was as follows:

We recommend that this engagement be accepted/retained and believe (1) the risks identified can be managed to an acceptable level, (2) the engagement team is well qualified to manage the risks of this engagement and (3) although Enron enters into complex transactions, they regularly consult with us and other experts. Enron's management is very sophisticated and understands their risks. Further, if subsequent facts or situations raise significant concerns about this accept/retain decision or the ability to manage the engagement risks, we will immediately consult with the signees below.⁷²

A 1998 memo from Andersen Chief Executive Officer Joseph Berardino and Goolsby indicates that at least 54 other Andersen audit engagements for U.S. publicly held companies achieved a "Maximum*" or "Maximum" risk rating for that year.⁷³ In the case of those publicly held clients like Enron, whose risk rating was "Maximum*" or "Maximum," Andersen mandated additional procedures designed to further evaluate and manage the risk. Among these procedures were a series of Andersen internal risk review meetings.⁷⁴

As discussed in more detail below, evidence reviewed by the Examiner suggests that the effects of Enron's aggressive use of GAAP on its reported income, cash flow and financial position, as well as various disclosure issues, were identified and discussed at the internal risk review meetings, as well as at a client retention meeting held on February 5, 2001. As also described below, Andersen did not determine whether Enron's Audit

⁷¹ *Id.* at 5.

⁷² *Id.*

⁷³ Expanded Consultation Initiative Memo, at AA-EX00325589-AA-EX00325592.

⁷⁴ These risk review meetings were held regularly, with the frequency of such meetings depending on the risk rating of the client. For example, as provided in the Expanded Consultation Initiative Memo, two yearly meetings were to be held among engagement team partners and certain Andersen audit executive accountants to discuss "maximum risk clients" such as Enron.

Committee had a similar level of understanding of the nature and magnitude of these risks.

B. Fees

Until its bankruptcy, Enron was among the largest clients for the worldwide Andersen organization.⁷⁵ For Andersen's "Gulf Coast Market Circle," Enron was Andersen's largest client.⁷⁶ In each of the years following Duncan's transition to the position of "Global Managing Partner" for the Enron engagement in 1997,⁷⁷ Andersen's fees from the Enron engagement escalated,⁷⁸ as illustrated by the following chart.⁷⁹

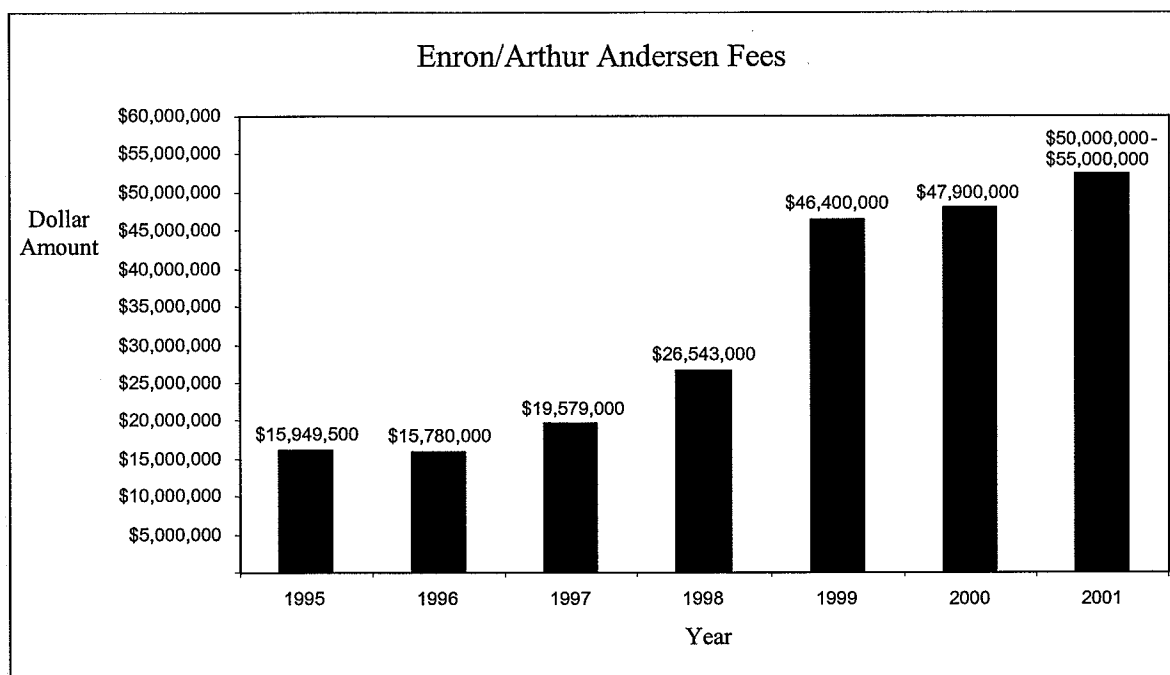
⁷⁵ See Andersen Criminal Trial Transcript, at 1689 (testimony of David Duncan, May 13, 2002).

⁷⁶ See Andersen Criminal Trial Transcript, at 1689 (testimony of David Duncan, May 13, 2002).

⁷⁷ See Minutes of Enron Audit Committee Meeting, Feb. 10, 1997 [AB000186257-AB000186260].

⁷⁸ See Andersen Criminal Trial Transcript, at 1683 (testimony of David Duncan, May 13, 2002).

⁷⁹ See First Quarter 1996 Audit Update Presentation, *Summary of Fees* (the "5/6/96 Fee Attachment") ("Recurring Audit Services" of \$5,791,500 + "Other Accounting and Audit Services" of \$10,158,000 = \$15,949,500) (attached to Enron Audit Committee Meeting Minutes of May 6, 1996) [AB0256 00616-AB0256 00617]; First Quarter 1997 Audit Update Presentation, *Summary of Fees* (the "5/6/97 Fee Attachment") ("Recurring Audit Services" of \$5,342,000 + "Other Services" of \$10,438,000 = \$15,780,000) (attached to Audit Committee Meeting Minutes of May 6, 1997) [AB0246 00307-AB0246 00308]; First Quarter 1998 Audit Update Presentation, *Summary of Fees* (the "5/4/98 Fee Attachment") ("Recurring Audits" of \$7,515,000 + "Capital Transactions" of \$4,492,000 + "Accounting Consultation" of \$3,333,333 + "Other Consulting Services" of \$4,329,000 = \$19,579,000) (attached to Enron Audit Committee Meeting Minutes of May 4, 1998) [AB0246 00872]; First Quarter 1999 Audit Update Presentation, *Summary of Fees* (the "5/3/99 Fee Attachment") ("Recurring Audits" of \$9,996,000 + "Capital Transactions" of \$4,940,000 + "Accounting Consultation" of \$4,146,000 + "Other Consulting Services" of \$7,461,000 = \$26,543,000) (attached to Audit Committee Meeting Minutes of May 3, 1999) [AB0246 01186]; First Quarter 2000 Audit Update Presentation, *Summary of Fees* (the "5/1/00 Fee Attachment") ("Recurring Baseline Audit" of \$11,100,000 + "Expanded Accounting, Auditing and Risk Management Services" of \$23,400,000 + "Other Services" of \$11,900,000 = \$46,400,000) (identifying \$12,200,000 of "Expanded Accounting, Auditing and Risk Management Services" as arising from "Significant Syndication and Structured Finance Activity (Condor, Margaux, LJM, Yosemite, Other)") (attached to Audit Committee Meeting Minutes of May 1, 2000) [AB0246 01583-AB0246 01584]; First Quarter 2001 Audit Update Presentation, *Summary of Fees* (the "4/30/01 Fee Attachment") ("Recurring Baseline Audit" of \$12,200,000 + "Expanded Audit Activities" of \$12,900,000 + "Other Fees" of \$22,800,000 = \$47,900,000) (attached to Audit Committee Meeting Minutes of Apr. 30, 2001) [AB0246 01899-AB0246 01900]; Andersen Criminal Trial Transcript, at 1683 (testimony of David Duncan, May 13, 2002) (testifying that the amount of the fees generated by the Enron account in 2001 was "approximately \$50 to 55 million"). For purposes of the chart included herein, the midpoint of the 2001 fee range identified by Duncan's testimony is displayed on the graphical representation of 2001 fees.



The evidence reviewed by the Examiner indicates that, on an annual basis, Andersen provided Enron's Audit Committee with detailed information concerning Andersen's fees from the preceding year, including the basic components of those fees.⁸⁰ Although Andersen did not always utilize consistent labels to describe the components of those fees, the fees generally included a component for "Recurring Audit" services and other services, such as "Accounting Consultation," "Tax Services" and "Consulting Services."⁸¹

⁸⁰ See 5/6/96 Fee Attachment; 5/6/97 Fee Attachment; 5/4/98 Fee Attachment; 5/3/99 Fee Attachment; 5/1/00 Fee Attachment; 4/30/01 Fee Attachment.

⁸¹ See, e.g., 5/6/96 Fee Attachment (identifying the following fee components for 1995: "Recurring Audit Services" of \$5,791,500, "Capital Transactions" of \$1,384,800, "Accounting Consultation" of \$2,378,300, "Consulting Services Under Contract Audit Services Arrangement" of \$5,849,600, and "Tax Services" of \$545,300).

From 1995 through 2000, Andersen's fees for "Recurring Audit" services ranged from a low of \$5,342,000 in 1996 to a high of \$12,200,000 in 2000.⁸² From 1995 through 2000, Andersen's fees for "Accounting Consultation" ranged from a low of \$2,152,000 in 1996 to a high of \$12,000,000 in 2000.⁸³ Andersen's tax-related Enron fees from 1995 through 2000 ranged from a low of \$545,300 in 1995 to a high of \$1,456,000 in 1996.⁸⁴ During these time periods, the balance of Andersen's fees from the Enron engagement were described variously as relating to services such as "Capital Transactions," "Consulting Services Under Contract Audit Services Arrangement" and "Other Consulting Services."⁸⁵ Regardless of the service categories into which Andersen's fees might be divided, this much is clear: In the years leading up to Enron's bankruptcy, Enron was one of Andersen's most significant clients in terms of fees, and those fees were consistently on the rise.⁸⁶

Regardless of the labels employed in describing Andersen's fee components to the Audit Committee, Andersen considered the great majority of the services it provided to Enron to be in the nature of "audit" services.⁸⁷ These "audit" services included the

⁸² See 5/6/97 Fee Attachment (showing 1996 fees); 4/30/01 Fee Attachment (showing 2000 fees).

⁸³ See 5/6/96 Fee Attachment (showing 1995 fees); 5/3/99 Fee Attachment (showing 1998 fees). The internal Andersen Retention Meeting Presentation showed accounting consultation fees of \$12 million in 2000. Retention Meeting Presentation, at 7. Accounting consultation fees in 1999 are not known.

⁸⁴ See 5/6/96 Fee Attachment (showing 1995 fees); 5/6/97 Fee Attachment (showing 1996 fees).

⁸⁵ See 5/6/96 Fee Attachment; 5/6/97 Fee Attachment; 5/4/98 Fee Attachment; 5/3/99 Fee Attachment; 5/1/00 Fee Attachment; 4/30/01 Fee Attachment.

⁸⁶ See, e.g., Email from James D. Edwards, Andersen, to Thomas H. Bauer, *et al.*, Andersen, Oct. 13, 1999 ("Congratulations to you and the entire Enron team for the unbelievable results of service to this client in Fiscal 1999. With \$47 million in fees and a growth rate of 88%, Enron became the largest client of our firm by a wide margin in Fiscal 1999.") [AB0971 02377].

⁸⁷ Goddard 9/10/03 Interview; Odom Interview; Lowther Interview.

consultations provided to Enron as transactions were discussed and planned.⁸⁸ They also included the testing of Enron's internal accounting controls and procedures, conducted as a part of Andersen's "integrated audit" of Enron.⁸⁹

C. Andersen's Independence

Introduction and Applicable Professional Standards

The concept of independence lies at the foundation of the public accounting profession, and the critical importance of auditor independence is widely accepted. As the AICPA Professional Standards Board has observed, "It is of utmost importance to the profession that the general public maintain confidence in the independence of independent auditors."⁹⁰ Similarly, as late as August 2001, Andersen advised the Enron Audit Committee that "We believe independence is not only the cornerstone of our profession, but the only sound basis for our continued success."⁹¹ Reflecting the same view, the SEC has described the critical importance of auditor independence as follows:

Independent auditors have an important public trust. Investors must be able to rely on issuers' financial statements. It is the auditor's opinion that furnishes investors with critical assurance that the financial statements have been subjected to a rigorous examination by an objective, impartial, and skilled professional, and that investors, therefore, can rely on them. If investors do not believe that an auditor is independent of a company, they will derive little confidence from the auditor's opinion and will be far less likely to invest in that public company's securities.⁹²

⁸⁸ Goddard 9/10/03 Interview; Odom Interview; Lowther Interview.

⁸⁹ Goddard 9/10/03 Interview; Odom Interview; Lowther Interview.

⁹⁰ SAS 1, at § 220.03 (AU § 220.03).

⁹¹ Minutes of the Enron Audit Committee Meeting, Aug. 13, 2001, at 2 [AB000203966-AB000203968].

⁹² Revision of the Commission's Auditor Independence Requirement, Securities Act Release No. 33-7919 [2000-2001 Transfer Binder] Fed. Sec. L. Rep. (CCH) ¶ 86,406 at 83,990.

Although the concept of auditor independence is not controversial in the abstract, difficulties and complexities tend to arise in articulating the standard against which such independence is to be measured. The Second General Standard of GAAS provides as follows: "In all matters relating to the assignment, an independence in mental attitude is to be maintained by the auditor or auditors."⁹³ Elaborating on the meaning of this standard, the AICPA has explained that it requires a "judicial impartiality" and an "obligation for fairness not only to management," but to others who may rely on the independent auditor's report:

This standard requires that the auditor be independent; aside from being in public practice (as distinct from being in private practice), he must be without bias with respect to the client since otherwise he would lack the impartiality necessary for the dependability of his findings, however excellent his technical proficiency may be. However, independence does not imply the attitude of a prosecutor but rather a judicial impartiality that recognizes an obligation for fairness not only to management and owners of a business but also to creditors and those who may otherwise rely (in part, at least) upon the independent auditor's report, as in the case of prospective owners or creditors.⁹⁴

Additionally, the AICPA has stated that "[i]ndependent auditors should not only be independent in fact; they should avoid situations that may lead outsiders to doubt their independence."⁹⁵

In furtherance of the independence requirement, the AICPA has promulgated specific independence rules and interpretations in its Code of Professional Conduct.⁹⁶

⁹³ SAS 1, at § 220.01 (AU § 220.01).

⁹⁴ SAS 1, at § 220.02 (AU § 220.02).

⁹⁵ SAS 1, at § 220.03 (AU § 220.03).

⁹⁶ The independence rules and interpretations contained in the American Institute of Certified Public Accountants ("AICPA") Code of Professional Conduct are, like GAAP, remarkable in their specificity and detail. Among other requirements, these rules prohibit the independent auditor from: (i) owning or committing to acquire "any direct or material indirect financial interest in the client"; (ii) serving as the

These rules and interpretations provide objective standards against which the independence of an auditor can be evaluated, but are not designed to serve as a substitute for the independence requirement imposed by the Second General Standard. The AICPA has described these rules as “precepts to guard against the *presumption* of loss of independence,”⁹⁷ distinguishing the specific rules from the independence standard itself. Highlighting this distinction, the AICPA has explained: “‘Presumption’ is stressed because the possession of intrinsic independence is a matter of personal quality rather than of rules that formulate certain objective tests.”⁹⁸

trustee of a trust or executor or administrator of any estate that owns or is committed to acquire “any direct or material indirect financial interest in the client”; (iii) owning a joint closely held investment with the client if the investment is material to the auditor; (iv) having certain loans to or from the client; (v) having an immediate family member that owns “more than 5 percent of a client’s outstanding equity securities or other ownership interests”; and (vi) serving as a director, officer, employee, promoter, underwriter, voting trustee, or pension trustee during the period covered by the financial statements under audit. See ET section 101.02, *Independence* (AICPA, Professional Standards). In addition to these specific rules and interpretations, the AICPA has issued over 100 “Ethics Rulings” applying those rules and interpretations to a wide variety of specific factual contexts. See, e.g., ET section 191, *Ethics Rulings on Independence, Integrity, and Objectivity* (AICPA, Professional Standards); Ethics Ruling No. 1, *Acceptance of a Gift* (AICPA, Professional Standards); Ethics Ruling No. 8, *Member Providing Accounting and Management Advisory Services* (AICPA, Professional Standards); Ethics Ruling No. 17, *Member of Social Club* (AICPA, Professional Standards); Ethics Ruling No. 19, *Receipt of Contingent Fees or Commissions By Members’s Spouse* (AICPA, Professional Standards); Ethics Ruling No. 35, *Stockholder in Mutual Funds* (AICPA, Professional Standards); Ethics Ruling No. 64, *Member Serves on Board of Organization for Which Client Raises Funds* (AICPA, Professional Standards); Ethics Ruling No. 92, *Joint Interest in Vacation Home* (AICPA, Professional Standards). Notably absent from the independence rules and interpretations contained in the AICPA Code of Professional Conduct is a consideration of the issue of fee dependency, i.e., the circumstances in which an auditor’s fees might reasonably be thought to call that auditor’s independence into question. Such rules are similarly absent from the SEC’s objective standards concerning auditor independence, although the issue of fee dependency readily could fall within the class of “all relevant facts and circumstances” that the SEC is authorized to consider when making a determination of an auditor’s independence. See 17 C.F.R. § 210.2-01(b) (“Qualifications of accountants”); see also *Independence Discussions with Audit Committees*, Independence Standard No. 1 (Independence Standards Bd. Jan. 1999) (“ISB No. 1”) (requiring written disclosure to audit committees of all relationships between the auditor and the entity under audit that “may reasonably be thought to bear on independence”).

⁹⁷ SAS 1, at § 220.04 (AU § 220.04) (emphasis in original).

⁹⁸ *Id.*

With respect to the audits of SEC registrants, the SEC has also promulgated rules concerning auditor independence.⁹⁹ These rules contain both an objective and a subjective element. The objective component of these rules imposes requirements similar to those found in the AICPA's Code of Professional Conduct.¹⁰⁰ The subjective component of these rules provides that the SEC "will consider all relevant facts and circumstances" in determining auditor independence, not merely those circumstances enumerated in the promulgated rule.¹⁰¹

Andersen's Evaluation and Presentation of Independence Issues

With increasing degrees of detail from 1996 through 2001, Andersen advised the Enron Audit Committee regarding issues relevant to an analysis of Andersen's independence. On an annual basis, Andersen also provided the Enron Audit Committee with details concerning its fees for both audit and non-audit services.¹⁰² Based upon the minutes of the Enron Audit Committee, it appears that these communications concerning

⁹⁹ See 17 C.F.R. § 210.2-01 ("Qualification of accountants").

¹⁰⁰ See, e.g., 17 C.F.R. § 210.2-01(c)(1) (prohibiting certain financial interests in audit clients); 17 C.F.R. § 210.2-01(c)(2) (prohibiting certain employment relationships with audit clients); 17 C.F.R. § 210.2-01(c)(3) (prohibiting certain business relationships with audit clients); 17 C.F.R. § 210.2-01(c)(4) (prohibiting or restricting certain non-audit services for audit clients); 17 C.F.R. § 210.2-01(c)(5) (prohibiting contingent fees from audit clients).

¹⁰¹ Setting forth the subjective component of the rule, 17 C.F.R. § 210-01(b) provides as follows:

The Commission will not recognize an accountant as independent, with respect to an audit client, if the accountant is not, or a reasonable investor with knowledge of all relevant facts and circumstances would conclude that the accountant is not, capable of exercising objective and impartial judgment on all issues encompassed within the accountant's engagement. In determining whether an accountant is independent, the Commission will consider all relevant circumstances, including all relationships between the accountant and the audit client, and not just those relating to reports filed with the Commission.

¹⁰² See Minutes of Enron Audit Committee Meeting, May 6, 1996 [AB0256 00006-AB0256 00008]; 5/6/97 Fee Attachment; 5/4/98 Fee Attachment; 5/3/99 Fee Attachment, at 1; 5/1/00 Fee Attachment, at 1-2.

Andersen's independence were made in fairly summary fashion through 1998.¹⁰³

Beginning in 1999, however, Andersen reviewed independence issues with the Enron Audit Committee with greater specificity.

At the August 9, 1999, meeting of the Enron Audit Committee, for example, Andersen alerted Enron regarding an SEC initiative concerning auditor independence and reviewed its application to the Enron engagement, discussing factors such as:

- the hiring of Andersen employees by Enron (noting that this “[o]ccurs at Enron with some regularity”);
- Andersen's policy against the employment of Andersen auditor family members by Enron and the absence of known violations;
- the prohibition against Andersen/Enron joint ventures;
- the limitations on certain non-audit services;
- the prohibition against the ownership of Enron stock by Andersen personnel; and
- the potential for “fee dependency.”¹⁰⁴

¹⁰³ See Minutes of Enron Audit Committee Meeting, Oct. 13, 1997, at 2 (noting that “Mr. Bennett [of Andersen] distributed and reviewed material related to auditor independence and noted the Company's responsibilities with regard thereto”) [AB000186558-AB000186560]; Letter from Andersen, by David B. Duncan, to Dr. Kenneth Lay, Enron Corp., May 11, 1998, at 3 (“Arthur Andersen LLP represents that the Firm and its personnel are independent of Enron pursuant to the rules and regulations of the AICPA and the SEC, as such term is utilized by the AICPA and the SEC.”) (attached to the Minutes of Enron Audit Committee Meeting, Oct. 12, 1998) [AB000191867-AB000191872].

¹⁰⁴ Second Quarter Audit Update Presentation, *SEC Initiatives* (the “Independence Initiative”), at AB0246 01221-AB0246 01223 (attached to Minutes of the Audit Committee Meeting, Aug. 9, 1999) [AB0246 01215-AB0246 01228]. It is unclear whether Andersen noted the issue of potential fee dependency solely on its own initiative or as a result of the issuance of ISB No. 1, which became effective for audits of companies with fiscal years ending after July 15, 1999. While not addressing the issue of potential fee dependency directly, ISB No. 1 imposes a requirement of annual written communication from auditors to the audit committees of SEC registrants regarding all relationships that “in the auditor's professional judgment may reasonably be thought to bear on independence.” See ISB No. 1. Although the Independence Standards Board was dissolved in July 2001, the SEC has announced that it will consider ISB No. 1, *Certain Independence Implications of Audits of Mutual Funds and Related Entities*, Independence Standards Board Standard No. 2 (Independence Standard Bd. July 2000) and *Employment With Audit Committees*, Independence Standards Board Standard No. 3 (Independence Standards Bd. July 2000) to have “substantial authoritative support for the resolution of auditor independence issues.”

With respect to potential fee dependency, Andersen noted the existence of the following mitigating factors:

- “AA’s unique worldwide income sharing model removes direct relationship between regional results and partner income.”¹⁰⁵
- “Enron fees not material to worldwide fees.”¹⁰⁶
- “Network decision making and cross-checking a matter of policy and extremely utilized at Enron.”¹⁰⁷

At the conclusion of its August 9, 1999, independence presentation, Andersen confirmed that it considered itself independent within the meaning of the applicable rules and stated: “We believe our policies surrounding independence are generally more stringent than those required by the SEC, AICPA and applied by others in the profession and we are the only Firm that applies them consistently on a worldwide basis.”¹⁰⁸ At other Audit Committee meetings in 2000 and 2001, Andersen provided the Enron Audit Committee with similarly detailed presentations, concluding in each instance that Andersen remained independent within the meaning of the applicable professional standards and SEC rules.¹⁰⁹

Commission Policy Statement on the Establishment and Improvement of Standards Related to Auditor Independence, Release No., 66 Fed. Reg. 38149 (July 23, 2001).

¹⁰⁵ Independence Initiative, at AB0246 01221-AB0246 01223.

¹⁰⁶ *Id.* In 1999, Andersen’s fees to Enron were approximately \$46.4 million, and Andersen’s worldwide gross income was approximately \$8 billion. *See* Second Quarter 2000 Update on Independence Initiatives Presentation, *Independence*, at AB0246 01634 (attached to the Minutes of the Enron Audit Committee Meeting, Aug. 7, 2000) [AB0246 01622-AB0246 01634].

¹⁰⁷ Independence Initiative, at AB0246 01221-AB0246 01223.

¹⁰⁸ *Id.* at AB0246 01224.

¹⁰⁹ *See, e.g.*, Minutes of Enron Audit Committee Meeting, Aug. 7, 2000 (the “8/7/00 Audit Committee Minutes”), at 3 [AB000201297-AB000201300] (“[Duncan] stated that AA considered its policies surrounding independence to be compliant with those currently required by the SEC, the American Institute of Certified Public Accountants, and those applied by others in the profession.”); Blue Ribbon Committee:

Conclusions Regarding Andersen's Compliance With Independence Requirements

The Examiner is not aware of any evidence indicating that Andersen failed to comply with the technical rules concerning auditor independence as set forth in the AICPA Code of Professional Conduct or the SEC's rules concerning independence, i.e., violation of those rules that the AICPA has characterized as "precepts to guard against the *presumption* of loss of independence."¹¹⁰ Indeed, it appears that Andersen was both aware of those precepts and communicated to the Enron Audit Committee in considerable detail concerning its plan of compliance.

Notwithstanding Andersen's apparent compliance with the "precepts," however, it is at least questionable whether Andersen consistently maintained in fact the "independence in mental attitude"¹¹¹ that those precepts are designed to safeguard. As discussed elsewhere in this Appendix, Andersen facilitated Enron's utilization of its accounting techniques¹¹² on occasions and under circumstances that call into question whether Andersen performed its auditing responsibilities with a "judicial impartiality that recognizes an obligation for fairness not only to management and owners of a business

Review of Key Recommendation Points (attached to the 8/7/00 Audit Committee Minutes, noting that Andersen "[c]omplies" with recommendations concerning auditor independence) [AB000201314]; Minutes of Enron Audit Committee Meeting, April 30, 2001, at 4 [AB000204284-AB000204288]; Independence Presentation (attached to the Minutes of Enron Audit Committee Meeting, Aug. 13, 2001, including detailed review of factors analyzed at August 9, 1999, Audit Committee meeting and reaching similar conclusions) [AB000204603-AB00024608].

¹¹⁰ SAS 1, at § 220.04 (AU § 220.04) (emphasis in original).

¹¹¹ SAS 1, at § 220.01 (AU § 220.01).

¹¹² See discussion below in the *Andersen's Role in the Prepay Transactions*, *Andersen's Role in the FAS 140 Transactions*, *Andersen's Role in the Non-Economic Hedges*, *Andersen's Role in the Tax Transactions*, and *Andersen's Role in the Nahanni Transaction* Sections of this Appendix; see also Second Interim Report, Appendix Q (Schedules Depicting Impact of Enron's Six Accounting Techniques).

but also to creditors and those who might otherwise rely (in part, at least) upon the independent auditor's report, as in the case of prospective owners or creditors."¹¹³

¹¹³ SAS 1, at § 220.02 (AU § 220.02). Handwritten notes produced by Andersen, which are labeled as concerning Project Nahanni, provide a succinct example of a circumstance in which the evidence calls Andersen's "judicial impartiality" into question. In part, those notes state, "NEED TO BUILD CASE FOR EQUITY CHARACTERISTICS." Author unknown, Handwritten Notes entitled "Nahanni," undated (from the desk files of Christopher Herbold) (capitalization in original) [AA-EX00223109].

III. ENRON'S BANKRUPTCY AND THE DEMISE OF ANDERSEN

A. The Final Months of the Enron/Andersen Relationship

Interaction of the PSG and the Engagement Team

The Accounting Principles subgroup of the PSG¹¹⁴ was a team of expert financial accountants at Andersen's Chicago headquarters, many of whom served on various GAAP standard setting groups, including the Emerging Issues Task Force ("EITF"), the Derivatives Implementation Group ("DIG"), and the Accounting Standards Executive Committee of the American Institute of Certified Public Accountants ("AcSEC").¹¹⁵ Stewart, a member of both the EITF and DIG and one of the most preeminent GAAP experts in the nation, served as the leader of the PSG.¹¹⁶ The PSG accountants were expected to keep abreast of the latest developments and trends in GAAP, and as indicated above, to consult, when requested, with Andersen's engagement teams on the application

¹¹⁴ Andersen's PSG included the following subgroups:

- Accounting Principles Group
- International PSG
- SEC Practice Group
- Auditing Standards Group
- Packaged Knowledge

See PowerPoint presentation regarding PSG FY01 Goals and Objectives and Measures [AB0911 1817-AB0911 1823]; see also In-Person Interview with Richard Petersen, Andersen, by H. Bryan Ives, III, A&B, Sept. 16, 2003 (the "Petersen 9/16/03 Interview"). Unless otherwise indicated, references in this Appendix to the PSG refer to the Accounting Principles subgroup of the PSG.

¹¹⁵ See Second Interim Report, Appendix B (Accounting Standards) for a discussion of the GAAP hierarchy and the various standard setters. PSG member John Stewart served on the EITF and Derivatives Implementation Group (the "DIG"); Benjamin Neuhausen served on the Accounting Standards Executive Committee of the American Institute of Certified Public Accountants (the "AcSEC"); and Richard Petersen served on various EITF Working Groups on EITF 98-6. When Engagement Team member Carl Bass joined the PSG in December 1999, he continued to work out of Andersen's Houston office, and thus became the only PSG member not to work from Chicago. Andersen Criminal Trial Transcript, at 1121-22 (testimony of Carl Bass, May 9, 2002).

¹¹⁶ Andersen Organizational Chart, at ELIB00003614-00001.

of GAAP in particular client situations. The PSG spent more time dealing with the Enron Engagement Team than with any other Andersen engagement team.¹¹⁷

If a difference of opinion arose between the PSG and a client engagement team, Andersen's policy was that the issue was to be resolved by the regional Practice Director, but ultimately the policy of the Practice Directors was to defer to the PSG on matters of

¹¹⁷ Stewart Interview. As indicated in the Second Interim Report, Appendix B (Accounting Standards), there is evidence that Andersen accountants facilitated Enron's access to and participation in the GAAP standard setting process. In addition, Andersen accountants who served on the EITF and its various working groups were able to give Enron up-to-the-minute insights into the process and its likely outcome.

An examination of Andersen comment letters on issues pending before the FASB also indicates, however, that, in formulating and presenting the firm's positions on GAAP issues pending before the GAAP standard setters, Andersen often took positions contrary to those of its client Enron. Several of the more prominent examples are:

- Advocating that the 3% Equity Test be replaced with an approach under which "limited purpose SPEs would be consolidated unless there is at least 10% outside, residual equity-at-risk in form and substance." Letter from Richard R. Petersen, Andersen, to Ronald J. Bossio, Financial Accounting Standards Board, Sept. 12, 2000, at AB1129 00621 [AB1129 00621-AB1129 00639].
- Advocating unsuccessfully, during consideration of EITF 96-16 (pertaining to when substantive participating rights of minority shareholders would be sufficient to negate control and thus preclude consolidation by the majority shareholder), that the minority shareholder's investment should be at least 25% of the majority shareholder's investment. See Second Interim Report, Appendix B (Accounting Standards), at 18-19; Stewart Interview.
- Advocating, during consideration of FAS 125, a risks and rewards model rather than the control model that was eventually adopted. Stewart Interview. A risks and rewards model would likely have precluded most of Enron's FAS 140 Transactions.
- Advocating that the risks and rewards approach of FAS 66 rather than the control approach of FAS 125 be applied to the sale of interests in joint ventures that owned real estate such as power plants. See Second Interim Report, Appendix B (Accounting Standards); Stewart Interview. The EITF agreed with Andersen and issued EITF 98-8.

Timothy Lucas, former Director of Research and Technical Activities of the FASB and Chairman of the EITF, has stated that, in general, Andersen was a little more willing than the other large accounting firms to take positions that would not be popular with its clients. Telephone Interview with Timothy Lucas, former Director of Research and Technical Activities, FASB, by H. Bryan Ives, III, A&B, Oct. 20, 2003.

GAAP accounting.¹¹⁸ Odom was the Practice Director for the Gulf Coast Market Circle and thus for the Enron engagement.¹¹⁹

As discussed in Prior Reports, Enron routinely engaged in structured finance transactions toward the end of reporting periods in order to increase its reported income and cash flow from operations, and to remove debt from its balance sheet.¹²⁰ According to testimony of Andersen partners in the Andersen criminal trial, Enron engaged in at least two such transactions in the fourth quarter of 2000 that were the subject of misunderstandings between the PSG and the Engagement Team:

- *The Blockbuster Transaction.* As discussed in the Second Interim Report, in the Blockbuster transaction, Enron contributed a contract with Blockbuster to provide movies-on-demand to an Enron subsidiary and sold a 45% interest in this subsidiary in a FAS 140 Transaction, recognizing a \$53 million gain and \$57 million in cash flow from operations.¹²¹ Carl Bass, a member of PSG, consulted with the Engagement Team on this transaction and informed them that in order to recognize the transaction as a sale, the subsidiary had to be engaged in “a real business” and that an “independent third-party appraisal” was needed.¹²² On the issue of whether the subsidiary was a real business, Stewart testified: “We were negative on that question. We thought it had more attributes of a special purpose entity than it did of

¹¹⁸ Andersen Criminal Trial Transcript, at 4496-99, 5532 (testimony of Richard Corgel, May 27, 2002, and John Stewart, May 31, 2002).

¹¹⁹ Odom Interview; Andersen Criminal Trial Transcript, at 4501 (testimony of Richard Corgel, May 27, 2002). Odom reported to Richard Corgel who became the Managing Practice Director of North America in April 2001. Andersen Criminal Trial Transcript, at 4501 (testimony of Richard Corgel, May 27, 2002).

¹²⁰ See, e.g., Third Interim Report, at 13 (identifying eleven structured finance transactions completed in the final two weeks of 1999, generating reported net income of \$114 million and contributing over \$1.2 billion of cash flow from operating activities); Second Interim Report, Annex 1 to Appendix E (Prepay Transactions), at 12 (describing the closing of the Chase XII Prepay Transaction on September 28, 2001, resulting in JPMorgan's delivery (through Mahonia) of \$350 million to ENA); Second Interim Report, Appendix H (Marlin Transaction), at 4-5 (describing Enron's formation of Atlantic Water Trust in December 1998 to facilitate Enron's refinancing of certain water-related assets). In a presentation to senior Andersen risk and practice management partners on February 5, 2001, the Engagement Team noted Enron's “Heavy Reliance on Completing Transactions and at a High Pace” and that “Transactions often Bunched at Period End.” Retention Meeting Presentation, at 8.

¹²¹ Second Interim Report, at 29-32.

¹²² Andersen Criminal Trial Transcript, at 1146-1147 (testimony of Carl Bass, May 9, 2002).

a business. It was a start-up. It was just getting started.”¹²³ No third-party appraisal was obtained. Nevertheless, the transaction was closed and accounted for as a sale.¹²⁴

- *The Raptor Aggregation Issue.* As described in the Second Interim Report, the “Raptors” were four separate subsidiaries of LJM2, an investment partnership whose general partner was controlled by Fastow.¹²⁵ In 2000, Enron reported \$531.9 million of revenue from derivative transactions with LJM2’s Raptor subsidiaries, which offset a like amount of loss recognized by Enron with respect to various merchant investments. By December of 2000, however, two of the Raptor entities did not have sufficient assets to satisfy their obligations to Enron.¹²⁶ To enable Enron to continue to report income from all of the Raptor vehicles, however, Enron entered into a temporary, 45-day cross-collateralization arrangement. The purpose of this arrangement was to permit Enron to consider on an aggregate basis all of the assets in each of the Raptor entities in determining whether any particular Raptor entity could satisfy its obligations to Enron. Both Stewart and Bass testified at the Andersen criminal trial that they had advised the Engagement Team in December 2000 that viewing the credit capacity of the Raptor vehicles on an aggregated basis (the “Aggregation Issue”) was not permitted under GAAP regardless of this

¹²³ Andersen Criminal Trial Transcript, at 5561 (testimony of John Stewart, May 31, 2002).

¹²⁴ In an email to Stewart on March 4, 2001, Bass stated with respect to the Blockbuster transaction: “[D]espite all of the turmoil over this, we (PSG) did not object to this transaction as it appeared to meet the technical requirements of Statement 125. We relied on the engagement team to address both the definition of a business and the valuation issues of immediate gain.” Email from Carl E. Bass, Andersen, to John E. Stewart, Andersen, regarding Enron, Mar. 4, 2001 (the “Bass 3/4/01 Email”), at 2 [ELIB00003656-00001-ELIB00003656-00004]; *see also* Email from Michael C. Odom, Andersen, to John E. Stewart, Andersen, regarding EBS-Content Services LLC Formation, Oct. 17, 2001 [PSI00002063-PSI0002065]. Based upon the evidence reviewed by the Examiner, the Bass 3/4/01 Email appears to be an accurate example of the internal line of responsibility between the PSG and the Engagement Team. As previously indicated, the PSG would consult on matters of technical GAAP, but factual matters, including auditing procedures undertaken to investigate and verify the facts, were the responsibility of the Engagement Team. In this instance, whether the subsidiary was a business and how the value of the interest sold was audited were matters procedurally within the purview of the Engagement Team and not the PSG. Willard Interview.

¹²⁵ Second Interim Report, Annex 5 to Appendix L (Related Party Transactions), at 1; Second Interim Report, at 104.

¹²⁶ Second Interim Report, Annex 5 to Appendix L (Related Party Transactions), at 33-34. The obligations of the Raptors to Enron consisted of both promissory notes held by Enron and derivative instruments providing for future settlement. The promissory notes were subject to being written down if Enron’s ability to collect was determined to be impaired under FAS 114. Accounting for Creditors for Impairment of a Loan, Statement of Financial Accounting Standards No. 114 (Financial Accounting Standards Bd. 1993) (“FAS 114”). The derivative instruments were carried by Enron at fair value pursuant to FAS 133, which fair value was required to reflect credit risk. Accounting for Derivative Instruments and Hedging Activities, Statement of Financial Accounting Standards No. 133 (Financial Accounting Standards Bd. 1998) (“FAS 133”). Thus, the Raptor aggregation issue was both an impairment and a fair value issue.

arrangement.¹²⁷ Nevertheless, the Engagement Team approved Enron's accounting for the Raptor transactions on an aggregated basis.¹²⁸

In early 2001, Bass, who was formerly on the Engagement Team and became a member of the PSG in December 1999, was informed by Andersen senior executive Gary Goolsby that Causey had requested that Andersen remove Bass from further participation in the Enron engagement, and that Andersen senior executives had agreed to that request.¹²⁹ Stewart testified:

[I] thought it was unprofessional for Enron to make such a request or demand or whatever it was, and I was upset that the firm had agreed to it. . . . [I] can't speak for the whole firm in terms of defining moments, but it was a defining moment to me and me as part of the PSG and our relationship [with Enron]. . . .¹³⁰

Andersen's February 5, 2001 Client Retention Meeting

As part of the customary and periodic review of Andersen's "maximum" risk clients such as Enron, described above, on February 5, 2001, a conference call meeting was held between various members of the Engagement Team, PSG and other senior Andersen executives to consider whether to retain Enron as a client for the coming

¹²⁷ Andersen Criminal Trial Transcript, at 1141-1142, 5571 (testimony of Carl Bass, May 9, 2002, and John Stewart, May 31, 2002).

¹²⁸ The final Raptor memorandum on this point states that Michael Odom, the Practice Director, and Lowther, the Concurring Partner, approved the treatment. Memorandum from David Duncan, *et al.*, Andersen, to the Files, regarding Raptor Structures Update, Dec. 28, 2000, as amended, Oct. 12, 2001 ("Raptor Memo #8A") (listed in Annex 1 to this Appendix), at 3 [AB0648 00577-AB0648 00579]. Lowther has told the Examiner that, at the time, he was unaware of the contrary view of the PSG. Lowther believed then, and continues to believe, that the Raptor notes, which were due in four years, were not impaired regardless of the Aggregation Issue. Lowther Interview. There is evidence that the PSG's advice on this point was not clearly communicated. See Bass 3/4/01 Email.

¹²⁹ Andersen Criminal Trial Transcript, at 1163 (testimony of Carl Bass, May 9, 2002). Even though he moved from the Engagement Team to the PSG in December 1999, Bass spent considerable time as a member of the PSG consulting with the Engagement Team on Enron matters in 2000. Andersen Criminal Trial Transcript, at 1123-24 (testimony of Carl Bass, May 9, 2002). Moreover, even after Andersen agreed to his removal from Enron matters in early 2001, he continued to consult on Enron. Andersen Criminal Trial Transcript, at 1175 (testimony of Carl Bass, May 9, 2002).

¹³⁰ Andersen Criminal Trial Transcript, at 5537-38 (testimony of John Stewart, May 31, 2002).

year.¹³¹ Prior to the meeting, the Engagement Team had provided the participants with presentation materials.¹³² One of the slides in the presentation materials, reproduced below, disclosed how much of Enron's income before interest, minority interest and taxes ("IBIT") for 1999 and 2000 was attributable to mark-to-market accounting, fair value accounting, FAS 140 Transactions and credit/prudency reserves, and how much of Enron's 2000 IBIT and 2000 funds flow was attributable to transactions with LJM, Whitewing¹³³ and the FAS 140 Transactions.¹³⁴

¹³¹ Email from Michael D. Jones, Andersen, to David B. Duncan and Thomas H. Bauer, Andersen, regarding Enron retention meeting, Feb. 6, 2001 (the "Jones 2/6/01 Email"), at PSI00004467 [PSI00004467-PSI00004468]. According to the email, attendees by phone were Steve M. Samek, William Swanson (Head of ABA, Gulf Coast Market Circle), Jeannot Blanchet (former Head of the PSG), Gregory J. Jonas (PSG Partner), Robert Kutsenda (Global Practice Director), Stewart (PSG Partner), and attendees in Houston were Bennett, Goddard (Advisory Partner, Enron Engagement), Goolsby (Global Managing Partner, Risk Management), Odom (Practice Director, Gulf Coast Market Circle), Lowther (Partner in charge of Energy Audit Division and Concurring Partner on the Enron Engagement), Duncan (Global Managing Partner, Enron Engagement), Bauer (Enron Wholesale Audit Partner) and Jones (Enron Europe Partner). The Engagement Team also held pre-year end risk review meetings with Odom and Lowther. Email from Christopher J. Herbold, Andersen, to Clint Carlin, *et al.*, Andersen, regarding Enron – Risk Review Meeting, Nov. 7, 2000 [AB0911 1919].

¹³² See Retention Meeting Presentation.

¹³³ The Whitewing activity is identified by the "Condor" notation in the slide. For a more complete description of the Whitewing structure, see Second Interim Report, Appendix G (Whitewing Transaction).

¹³⁴ Retention Meeting Presentation, at 5. The FAS 140 activity is identified by the "FAS 125" notation in the slide.

Selected Financial Data

Segment IBIT		
	00	99
Wholesale		
Commodity	\$1,630	\$628
Assets & Inv.	889	850
Unallocated	(259)	(161)
Subtotal	2,260	1,317
T&D		
Pipeline	391	380
Electricity	341	305
Retail	165	(65)
Broadband	(60)	-0-
Corp. & Other	(615)	61
Total	\$2,482	1,995

IBIT Composition		
	00	99
Asset Based	\$2,352	\$2,685
MTM	3,250	1,321
Fair Value	784	839
FAS 125	324	294
Credit/Prudency	(313)	115
Other	80	437
Subtotal	\$6,497	\$5,491
Expenses/Elims.	(3,955)	(3,496)
Total	\$2,482	\$1,995

Impact of Selected Items on 2000		
	IBIT	Funds Flow
Related Party Vehicles:		
LJM - Hedging Derivatives	\$ 502	\$ -
- Other	167	162
Condor	-	717 (1)
SFAS 125 Transactions	324	1,700 (500 net)
Total Company	\$2,482	\$2,917
1) Includes \$540 that are also 125's		

Key Credit Ratios			
	00(est.)	99	98
Funds flow interest coverage	4.00	3.67	3.53
Pretax interest coverage	2.23	2.63	2.18
Funds flow/total obligations	26.4%	25.3%	21.3%
Total obligations/total obligations plus total shareholders' equity and certain other liabilities	42.0%	40.4%	46.3%
Debt/total capital	40.2%	38.5%	41.9%

Through the following slide, the Engagement Team explained that Enron was "Comfortable With GAAP Minimums," and "Comfortable With Use of Related-Party Structures," circumstances that created risk for Andersen.¹³⁵

¹³⁵ *Id.* at 8.

Risk Overview

Company Specific Environmental Factors

- High Growth Rate, P.E. Multiple and Incentives put Management Under Extreme Pressure
 - Overall, Business Unit, Individual
 - Increased Pressure on New Businesses
- Company Culture of Assertiveness, Informed Risk Taking and Sophisticated Structuring
 - History of Success When Challenged
 - High Degree of Confidence in Management by Board of Directors
- Extensive Use of Mark-To-Market and Fair Value Models
- Heavy Reliance on Completing Transactions and at a High Pace
 - "Bring Value Created to Bottom Line"
 - Demonstrate Liquidity of Portfolio
 - Achieve Capital Velocity Necessary to Achieve Business Objectives
 - Transactions Often Bunched at Period End
 - Activity Spread Among Broad Group of Individuals
- Assertive Culture Translates to Transaction Practices
 - Highly Structured Transactions Very Common (SPE's, JIV's, SFAS 125 Transactions, etc.)
 - Comfortable With GAAP Minimums
 - Comfortable With Use of Related Party Structures
- Pace of New Business Development Puts Pressure on Infrastructure and Internal Controls
- Adds People To The Structuring Process Faster Than We Have Been Able (Including Hiring a Number of Our People)

In an email to Duncan and Bauer on the following day, Michael Jones, another Engagement Team partner present at the meeting, passed along his notes on the meeting.¹³⁶ Jones' email indicated that "discussions were held to varying degrees on each page of the presentation materials."¹³⁷ Jones' email also indicated that significant discussion was held regarding the LJM transactions "including the materiality of such amounts to Enron's income statement and the amount retained 'off balance sheet.'"¹³⁸ Jones also noted that the meeting participants "discussed Enron's dependence on

¹³⁶ Jones 2/6/01 Email, at PSI00004467.

¹³⁷ *Id.* at PSI00004468.

¹³⁸ *Id.* at PSI00004467.

transaction execution to meet financial objectives.”¹³⁹ Jones stated that “ultimately the conclusion was reached to retain Enron as a client citing that it appeared that we had the appropriate people and processes in place to serve Enron and manage our engagement risks.”¹⁴⁰

Also included among the presentation materials for the internal client retention meeting were examples of slides to be presented by the Engagement Team to Enron’s Audit Committee. One such slide is reproduced below:¹⁴¹

Selected Observations 2000 Financial Reporting

(Audit Committee
Presentation Example)

<u>Category</u>	<u>Examples</u>	<u>Comment</u>
Highly structured transactions	• Securitizations • Syndication and off-balance sheet vehicles • Other complex sales structures • Complex contract structures	• High dependency on transactions to meet objectives. • Application of GAAP often requires extreme judgement. • Continued interpretive guidance likely. • Extent of necessary disclosures can be judgemental.
Use of mark-to-market and fair value model	• Trading contracts • Derivative contracts • Investment company holdings of public and non-public securities	• Significant inherent judgemental issues regarding: • Applicability of model to specific products or transactions; • Valuation (curves, reserves) • Multi-element arrangement • Consistency of application among business units continues to be refined. • Incorporating new products continues to present challenges. • Continued interpretive guidance likely. • Extent of necessary disclosures can be judgemental.

¹³⁹ *Id.*

¹⁴⁰ *Id.*

¹⁴¹ Retention Meeting Presentation, at 23.

The Audit Committee Meeting on the 2000 Financial Statements

One week after attending Andersen's internal client retention meeting, on February 12, 2001, Duncan and Bauer attended a meeting of Enron's Audit Committee.¹⁴² During the Audit Committee meeting, the Andersen accountants presented this same slide, except that beside the category "Highly structured transactions," under the column "Comment" the second comment presented to the Audit Committee stated that "Application of GAAP often requires *significant* judgment," rather than "Application of GAAP often requires *extreme* judgment."¹⁴³

The risk to Andersen of retaining Enron as a client and the risk to Enron associated with significant or extreme judgment in the application of GAAP or in making financial disclosures was in essence the same – the risk that others could have a different view about whether those accounting judgments were proper. If that risk were realized, both Enron and Andersen could be subject to claims by third parties that they had been misled by Enron's publicly disseminated financial information.

As is described in detail below, applicable professional standards required that Andersen "*determine that the audit committee is informed about the methods used to account for significant unusual transactions and the effect of significant accounting policies in controversial or emerging areas for which there is lack of authoritative*

¹⁴² Minutes of Enron Audit Committee Meeting, Feb. 12, 2001 (the "2/12/01 Audit Committee Minutes"), at 1 [AB000204423-AB000204428].

¹⁴³ Compare the Audit Update Presentation, *Selected Observations - 2000 Financial Reporting* ("Selected Observations of 2000"), at AB000204304 (attached to the 2/12/01 Audit Committee Minutes) [AB000204301-AB000204305] (handwriting redacted to improve legibility), with the Retention Meeting Presentation, at 23 (emphasis added). Handwritten notes related to that meeting suggest that in his oral presentation, Duncan may have described the risks as "extreme." David Duncan, Typed Notes entitled "Financial Comments," undated [AB0911 2292]. These notes, and other similar typed and handwritten notes described in this Appendix, have not been authenticated, nor has the Examiner been able to obtain the testimony of Duncan with respect to them. Duncan has exercised his Fifth Amendment privilege.

guidance or consensus.”¹⁴⁴ The standards also required that Andersen discuss the “*quality, not just the acceptability*” of Enron’s accounting policies and “items that have a significant impact on the *representational faithfulness* . . . of the accounting information included in the financial statements.” The standards provide that the discussion should be “open and frank and generally should include such matters as the consistency of the entity’s accounting policies and their application and the clarity and completeness of the entity’s financial statements, *which include related disclosures*.”¹⁴⁵

The Examiner has found no evidence, however, indicating that any of the Andersen partners at the February 12, 2001 Audit Committee meeting described for the Audit Committee what those Andersen partners knew (and had discussed a week earlier among themselves at their meeting to assess Andersen’s risk in retaining Enron as a client), specifically, the amount of Enron’s IBIT or funds flow attributable to: (i) mark-to-market accounting; (ii) the FAS 140 Transactions; or (iii) related party transactions.¹⁴⁶ Rather, at the Audit Committee meeting, Duncan told the Audit Committee that Andersen expected to issue an unqualified opinion on Enron’s financial statements, whereupon the Audit Committee approved the financial statements for recommendation to the Board.¹⁴⁷ On February 23, 2001, Andersen issued its unqualified opinion on Enron’s 2000 financial statements.

¹⁴⁴ SAS 61, at § 7 (AU § 380.7) (emphasis added).

¹⁴⁵ SAS 61, at § 11 (as amended by SAS 90, at § 1) (AU § 380.11) (emphasis added).

¹⁴⁶ The 2/12/01 Audit Committee Meeting, as well as other Audit Committee meetings from February 1999, through November 2001, are discussed in more detail below in the *Andersen’s Interaction with Enron’s Audit Committee* Section of this Appendix.

¹⁴⁷ 2/12/01 Audit Committee Minutes, at 2.

Bass Identifies Problem Areas

On March 4, 2001, Bass sent Stewart an email addressing “some sort of assertion that I have a ‘problem’ with Rick Causey or someone at Enron that results in me having some caustic and inappropriate slant in dealing with their questions.”¹⁴⁸ In this email, Bass highlighted a number of Enron’s year-end 2000 transactions:

Blockbuster – Bass stated to Stewart that “both you and I had expressed some concern about this deal.”¹⁴⁹

Side agreements Guaranteeing 3% Residual Equity Interest in SPE – Bass stated that he “was aware of another securitization in which [Enron] had provided a side agreement to guarantee the 3% residual equity at risk with [CIBC]. Although it is not my job (which I acknowledged to the Engagement Team), I did suggest confirmation as an audit procedure.”¹⁵⁰

Bacchus Transaction – As discussed in the Second Interim Report, Bacchus was a FAS 140 Transaction in which Enron sold an equity interest in its pulp and paper business and recognized \$212 million of gain and \$200 million of operating cash flow in December of 2000.¹⁵¹ After the transaction was closed, Bass advised that additional equity was needed in order to support the nonconsolidation of Fishtail, one of the entities in the structure.¹⁵² Bass’s email states that “the Engagement

¹⁴⁸ Bass 3/4/01 Email, at 1.

¹⁴⁹ *Id.* at 2. In its earnings release of October 16, 2001, in connection with a “restructuring” of its broadband business, Enron recognized a loss of \$180 million, thus in effect reversing \$58 million of gain recognized in the fourth quarter of 2000 and an additional \$53 million of gain recognized in the first quarter of 2001. Enron Press Release, “Enron Reports Recurring Third Quarter Earnings of \$.43 Per Diluted Share; Reports Non-Recurring Charges of \$1.01 Billion After-Tax; Reaffirms Recurring Earnings Estimates of \$1.80 for 2001 and \$2.15 for 2002; and Expands Financial Reporting,” Oct. 16, 2001 [ELIB00001783].

¹⁵⁰ Bass 3/4/01 Email, at 2. As discussed in the Third Interim Report and summarized below in the *Andersen’s Role in the FAS 140 Transactions* Section of this Appendix, senior Enron officers had given CIBC, Citigroup and Barclays oral assurances that Enron would pay off the 3% “at risk” equity interests regardless of whether the SPE had sufficient assets. Andersen accountants have informed the Examiner that had they known this, they would not have approved Enron’s accounting for the FAS 140 Transactions because the equity interests were not “at risk.” Despite Bass’s suggestion, the Engagement Team did not seek to confirm with the holders of the 3% equity interests whether those interests were “at risk.”

¹⁵¹ See Second Interim Report, Appendix K (Forest Products Transactions), at 20-35 (discussing the Fishtail transaction); see also Second Interim Report, Appendix K (Forest Products Transactions), at 23 n.104 (discussing Fishtail’s initial capital structure). The Examiner has concluded, for the reasons described in the referenced Appendix, that Fishtail did not own a “business.” For that reason, and other reasons described in the Appendix, the accounting for the Bacchus transaction was not in accordance with GAAP. Second Interim Report, Appendix K (Forest Products Transactions).

¹⁵² See Second Interim Report, Appendix K (Forest Products Transactions).

Team went back and had the equity holder contribute additional equity. The equity holder in this case was the LJM entity, a related party, because the CFO is the managing equity member.”

Raptors – Bass noted that “one problem I had with Raptor was that the original structure was one in which the PSG was not consulted on.”¹⁵³

Azurix Impairment – Enron had an investment in the water systems company, Azurix Corp., through its Marlin Share Trust structure, as well as direct stock ownership. The decline in the value of this investment raised an accounting issue at the end of 2000 regarding the amount of impairment charge that Enron should recognize. Regarding this issue, Bass stated to Stewart:

You told them about 6-9 moths [sic] ago that 6-9 months was a good indicator of whether an impairment was permanent with respect to that investment. I had repeated that advice post yearend but by then the investment was under water for about 18 months. I told the engagement partner that it was judgment – not really PSG’s call. I was told by him that ‘he had never communicated the original advice to the client and therefore he could not go in now and do so now.’ I was led to believe that he went to his Practice Director. Again, not really our call.¹⁵⁴

Eli Lilly Transaction – As discussed in the Second Interim Report, the Eli Lilly transaction was a FAS 140 Transaction in which Enron “monetized” a portion of its contract with Eli Lilly to provide long-term energy-management outsourcing services.¹⁵⁵ In his email to Stewart, Bass described the transaction and stated “in effect, nothing was accomplished in this transaction except a sale of future revenues.¹⁵⁶ The engagement partner [Cash] agreed with my view and in fact had the same view.’ She was seeking concurrence. I was told they booked the transaction anyway and that we will propose a PAJE.”¹⁵⁷ When a PAJE was proposed, Enron did not accept the proposal, Andersen determined in the context

¹⁵³ Bass 3/4/01 Email, at 3. The “original structure” was the hedge involving Enron’s investment in Rhythms NetConnections (the “Rhythms Hedge”).

¹⁵⁴ *Id.* In its 2000 financial statements, Enron did not record an impairment of its investment in Azurix Corp., which investment was recorded at \$325 million at year end. “Financial Review - Enron Corp. and Subsidiaries Notes to the Consolidated Financial Statements - Unconsolidated Equity Affiliates,” Enron 2000 Annual Report, at 42. However, in its earnings release of October 16, 2001, Enron announced that it was taking a \$287 million impairment charge on its investment in Azurix Corp. Enron did, on the other hand, reflect in its earnings for 2000 its share of an impairment that Azurix Corp. itself took related to the carrying value of its Argentine assets. Enron’s after-tax portion of that charge was \$326 million. *Id.*

¹⁵⁵ See Second Interim Report, at 32-36.

¹⁵⁶ Bass 3/4/01 Email, at 4.

¹⁵⁷ *Id.*

of both the first and second quarters that the PAJE was not material and thus did not insist that Enron record it.¹⁵⁸

Bass did not participate in the February 5, 2001 Enron client retention meeting. While Stewart apparently did participate,¹⁵⁹ the Examiner has found no evidence indicating that, at the time, Stewart was fully aware of the various issues set forth in Bass's March 4, 2001 email.

Problems with the Raptors

As Enron's stock began to decline in value during the summer of 2001, it became apparent that, even on an aggregate basis, the Raptor entities could not satisfy their obligations to Enron under the various hedging transactions. Accordingly, Enron began to consider a number of options, including the termination of the Raptor transactions.¹⁶⁰

Stewart testified that he participated in a conference call on September 11, 2001, in which

the issue being discussed was . . . whether we thought or the firm should recommend or did the firm have a view as to whether these Raptor transactions should be terminated and closed down and finished up with if you will . . . but this was a business decision, not an accounting decision. But, I think Rick [Petersen] and I expressed a view that it would be all right with us if they terminated.¹⁶¹

On September 14, 2001, Duncan's executive assistant, Shannon Adlong, circulated ten memos that the Engagement Team had prepared documenting their conclusions on LJM2 and the various Raptor transactions to four members of the PSG as

¹⁵⁸ Cash Sworn Statement, at 135-36.

¹⁵⁹ Jones 2/6/01 Email.

¹⁶⁰ See Memorandum from Ryan H. Siurek and Ron Baker, Enron, to the Files, regarding Project Raptor-Addendum, Sept. 2001 (draft) [AB000182577-AB000182579]; Second Interim Report, Annex 5 to Appendix L (Related Party Transactions), at 43-47.

¹⁶¹ Andersen Criminal Trial Transcript, at 5406-07 (testimony of John Stewart, May 30, 2002).

well as to a number of partners and managers on the Engagement Team, requesting that they review the memos for a call on the following Monday, September 17, 2001. Bass responded in an email dated September 25, 2001, that he had not seen the Raptor memos until they were circulated on September 14.¹⁶² His September 25th email examines the issues described in five of the memos, indicating those issues on which he was consulted and his advice regarding the same, and those issues on which he was not consulted and rendered no advice. Stewart prepared and sent a similar email dated September 25, 2001.¹⁶³

In September 2001, a group of up to twenty Engagement Team and PSG partners, Practice Directors, in-house legal counsel and senior Andersen executives began to address various Enron issues during conference calls held every two or three days.¹⁶⁴ This group was reduced in size somewhat and was formally designated as the “core consultation group” around October 20-23, 2001.¹⁶⁵

During the period September 21, 2001 through October 16, 2001, the consultation group reviewed at least sixteen different Raptor memos dated from December 31, 1999, through October 12, 2001. These Raptor memos were prepared by Engagement Team accountants, and they discussed numerous GAAP issues with respect to the Raptors.¹⁶⁶

¹⁶² Email from Carl Bass, Andersen, to Debra Cash, *et al.*, Andersen, regarding Raptor memos, Sept. 25, 2001 [ELIB00003663-00001-ELIB00003663-00002].

¹⁶³ Email from John E. Stewart, Andersen, to Debra A. Cash, *et al.*, Andersen, regarding Enron Raptor Memos, Sept. 25, 2001 [AB0786 02952].

¹⁶⁴ Andersen Criminal Trial Transcript, at 4519-24 (testimony of Richard Corgel, May 27, 2002).

¹⁶⁵ Andersen Criminal Trial Transcript, at 4520 (testimony of Richard Corgel, May 27, 2002). This group is referred to in other text as the “consultation group,” although inclusion in the group and the group’s label was not formalized until October.

¹⁶⁶ See Annex 1 to this Appendix (summarizing the Raptor memos). Many of the GAAP issues applied to each of the four Raptor structures.

As a result of this lengthy deliberative process, the memos were rewritten to reflect the agreements and positions of the various accountants on the Engagement Team and the PSG, as well as the senior Andersen executives and in-house lawyers, on the numerous accounting issues identified in the memos. Included in this discussion was mention of the Aggregation Issue: that Enron, with Andersen's concurrence, had improperly permitted the aggregation of the four Raptors for purposes of determining impairment of the notes and the fair value of derivative instruments held by Enron at the end of 2000 and the first and second quarter of 2001.¹⁶⁷

Also during this period prior to the October 16, 2001 earnings release, Andersen realized that it had made another error connected with the Raptor transactions by permitting Enron to book approximately \$1 billion of notes receivable from the Raptor entities as assets rather than as a reduction in equity. This error resulted in an overstatement of Enron's equity as follows:¹⁶⁸

Date	Percentage Overstatement
06/30/2000	1.6%
09/30/2000	1.5%
12/31/2000	1.5%
03/31/2001	8.5%
06/30/2001	8.5%

¹⁶⁷ Memorandum from David B. Duncan and Debra A. Cash, Andersen, to the Files, regarding Enron-Raptor Entity Note Impairment, Oct. 15, 2001 ("Raptor Memo #14") (listed in Annex 1 to this Appendix) [AB0684 00306-AB0648 00316].

¹⁶⁸ Memorandum from Dave Duncan and Debra A. Cash, Andersen, to the Files, regarding Raptor Notes - Balance Sheet Reclass, Sept. 1, 2001 ("Raptor Memo #13") (listed in Annex 1 to this Appendix) [AACC000010671]. Under GAAP, when a company issues its stock in exchange for a note, the company is not permitted to report the note as an asset and must instead report the note as a reduction to equity ("contra equity"). See Classifying Notes Received for Capital Stock, 1 EITF Abstracts (FASB) 85-1 (Mar. 28, 1985); SEC Staff Accounting Bulletin No. 40 (Topic 4-E), Equity Accounts, Receivables from Sale of Stock, 46 Fed. Reg. 115133 (Jan. 23, 1981). After considering other 2000 year-end adjustments that were not made, year-end 2000 equity was overstated by 10.5% as a result of this error. Second Interim Report, Annex 5 to Appendix L (Related Party Transactions).

Andersen initially supported Enron's conclusion that these errors did not have a material impact on the prior periods.¹⁶⁹ Accordingly, on the morning of October 16, 2001, Duncan informed Causey that although Andersen had not finished its work, it believed that a restatement would not be necessary as a result of the Aggregation Issue or the Raptor equity overstatement.¹⁷⁰

Enron, without objection from Andersen, did not mention in its earnings release that a restatement was under consideration.¹⁷¹ Moreover, Enron chose not to disclose in its earnings release the \$1 billion reduction in equity,¹⁷² which was unrelated to the earnings charge of a similar amount. It was not until an analyst call later that afternoon that Enron revealed the reduction in equity.

Other Revelations

The negative publicity surrounding the related party transactions that followed the third quarter earnings release and analyst call resulted in: (i) a letter dated October 17, 2001 from the SEC's Fort Worth office to Enron opening an informal SEC inquiry;¹⁷³

¹⁶⁹ See, e.g., Andersen Criminal Trial Transcript, at 1847, 2038-39, 2422-23 (testimony of David Duncan, May 14-16, 2002).

¹⁷⁰ Andersen Criminal Trial Transcript, at 1796, 1847, 5592-93 (testimony of David Duncan, May 14, 2002, and John Stewart, May 31, 2002).

¹⁷¹ Duncan testified that he objected to Enron's use of the label "non-recurring" in describing the \$1 billion third quarter charge in its earnings release. See Andersen Criminal Trial Transcript, at 1796, 1847, 5592-93 (testimony of David Duncan, May 14, 2002). Other than that, Duncan and Andersen expressed no objections to the press release. See Email from Gary B. Goolsby, Andersen, to David B. Duncan, Andersen, and copy to Debra A. Cash, *et al.*, Andersen, regarding Press Release Verbage, Oct. 13, 2001 [AATR000139-AATR000140]; Email from Michael C. Odom, Andersen, to David B. Duncan, Andersen, regarding Press Release Verbage, Oct. 12, 2001 [PSI00272912]; Memorandum from David B. Duncan, Andersen, to the Files, regarding Enron Press Release Discussions, Oct. 15, 2001 (draft) [AATR000232-AATR000234].

¹⁷² Enron's total reduction of equity was \$1.2 billion, composed of the \$1 billion resulting from the Raptor equity overstatement and \$200 million resulting from the termination of the Raptors themselves. See Enron Form 10-Q filed with the SEC for the Quarter ended Sept. 30, 2001 (the "Enron 9/30/01 Form 10-Q").

¹⁷³ Letter from Spencer C. Barasch, Associate District Administrator, SEC, and John C. Martin, Staff Attorney, SEC, to James V. Derrick, Jr., Executive Vice President and General Counsel, Enron, and

(ii) Fastow's departure on October 24, 2001; and (iii) the Board's appointment of the Powers Committee. In the days that followed, in order to help Enron respond to the SEC's inquiry, Andersen performed further analysis of the various "high risk" accounting structures it had previously approved. As a part of this work, Duncan testified that Andersen discovered¹⁷⁴ a third error: that Enron's Non-Economic Hedge of its Rhythms stock in 1999, which accounted for \$95 million (11%) of that year's net income (the "Rhythms Hedge"), also was flawed.¹⁷⁵ In addition, Andersen reversed its earlier position on the immateriality of the \$1 billion equity reduction issue, due in part to adverse public reaction to the analyst call as reflected in the decline of Enron's stock price, concluding that the reduction of 8.5% of Enron's December 31, 2000 equity was material and required restatement.¹⁷⁶

Andrew S. Fastow, Executive Vice President and Chief Financial Officer, Enron, Dec. 17, 2001 [ELIB00003682-00001-ELIB00003682-00006].

¹⁷⁴ Duncan testified that the Engagement Team first discovered this error after the October 16 earnings release. However, Bass informed Stewart in his March 4, 2001 email that the PSG had not approved the Rhythms Hedge. Bass 3/4/01 Email, at 2.

¹⁷⁵ Second Interim Report, Annex 2 to Appendix L (Related Party Transactions); *see generally* Andersen Criminal Trial Transcript, at 2034 (testimony of David Duncan, May 15, 2002); Andersen document entitled "Rhythms Restatement," undated (the "Rhythms Restatement Document") (with handwritten notes) [AB1128 01360].

¹⁷⁶ Andersen Criminal Trial Transcript, at 1848-49, 1927-28 (testimony of David Duncan, May 14, 2002). The Engagement Team's original determination that the \$1 billion equity reduction was not material seems to have been in conflict with the SEC's views on materiality in SAB 99. Senior Andersen executives apparently came to this realization as well. Andersen Criminal Trial Transcript, at 6149-6151 (testimony of John Riley, June 4, 2002). Andersen Engagement Team partners Duncan and Cash, Practice Director Odom and Concurring Partner Lowther apparently all agreed prior to the October 16, 2001 earnings release that the overstatement of equity at December 31, 2000, March 31, 2001, and June 30, 2001, was not material. Raptor Memo #13; *see also* Andersen Criminal Trial Transcript, at 2423 (testimony of David Duncan, May 16, 2002). In an email to Duncan dated October 25, 2001, Andersen executive Larry Rieger notes that "since SAB 99 talks about 5% as being material (at least as far as income is concerned), how can 10.5% and 8.5% of equity not be material?" Email from Lawrence A. Rieger, Andersen, to David B. Duncan, Andersen, regarding Balance Sheet Memo, Oct. 25, 2001, at ELIB00003851-00001 [ELIB00003851-00001-ELIB00003851-00002]. Rieger suggested that the Engagement Team add additional justifications to Raptor Memo #13, dated Sept. 1, 2000, to support their initial determination, and they did. *Id.*

Also following the October 16, 2001 earnings release, but prior to the filing of Enron's third quarter 10-Q on November 19, 2001, Andersen became aware that Michael Kopper's investment in Chewco, the entity that had purchased CalPERS' interest in JEDI, was not at risk.¹⁷⁷ This revelation meant that the JEDI partnership should have been consolidated with Enron beginning in 1997. It also called into question the accounting treatment for the other SPEs in which Chewco had invested.¹⁷⁸

The Restatement Decision

On November 2, 2001, Andersen partners Duncan, Goddard and Riley participated in a meeting of the Enron Audit Committee¹⁷⁹ and advised the Audit Committee about: (i) the materiality of the \$1 billion reduction to equity; (ii) the reversal of the 1999 Rhythms Hedge; (iii) the consolidation problem caused by the discovery of the Chewco facts; and (iv) the resulting need for restatement.¹⁸⁰ At the meeting, Lay observed that the equity reduction "would likely have had significantly less impact on the market value of the Company if originally taken in the periods now being restated."¹⁸¹ The draft minutes of that meeting also reflect discussion "on the respective responsibilities of the Company and AA in detecting any related party nature of

¹⁷⁷ Second Interim Report, Annex 1 to Appendix L (Related Party Transactions); Third Interim Report, Appendix C (Role of Enron's Officers). As discussed in the Third Interim Report, evidence suggests that Enron officers failed to inform Andersen of critical information regarding this issue. See Third Interim Report, Appendix C (Role of Enron's Officers).

¹⁷⁸ Andersen Criminal Trial Transcript, at 5602-03 (testimony of John Stewart, May 31, 2002).

¹⁷⁹ Riley, a former SEC Acting Chief Accountant, was called in by Andersen executives to monitor the Engagement Team. Andersen Criminal Trial Transcript, at 1959 (testimony of David Duncan, May 14, 2002).

¹⁸⁰ Duncan testified that, given the need for restatement caused by discovery after October 16 of the Rhythms Hedge and Chewco errors, the \$1 billion equity reduction, which was previously considered immaterial by Andersen, needed to be reflected in the restatement. Andersen Criminal Trial Transcript, at 1950-52, 1980-82 (testimony of David Duncan, May 14-15, 2002).

¹⁸¹ Minutes of Enron Audit Committee Meeting, Nov. 2, 2001 (the "11/2/01 Audit Committee Minutes"), at AB000468943 [AB000468942-AB000468944].

transactions as well as determining that the initial equity contributions of Chewco were sufficient to qualify as a SPE, the impact on the Company of potentially consolidating the structures, and the process and resources currently deployed by the Company and AA to develop and review the facts to resolve the outstanding issues.”¹⁸²

Duncan and Goddard met with the Audit Committee again on November 5, 2001. During this meeting, the Andersen accountants informed the Audit Committee that Andersen would not be able to conclude its review of Enron’s third quarter financial statements until Deloitte & Touche, which had been engaged by the Powers Committee, had completed its work.¹⁸³

Enron Files for Bankruptcy

On November 8, 2001, Enron announced its intention to restate its financial statements for 1997 through the second quarter of 2001.¹⁸⁴ On November 19, Enron filed its third quarter 10-Q, indicating that Andersen was unable to finalize its review of those quarterly statements.¹⁸⁵ On the same day, Enron met with its bankers in New York.¹⁸⁶

¹⁸² 11/2/01 Audit Committee Minutes, at AB000468943. Contemporaneous Andersen notes from this meeting indicate that the Audit Committee questioned Andersen regarding why Andersen’s audit procedures had not included verification of the Chewco equity and that Andersen may have had no clear explanation for the lack of such auditing procedures. See Handwritten Notes entitled “A/C meeting 11/2” (taken from the desk files of Andersen partner D. Stephen Goddard) (“Do we have Firm auditing policy in getting behind SPE equity? -- A/C wanted to know why we hadn’t verified the equity in SPE”) (underlining in original) [AA-EX00278310].

¹⁸³ See Discussion with Audit Committee Chair Agenda, Nov. 5, 2001 (containing Duncan’s handwritten notes) [ELIB00003838-00001]; see also Andersen Criminal Trial Transcript, at 1964, 1978 (testimony of David Duncan, May 14-15, 2002). During this time, Andersen considered offering to the Powers Committee Andersen’s own forensic accounting unit in lieu of Deloitte & Touche. See Andersen Criminal Trial Transcript, at 3632-33 (testimony of David Stulb, May 23, 2002).

¹⁸⁴ Enron Form 8-K filed with the SEC on Nov. 8, 2001 (the “Enron 11/8/01 Form 8-K”). Enron has never actually restated its financial statements.

¹⁸⁵ Enron 9/30/01 Form 10-Q.

¹⁸⁶ Enron Corp. PowerPoint Presentation, Waldorf Astoria, New York, N.Y., Nov. 19, 2001 [AB0000321534-AB0000321605].

On November 28, Enron's senior unsecured debt was downgraded to junk status by the Rating Agencies.¹⁸⁷ Enron filed its bankruptcy petition on December 2, 2001.

B. Andersen's Conviction and Current Status

Allegations of Improper Document Destruction

The publicity following Enron's bankruptcy included intense congressional reaction and numerous public statements by politicians.¹⁸⁸ On January 15, 2002, following reports of document destruction at Andersen's Houston offices, Andersen's partners, Bauer, Cash and Willard were placed on administrative leave, and Duncan's employment was terminated by Andersen.¹⁸⁹ On January 17, 2002, the Enron Board voted to terminate Andersen as its auditor.¹⁹⁰

On March 7, 2002, Andersen was indicted for obstruction of justice related to this document destruction. Andersen's criminal trial was held in Houston from May 6, 2002 through June 5, 2002. On June 15, 2002, Andersen was convicted for violating 18 U.S.C. § 1512(b)(2). This statute makes it a crime to: "corruptly persuade[] another person, or attempt[] to do so, . . . with intent to . . . cause or induce any person to - - (A) withhold . . . a record, document, or other object, from an official proceeding; [or] (B) alter,

¹⁸⁷ Enron Press Release, "Enron Announces Notification by Dynege of Merger Termination; Credit Rating Downgraded; Takes Action to Preserve Core Franchise," Nov. 28, 2001 (available at <http://www.enron.com/corp/pressroom/releases/2001/ene/88-112801Release1tr.html>).

¹⁸⁸ See, e.g., *The Role of Financial Institutions in Enron's Collapse*, Hearing before the Permanent Subcomm. on Investigations, Senate Comm. on Governmental Affairs, 107th Cong. (July 23, 2002) (available at http://www.senate.gov/~gov_affairs/072302roachindex.htm).

¹⁸⁹ Andersen Criminal Trial Transcript, at 2086 (testimony of David Duncan, May 15, 2002).

¹⁹⁰ Enron Press Release, "Enron Board Discharges Arthur Andersen in All Capacities," Jan. 17, 2002 (available at <http://www.enron.com/corp/pressroom/releases/2002/ene/01172002release.html>).

destroy, mutilate, or conceal an object with intent to impair the object's integrity or availability for use in an official proceeding."¹⁹¹

Andersen has appealed its criminal conviction to the United States Court of Appeals for the Fifth Circuit.¹⁹² Oral argument was held on October 9, 2003.¹⁹³ As of the date of this Report, Andersen's appeal remains pending.

Current Status of Andersen

On June 15, 2002, after the jury had returned its verdict, the SEC issued a press release stating that "[i]n light of the jury verdict and the underlying events," Andersen had informed the SEC that it would "cease practicing before the Commission by Aug. 31, 2002."¹⁹⁴ As of August 31, 2002, Andersen "voluntarily relinquished, or consented to revocation of, its firm permits in all states where it was licensed to practice public accountancy with state regulators."¹⁹⁵ While Arthur Andersen, LLP, an Illinois limited liability partnership, continues to exist as a legal entity, only a vestige of its former operations remains. All of Andersen's former partners have resigned from the firm,

¹⁹¹ 18 U.S.C. § 1512(b) (2); *see also* Brief of Appellant Arthur Andersen, *United States v. Arthur Andersen LLP*, No. 02-21200 (5th Cir. filed Mar. 7, 2002) on Appeal to the United States Court of Appeals for the Fifth Circuit.

¹⁹² *See* Brief for the United States, *United States v. Arthur Andersen LLP*, No. 02-21200, on Appeal to the United States Court of Appeals for the Fifth Circuit.

¹⁹³ *See* Oral Argument Schedule, *available at* <http://www.ca5.uscourts.gov/clerk/calendar/0310/12.htm>.

¹⁹⁴ SEC Statement Regarding Andersen Case Conviction, June 15, 2002 (*available at* <http://www.sec.gov/news/press/2002-89.htm>). SEC regulations require that certified public accountants practicing before the SEC remain in good standing under the laws of the place of their residence or principal office. *See* 17 C.F.R. § 210.2-01(a) ("The Commission will not recognize any person as a certified public accountant who is not duly registered and in good standing as such under the laws of the place of his residence or principal office.").

¹⁹⁵ David Greising, *On Andersen, the "Bad Apple" Argument Rots*, Chi. Trib., Sept. 4, 2002.

leaving four recently created limited liability companies (named Omega Management I through IV) as Andersen's only remaining partners.¹⁹⁶

According to published reports, Andersen's headcount has been reduced from 28,000¹⁹⁷ to approximately 150 employees, most of whom are engaged in operating Andersen's lone operating asset, a 150-acre conference center in St. Charles, Illinois.¹⁹⁸ Renamed the "Q Center," Andersen's conference center reportedly has a long-term contract with the consulting firm Accenture,¹⁹⁹ which was spun off from Andersen in August 2000.²⁰⁰ In addition to its Q Center staff, Andersen employs a few dozen personnel, primarily attorneys, who occupy one floor of Andersen's former headquarters in downtown Chicago.²⁰¹

¹⁹⁶ Ameet Sachdev, *Conference Center Last Resort for Andersen*, Chi. Trib., May 22, 2003 (the "Conference Center Last Resort Article").

¹⁹⁷ Delroy Alexander, *Andersen Offices' Art for Sale; Auction May Raise \$ 1 Million*, Chi. Trib., Oct. 29, 2002.

¹⁹⁸ Conference Center Last Resort Article.

¹⁹⁹ *Id.*

²⁰⁰ See *Accenture: Our History*, (last visited Oct. 20, 2003) (available at http://www.accenture.com/xd/xd.asp?it=enweb&xd=aboutus/history/hist_ourhistory.xml) (noting that the separation of Accenture from Andersen resulted from an arbitrator's decision in August 2000); see also Conference Center Last Resort Article.

²⁰¹ Conference Center Last Resort Article.

IV. ANDERSEN'S ROLE IN ENRON'S SPE TRANSACTIONS

Unlike other third parties that did business with Enron, evidence indicates that Andersen was involved in nearly all of Enron's SPE Transactions. The following discussion explores examples of Andersen's involvement in these transactions. As discussed below, based upon the evidence, a fact-finder could conclude that Andersen was negligent and aided and abetted Enron's officers in their breaches of duty in connection with the design, implementation and disclosure of these transactions.

A. Three Errors Acknowledged by Andersen

Andersen accountants have acknowledged that they committed three separate errors in their audit of Enron. These errors would support a claim of professional negligence by Enron against Andersen. The first relates to the Aggregation Issue. As previously described, in December 2000 and for the first two quarters of 2001, Enron entered into agreements that were intended to permit it to consider the credit capacity of the Raptor entities collectively in determining whether any particular Raptor entity could satisfy its obligations to Enron. Andersen has acknowledged that such an aggregation could not have been accomplished under the circumstances, and that it erred in approving Enron's related accounting.²⁰² Through the use of a new three-step test to analyze the potential impairment of the Raptor notes held by Enron, developed by the PSG after the applicable financial statements had been issued, Andersen concluded just prior to Enron's Third Quarter 2001 earnings release that the impairment resulting from the PSG's rejection of an aggregation approach was not material.²⁰³

²⁰² Andersen Criminal Trial Transcript, at 2307-09 (testimony of David Duncan, May 16, 2002).

²⁰³ See Raptor Memo #14; see also Annex 1 to this Appendix.

Andersen has also acknowledged another, more material, error related to the Raptor transactions.²⁰⁴ As previously discussed, Andersen erred in permitting Enron to record notes received from the Raptor entities as assets. Andersen has acknowledged that GAAP required these notes, given to Enron by the Raptors in exchange for Enron's contribution of its own stock, to be shown not as assets, but as a reduction of equity on Enron's balance sheet.²⁰⁵ This error resulted in a \$1 billion overstatement of Enron's equity.²⁰⁶ Finally, Andersen has acknowledged that it erred when it concluded that Enron had satisfied the 3% Equity Test (a conclusion necessary to its determination that Enron appropriately did not consolidate the entity with which it engaged in the Rhythms Hedge).²⁰⁷ The Rhythms transaction accounted for \$95 million, or 11%, of Enron's 1999 income before interest and taxes.²⁰⁸

B. Evidence of Enron's Deception of Andersen

As discussed in Prior Reports, the Examiner has concluded that Enron's accounting for its SPE transactions violated GAAP in a number of respects in addition to those material accounting errors that Andersen has acknowledged. With respect to certain of these additional violations of GAAP, there is evidence that certain of Enron's

²⁰⁴ Andersen Criminal Trial Transcript, at 2020, 2034 (testimony of David Duncan, May 15, 2002).

²⁰⁵ Andersen Criminal Trial Transcript, at 1983 (testimony of David Duncan, May 15, 2002).

²⁰⁶ Andersen Criminal Trial Transcript, at 1816 (testimony of David Duncan, May 14, 2002); Balance Sheet Reclass Memo. This amount is unrelated to the \$1 billion earnings restatement announced on October 16, 2001, described above.

²⁰⁷ Andersen Criminal Trial Transcript, at 2034 (testimony of David Duncan, May 15, 2002).

²⁰⁸ See Second Interim Report, Annex 2 to Appendix L (Related Party Transactions).

officers and other employees concealed material facts from Andersen that would have precluded Enron's desired accounting treatment if Andersen had been made aware of those facts. For example, as discussed later in this Appendix, Andersen accountants have indicated that they were unaware that Enron officers had entered into side agreements guaranteeing repayment of equity that was supposedly "at-risk" in Enron's FAS 140 transactions.²⁰⁹ Andersen accountants also have indicated that, had they known this information, they would not have approved Enron's accounting for those transactions.²¹⁰ Evidence suggests that Enron officers and employees understood that Andersen accountants would not agree with the chosen accounting if they were aware of the information, and thus the officers and employees deliberately kept the information from Andersen. Additional evidence of deception of Andersen by Enron officers and employees includes:

- In Nigerian Barge, "formulating [a] story" to tell Andersen about taking Merrill Lynch out of the transaction.²¹¹

²⁰⁹ Cash Sworn Statement, at 139-42; Bass Sworn Statement, at 31-32; Grutzmacher Sworn Statement, at 106-07; Neuhausen Interview; Stewart Interview; Scardino Interview.

²¹⁰ Scardino Interview; Stewart Interview; Bass Sworn Statement at 44-46; *see also* Third Interim Report for other specific circumstances in which the evidence indicates that important information was withheld or concealed from Andersen. Third Interim Report, Appendix C (Role of Enron's Officers), at 39-44.

²¹¹ Email from Alan Quaintance, Enron, to Sean Long, *et al.*, Enron, regarding Nigeria Barge Project, June 1, 2000 (the "Quaintance Email"), at 1-2 ("We sold AA in December on the idea that [Merrill Lynch] was really wanting to take equity type risk in the deal. We will have to be able to explain why we want to take [Merrill Lynch] out of the deal and why we are willing to finance the take out. I need help formulating this story, if it is even possible.") [AB0911 2401-AB0911 2402]; Email from Cassandra Schultz, Enron, to Eric Boyt, Enron, regarding Nigeria Barge Project, June 2, 2000 ("Did we actually tell AA that ML would be staying in and they wanted to invest in Nigeria and take equity risk permanently?"), at 1 (response email to Quaintance Email) [AB0911 2401-AB0911 2402].

- “fudg[ing]” the assumptions in the Blockbuster appraisal “to get the earnings we are targeting” without telling Andersen.²¹²
- Telling Andersen that nCUBE was a strategic investor in Blockbuster when the plan was to repurchase its interest.²¹³
- Failing to inform Andersen about the arrangement with LJM2 that hedging would not commence until LJM2 received a return.²¹⁴

Before proceeding to a more detailed examination of Andersen’s role in Enron’s accounting for its SPE transactions, it is useful to place the evidence that Andersen may have been deceived by its client in a proper analytical context. That context has two points of reference. First, the GAAP errors committed by Andersen and identified by the Examiner are not limited to the instances in which there is evidence that Enron’s officers concealed important information from Andersen. Second, while auditors are not required to guarantee the absence of fraud, applicable auditing standards do not relieve the auditor from a duty to plan and perform appropriate audit procedures designed to detect accounting misstatements that may be intentionally made. To the contrary, those standards provide that “The auditor has a responsibility to plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material

²¹² Email from John Choi, Enron, to Luitgard Fischer, *et al.*, Enron, regarding Revised ELBOW model, Feb. 21, 2000, at 1 (“Afterwards, lets talk to the structuring guys and figure out where we can fudge the assumptions to get the earnings we are targeting. There are certain assumptions that we can increase and still be able to substantiate to AA. Connie, [p]lease don’t let AA see this.”) [AB1128 01361-AB1128 01377].

²¹³ Typed Notes entitled “Meeting on Stream Co.-1/29,” undated, at AB0911 2322-AB0911 2323 (“Other more salient accounting questions related to control and deconsolidation – CL & I explained the sensitivity related to keeping the new entity de-consolidated in order to preserve the gain, story we will sell to AA if we take out nCUBE in 2nd Q, why it is important that it be a “believable” strategic investor”) (attachment to Email from Renee St. Louis, Enron, to Kevin Howard, Enron, and Luitgard Fischer, Enron, regarding Stream Co. meeting today, Jan. 29, 2001) [AB0911 2321-AB0911 2323].

²¹⁴ Raptor Memo #3 (containing no description of this prohibition).

misstatement, whether caused by error or fraud.”²¹⁵ Statement on Auditing Standards No. 82 (“SAS 82”), “provides guidance to auditors in fulfilling that responsibility, as it relates to fraud, in an audit of financial statements conducted in accordance with generally accepted auditing standards.”²¹⁶

Among other guidance, SAS 82 identifies risk factors that the independent auditor should consider in assessing the risk of fraud and in designing the audit procedures to be performed. A number of the risk factors identified by SAS 82 are relevant to the financial reporting and operating environments at Enron, including the following:²¹⁷

- “A significant portion of management’s compensation represented by bonuses, stock options, or other incentives, the value of which is contingent upon the entity achieving unduly aggressive targets for operating results, financial position, or cash flow.”²¹⁸
- “An excessive interest by management in maintaining or increasing the entity’s stock price or earnings trend through the use of unusually aggressive accounting practices.”²¹⁹
- “Inability to generate cash flows from operations while reporting earnings and earnings growth.”²²⁰

²¹⁵ Consideration of Fraud in a Financial Statement Audit, Statement on Auditing Standards No. 82 (American Institute of Certified Public Accountants 1997) (“SAS 82”), at § 316A.01 (AU § 316A.01).

²¹⁶ *Id.* In October 2002, the AICPA issued SAS 99, which superseded SAS 82 and which is effective for audits of financial statements for periods beginning on or after December 15, 2002. *See* Consideration of Fraud in a Financial Statement Audit, Statement on Auditing Standards No. 99 (American Institute of Certified Public Accountants 2002), at § 84 (AU § 316.84). As the SAS in effect at the relevant time, SAS 82 supplies the applicable authoritative guidance with respect to Andersen’s audits of Enron’s financial statements.

²¹⁷ These are many of the factors that Andersen specifically noted were “very significant” under the risk categories of “Management Pressures” and “Accounting and Financial Reporting Risk” in its SMART Form. *See* Enron SMART Tool form, June 19, 2000, at 3 (part of Andersen work papers) [AASDTEX000082548-AASDTEX000082568].

²¹⁸ SAS 82, at § 17(a) (“Risk factors relating to management’s characteristics and influence over the control environment”) (AU § 316A.17(a)).

²¹⁹ *Id.*

²²⁰ *Id.* at § 17(c) (“Risk factors relating to operating characteristics and financial stability”) (AU § 316A.17(c)).

- “Significant pressure to obtain additional capital necessary to stay competitive considering the financial position of the entity – including need for funds to finance major research and development or capital expenditures.”²²¹
- “Assets, liabilities, revenues, or expenses based on significant estimates that involve unusually subjective judgments or uncertainties, or that are subject to potential significant change in the near term in a manner that may have a financially disruptive effect on the entity – such as ultimate collectibility of receivables, timing of revenue recognition, realizability of financial instruments based on the highly subjective valuation of collateral or difficult-to-assess repayment sources, or significant deferral of costs.”²²²
- “Significant related-party transactions not in the ordinary course of business or with related entities not audited or audited by another firm.”²²³
- “Significant, unusual, or highly complex transactions, especially those close to year end, that pose difficult ‘substance over form’ questions.”²²⁴
- “Unusually rapid growth or profitability, especially compared with that of other companies in the same industry.”²²⁵

As described above, evidence indicates that in several instances Enron officers deceived Andersen. However, the instances in which the evidence suggests that Enron’s management may have withheld or concealed material information from Andersen must be evaluated in light of Andersen’s responsibilities under SAS 1 and the presence of the foregoing risk factors to Andersen’s audits of Enron. The presence of those risk factors raises questions concerning whether auditing procedures appropriate to the circumstances

²²¹ *Id.*

²²² *Id.*

²²³ *Id.*

²²⁴ *Id.*

²²⁵ *Id.*

would have revealed the relevant facts to Andersen, thus precluding Enron's dissemination of materially misleading financial information.²²⁶ In those instances in which Andersen may assert that its approval of Enron's accounting for its SPE transactions is attributable to the withholding or concealment of material information by Enron's management, a fact-finder likely would be required also to consider whether Andersen was negligent in applying the guidance of SAS 82 in light of circumstances known to exist at Enron, by failing to design and implement auditing procedures adequate to address the risk of fraud inherent in the Enron engagement.

C. Andersen's Role in the Prepay Transactions

Utilizing its Prepay Transaction accounting technique, Enron borrowed over \$5.0 billion and recognized \$3.8 billion in cash flow from operations from 1997 through September 30, 2001.²²⁷ The obligation to repay the amounts borrowed was included in Enron's price risk management liabilities and the increase in price risk management liabilities attributable to the prepays was included in Enron's cash flow from operating activities.²²⁸ For 1999 and 2000, Enron reported net cash from operating activities of approximately \$6 billion, of which \$2.8 billion was attributable to the Prepay Transactions.²²⁹

²²⁶ Based on the evidence adduced to date, Andersen could argue, and a fact-finder could conclude, that even had Andersen made additional inquiry of Enron officers, the deception would have continued and the officers would not have provided accurate information. However, even in that circumstance, a question of fact would remain as to whether other audit procedures, such as the use of confirmations sent to third parties, should have been utilized. See Bass 03/04/01 Email (suggesting confirmation as an audit procedure for the 3% independent equity required for SPEs).

²²⁷ See Second Interim Report, Appendix E (Prepay Transactions), at 1, 9.

²²⁸ See Second Interim Report, Appendix E (Prepay Transactions).

²²⁹ See *id.* at 6.

Two groups of Prepay Transactions have received considerable attention from the Examiner and others:

- the \$3.7 billion of Prepay Transactions with JPMorgan Chase typically utilizing an off-shore entity created by JPMorgan Chase called Mahonia Limited, a Jersey corporation (“Mahonia”);²³⁰ and
- \$2.4 billion of Prepay Transactions with the Citigroup utilizing an off-shore entity created by Citigroup called Delta Energy Corporation, a Cayman Islands corporation (“Delta”).²³¹

The Examiner has previously concluded that Enron’s accounting for these Prepay Transactions violated GAAP and applicable SEC disclosure rules.²³² As discussed below, Andersen draft memoranda on the Prepay Transactions provide additional evidence that Enron’s accounting for the Prepay Transactions did not comply with GAAP. In addition, the evidence indicates that:

- Andersen participated in the planning and designing of the structure of the Prepay Transactions in order to assist Enron in achieving its accounting objectives by, among other things, designing a prepay “model.”²³³
- Andersen decided in 1999 that it needed audit evidence to support Enron’s assertion that Mahonia²³⁴ and Delta²³⁵ were substantive businesses and not SPEs or intermediaries serving as agents of Enron or the banks. Although it was able to obtain letters signed by Mahonia and Delta, the fact that the representations in the letters were not

²³⁰ See Third Interim Report, Appendix E (Role of JPMorgan Chase and its Affiliates), at 18.

²³¹ See Third Interim Report, Appendix D (Role of Citigroup and its Affiliates), at 46.

²³² See Second Interim Report, Appendix B (Accounting Standards).

²³³ See Chase/Mahonia Prepay Memo; Prepay Swap Diagram; Yosemite Prepay Memo; Yosemite II Email; Yosemite III Memo; Yosemite IV Memo.

²³⁴ For a discussion of the evidence concerning the creation and nature of Mahonia, see Second Interim Report, Appendix E (Prepay Transactions); Third Interim Report, Appendix E (Role of JPMorgan Chase and its Affiliates).

²³⁵ For a discussion of the evidence concerning the creation and nature of Delta, see Second Interim Report, Appendix E (Prepay Transactions); Third Interim Report, Appendix D (Role of Citigroup and its Affiliates).

sufficient to confirm that Mahonia and Delta were businesses and the process of obtaining the letters provide evidence that Andersen knew that these entities were not substantive businesses.

- Andersen sought, in memoranda prepared after the fact, to explain away applicable GAAP that would have required collapsing the three prepay legs, resulting in loan treatment. This strained analysis, coupled with the fact that these memoranda were never signed by the Engagement Team or approved by PSG, provides evidence that Enron's prepay accounting was highly suspect.
- Andersen suggested that Enron provide enhanced disclosure of the prepay in its 1999 financial statements, and suggested specific language for the 2000 financial statements and MD&A, revealing the portion of its operating cash flow that came from the prepay and the amount of its price risk management liabilities that consisted of prepay. When Enron refused, Andersen concluded that the financial presentation was not materially misleading and certified Enron's 1999 and 2000 financial statements anyway. Moreover, there is no evidence that Andersen brought this accounting and disclosure judgment, or its recommendations to management concerning that judgment, to the attention of the Audit Committee during Andersen's SAS 61 presentation on either the 1999 or 2000 financial statements, as was required by applicable professional standards.

Accepting Questionable Audit Evidence

As discussed in Prior Reports, in a typical Mahonia transaction, JPMorgan Chase advanced money to Mahonia under a prepaid forward contract pursuant to which Mahonia was required to deliver a commodity in specified installments in the future to the bank. Mahonia, in turn, advanced the funds to Enron pursuant to an identical prepaid forward contract obligating Enron to repay the amount advanced in the form of commodities delivered in installments to Mahonia in the future.

Enron then entered into a commodity swap with JPMorgan Chase pursuant to which Enron was the "Fixed Price Payer" and JPMorgan Chase was the "Floating Price

Payer.”²³⁶ The swap obligated Enron, as the Fixed Price Payer, to make fixed monthly payments (the equivalent of principal and interest) to JPMorgan Chase based on a notional amount of the commodity (oil or gas), with the notional amount being set to match Enron’s commodity delivery obligation to Mahonia.²³⁷ In turn, the swap obligated JPMorgan Chase, as the Floating Price Payer, to make monthly payments to Enron based on the spot price of the same notional amount of the same commodity.²³⁸ The swap eliminated Enron’s commodity price exposure under Enron’s prepaid forward with Mahonia and the bank’s commodity exposure under its prepaid forward with Mahonia.²³⁹ Mahonia had no meaningful commodity risk,²⁴⁰ because its obligation under the prepaid forward with JPMorgan Chase was offset by mirror rights under the prepaid forward with Enron.²⁴¹

²³⁶ As discussed in the Third Interim Report, different Enron entities participated in the prepaid forward contract than participated in the swap contract. *See* Third Interim Report, Appendix E (Role of JPMorgan Chase and its Affiliates), at 25-28. For purposes of this discussion, these entity distinctions are irrelevant, and the term “Enron” is used for the convenience of the reader with respect to all of the Enron entities involved in the various aspects of the Prepay Transactions.

²³⁷ *See* Third Interim Report, Appendix E (Role of JPMorgan Chase and Its Affiliates), at 27.

²³⁸ *See* Third Interim Report, Appendix E (Role of JPMorgan Chase and Its Affiliates), at 27-28. The terms of the Interest Rate and Currency Exchange Agreement governing these swap transactions provided for Enron and JPMorgan Chase to net their respective swap payment obligations on corresponding payment dates. *See* Section 2(c) and Schedule, (Part 417) Interest Rate and Currency Exchange Agreement between Chase Manhattan Bank and Enron North America Corp., Apr. 5, 1994 [JPMBKR 0009936–JPMBKR 0009974]. The economic effect of the swap transactions is unaffected by whether such netting occurred in practice.

²³⁹ Specifically, Enron’s receipt of the floating price payment eliminated the commodity price risk Enron otherwise would have borne in meeting its delivery obligations to Mahonia. No matter how much the commodity price might increase between settlement dates, Enron would receive equivalent funds from JPMorgan Chase under the swap to cover the purchase price of the commodity Enron was required to deliver to Mahonia, which Mahonia was in turn required to deliver to JPMorgan Chase. As discussed in the Second Interim Report, the risk that Mahonia would fail to meet its delivery obligations to JPMorgan Chase if Enron met its delivery obligations to Mahonia was minimal. *See* Second Interim Report, Appendix E (Prepay Transactions), at 17.

²⁴⁰ *See* Second Interim Report, Appendix E (Prepay Transactions), at 18-19.

²⁴¹ In the Yosemite I and II Prepay Transactions in which Delta was the intermediary, Delta borrowed the funds from an SPE, the Yosemite I Trust or Yosemite II Trust, which in turn raised the money by issuing

Enron could have structured its Prepay Transactions without the involvement of an intermediary. Had it done so, the bank would have advanced money directly to Enron under a prepaid forward contract, and the bank and Enron would have entered into a swap eliminating the commodity risk. However, Andersen partners have told the Examiner that Andersen would have required Enron to account for such a “two-party prepay” as a loan.²⁴²

Thus, it was at Andersen’s insistence that the three-party structure was used. Stewart indicated that Andersen considered its position to be “conservative” in this regard.²⁴³

In some cases, Enron used other banks to serve as the intermediary.²⁴⁴ In the Mahonia Prepays and Delta Prepays, however, Enron utilized nominally capitalized off-

Credit Linked Notes that represented Enron credit exposure. Delta thus had commodity exposure to Enron under its prepaid forward contract with Enron. Delta eliminated its commodity exposure by entering into a commodity swap with Citigroup. Citigroup eliminated the exposure through a swap with Enron, which also eliminated Enron’s commodity risk under its prepaid forward with Delta. The Yosemite III and Yosemite IV Transactions were similar except that the proceeds from the Credit Linked Notes were invested in Citigroup CDs and Citigroup advanced the funds to Enron under a prepaid forward contract. Enron and Citigroup eliminated their commodity price exposure by entering into mirror commodity swaps with Delta. Second Interim Report, Appendix E (Prepay Transactions).

²⁴² Stewart Interview; Yosemite Prepay Memo.

²⁴³ Stewart Interview. The Examiner has reviewed numerous documents indicating that Enron and Andersen considered using an entity acknowledged to be an SPE capitalized with a 3% “at-risk” equity investment from an independent person to serve as the third party in these transactions. The SPE structure was not selected, however. The selection of the SPE transaction structure would have introduced an additional cost to the transaction, specifically the cost associated with providing a sufficient yield to the holder of the 3% equity certificates of such an SPE. In Enron’s FAS 140 Transactions, it was necessary to obtain a 3% equity investment from independent third parties. These investments typically yielded 15% per annum. See Second Interim Report, Appendix M (FAS 140 Transactions). The SPE structure would have also required the equity investor to be exposed to commodity price risk.

²⁴⁴ For instance, this structure was used in the Roosevelt Prepay Transaction, the Truman Prepay Transaction, Project Jethro, and the Nixon Prepay Transaction. Third Interim Report, Appendix D (Role of Citigroup and its Affiliates), at 53-65. Though the banks used as the third parties were not SPEs, the structure would still not permit Enron’s desired accounting if the third party were an intermediary – that is, an agent for Enron or the funding bank.

shore entities created by JPMorgan Chase (in the case of Mahonia) and Citigroup (in the case of Delta).

Andersen developed "Basic Criteria" and "Considerations" which, if satisfied, would result in Andersen's approval of Enron's accounting for its obligations under Prepay Transactions as price risk management liabilities rather than debt, and accounting for the related cash infusion as cash flow from operations rather than cash flow from financing.²⁴⁵

One of the "Considerations" was that if the intermediary were an SPE sponsored by Enron, then the intermediary could only hedge 97% of the commodity risk.²⁴⁶ Otherwise, it would have been necessary for the SPE to be consolidated with Enron, contrary to Enron's accounting objectives.²⁴⁷ The banks used Mahonia and Delta to serve as third parties in Prepay Transactions to facilitate the favorable accounting result desired by Enron.²⁴⁸ The entities had virtually no capital.²⁴⁹ All of their assets except their nominal capital were exactly matched with liabilities to the bank. Any income that inured to these entities would be for the benefit of charitable trusts. When asked how Andersen could conclude that an entity with these characteristics was not an SPE, Stewart noted that, although he was not personally involved in the determination, he understood

²⁴⁵ Chase/Mahonia Prepay Memo; Prepay Swap Diagram.

²⁴⁶ Chase/Mahonia Prepay Memo.

²⁴⁷ Under the 3% Equity Test of the SPE Consolidation Analysis, 3% of the SPE's equity must be "at risk." Andersen would not have considered the equity at risk if the SPE's only assets were commodities and 100% of the commodity price risk were eliminated.

²⁴⁸ Third Interim Report, Appendix D (Role of Citigroup and its Affiliates), at 78-81; Third Interim Report, Appendix E (Role of JPMorgan Chase and its Affiliates), at 54-57 (each describing the purpose of Mahonia and Delta in the Prepay Transactions, and their limited business activities beyond the Prepay Transactions).

²⁴⁹ Third Interim Report, Appendix D (Role of Citigroup and its Affiliates), at 79-81; Third Interim Report, Appendix E (Role of Morgan Chase and its Affiliates), at 56-57.

that the entities were not legally precluded from transferring some or all of their assets (their only material assets being the prepaid forward contracts with Enron or other contracts exactly matched with mirror liabilities) and thereby seeking to make a profit.²⁵⁰ This could occur, however, only at the direction of the bank that had caused the creation of the entity.²⁵¹ Because the entity's assets were exactly matched with liabilities to the bank, the bank would permit a transfer of the entity's assets only if the bank either: (i) desired to make a charitable contribution to the beneficiary of the entity (because any profit from the transfer would inure to the charitable trust); or (ii) were willing to incur a loss (because, as the entity's only creditor, the bank would bear any loss). While GAAP contains no precise definition of "special purpose entity," Andersen considered that an entity that was not a "business" as defined in EITF 98-3 was presumed to be an SPE.²⁵² For this reason, a fact-finder could conclude that a finding that Mahonia and Delta were not SPEs is not supported simply because it was *legally possible* for the SPE to earn a profit for the benefit of a charity if the bank were willing to risk a loss.

To obtain audit evidence that it had made inquiry into the status of the third-party entity, Andersen helped Enron draft representation letters that Enron in turn sent to the banks with the request that the banks have a representative of the third-party entity sign the representation letters and send them back to Enron. Typical of these letters is one from Delta that read as follows:

²⁵⁰ Stewart Interview.

²⁵¹ Third Interim Report, Appendix D (Role of Citigroup and its Affiliates), at 78-81; Third Interim Report, Appendix E (Role of JPMorgan Chase and its Affiliates), at 53-57.

²⁵² Stewart Interview; *see also* Determining Whether a Nonmonetary Transaction Involves Receipt of Productive Assets or of a Business, 2 EITF Abstracts (FASB) 98-3 (Jan. 19-20, 2000) ("EITF 98-3").

We confirm:

1. There is no restriction in the corporate documentation of the Company limiting the number of entities with which the Company may conduct business. The Company has undertaken business with a number of entities;
2. The Company has assets other than those acquired through transactions with Yosemite Securities Trust I ("Yosemite"). The payment obligations of the Company under the promissory note dated November 18, 1999 in favor of Yosemite are full recourse obligations of the Company.
3. The Company has unencumbered assets which would be available for application towards obligations owed to its creditors (including Yosemite).²⁵³

Several versions of this representation letter were found in the files of Andersen partners. Handwriting on one version indicated that Andersen requested that the second sentence of the first representation read as follows: "The Company has undertaken substantive transactions with non-Enron related entities."²⁵⁴ The handwriting on another version found in the Andersen files commenting on the representation that the Company has assets other than those acquired through transactions with Enron asks: "\$1 enough?"²⁵⁵ The facsimile transmission banner reads "NOV 10 '99 14:54 FR CAP MKTS-LEGAL 212 723 8864," indicating that the letter was transmitted from the legal department of Citigroup's Capital Markets operation in New York City and not from Delta Energy Corporation located in Grand Cayman.²⁵⁶

²⁵³ See Third Interim Report, Appendix D (Role of Citigroup and its Affiliates).

²⁵⁴ Letter from J.B. Benbow, Director, Delta Energy Corp., to Enron, Nov. 10, 1999, at AA-EX00146000 (draft) (part of quote reflects handwritten notes) [AA-EX0014600-AA-EX00146001].

²⁵⁵ Letter from J.B. Benbow, Director, Delta Energy Corp., to Enron, Nov. 18, 1999 (draft) (the "Delta Rep. Letter 11/18/99"), at AA-EX00145998 [AA-EX00145998-AA-EX00145999].

²⁵⁶ Delta Rep. Letter 11/18/99. This information is further evidence from which a fact-finder could conclude that Delta was an agent or instrumentality of the bank, and not a business.

Although, as a technical matter, Delta was able to make the requested representations, in fact Delta: (i) had equity capital of only \$1,000; (ii) engaged in no current business operations with other entities except Enron, Citigroup and entities formed by them;²⁵⁷ and (iii) was used to permit the desired accounting treatment with respect to the Prepay Transactions. Moreover, Citigroup bankers have testified that Delta was a “shell” and an “SPE.”²⁵⁸

While there is nothing unusual or inherently improper about Andersen’s assistance in the drafting of representation letters, the fact that Andersen was unable to obtain the factual representations that they had proposed, and the fact that the representations made were insufficient to conclude that the entity was a business, support a conclusion that these entities were SPEs and not businesses, and are evidence that Andersen knew that Mahonia and Delta were SPEs. A fact-finder could view these circumstances as evidencing a lack of skepticism one would ordinarily expect from an independent auditor with respect to a matter materially important to the financial presentation that being certified. Accordingly, the evidence concerning Andersen’s involvement in the representation letters from Mahonia and Delta could support a conclusion by a fact-finder that Andersen knew that Enron’s accounting treatment for the Mahonia Prepays and the Delta Prepays was improper.

Strained Analysis of Applicable GAAP

In addition to the foregoing, several unsigned Andersen prepay memos that were not included in the audit work papers evidence that Andersen had reason to believe

²⁵⁷ See Third Interim Report, Appendix D (Role of Citigroup and its Affiliates), at 79-81.

²⁵⁸ See Second Interim Report, Appendix E (Prepay Transactions), at 97; Third Interim Report, Appendix D (Role of Citigroup and Its Affiliates), at 305-06.

Enron's GAAP accounting was wrong regardless of the substantive nature of the third party. Specifically, regardless of whether the third party was a business, Enron's desired accounting treatment required that the three legs of the Prepay Transactions be viewed in isolation rather than collapsed.²⁵⁹ In these memos, the Engagement Team authors attempt to explain why the applicable GAAP should not result in collapsing the legs, but their analysis is strained. Moreover, the evidence indicates that: (i) this analysis was not concurred in by the PSG;²⁶⁰ (ii) at least one PSG member apparently believed the GAAP would require collapsing the legs in a comparable situation;²⁶¹ and (iii) these memos did not become a part of the audit work papers. Taken together, these circumstances suggest that, at least by the end of 2000, Andersen had reason to believe that Enron's accounting for the Prepay Transactions did not comply with GAAP.²⁶²

²⁵⁹ See Second Interim Report, Appendix B (Accounting Standards).

²⁶⁰ The evidence suggests that when the Engagement Team consulted with the PSG on GAAP issues and the PSG concurred with the conclusions of the Engagement Team, it was Andersen's practice to note this consultation and concurrence in the work papers. See, e.g., Memorandum from Dave Duncan, Andersen, to the Files, regarding Partnership Structure, Dec. 13, 1999, at 2 [AB0648 00381-AB0648 00382]; Memorandum from Dave Duncan, Andersen, to the Files, regarding Raptor Transaction, Mar. 28, 2000 [AB0648 01051-AB0648 01058]. No such evidence of consultation and concurrence is present with respect to the analysis set forth in the draft prepay memos identified above.

²⁶¹ See Email from Jason R. Waldron, Andersen, to John E. Stewart, Andersen, regarding Prepaid Transaction Analysis – US vs. UK GAAP, Apr. 6, 2001 (the "Waldron 4/6/01 Email") [PSI00007898-PSI00007903].

²⁶² In the Third Interim Report, the Examiner acknowledged the possibility that, notwithstanding the Examiner's conclusion that Enron's prepay accounting violated GAAP, a question of fact might exist on that issue. See Third Interim Report, Appendix D (Role of Citigroup and Its Affiliates), at 145-46 (acknowledging that "Citigroup likely would be able to produce expert testimony and other evidence supporting the view that Enron's accounting for the Prepay Transactions complied with GAAP"); Third Interim Report, Appendix E (Role of JPMorgan Chase and Its Affiliates), at 64 (acknowledging that "a fact-finder could determine that the Mahonia Transactions were sufficiently different from loans to support Enron's accounting treatment, i.e., that Enron's accounting for the Mahonia Transactions as price risk management activities, instead of debt, complied with GAAP."). The additional evidence identified above and discussed in more detail in this Appendix, which was analyzed by the Examiner subsequent to the issuance of the Third Interim Report, weighs further against a finding that Enron's accounting for the Prepay Transactions complied with GAAP.

In 1998, the FASB created the DIG to assist the FASB in answering questions concerning the implementation of FAS 133, *Accounting for Derivative Instruments and Hedging Activities*.²⁶³ In essence, the DIG was a mini-EITF for purposes of accounting for derivatives. After they were cleared by the FASB, the interpretations of the DIG had the force of GAAP.²⁶⁴

In an interpretation issued on December 6, 2000, the DIG considered the circumstances under which separate derivative contracts may have been entered into in an effort to circumvent GAAP and thus should be collapsed.²⁶⁵ In DIG Issue F6, the DIG stated that whether separate derivatives have been entered into in order to circumvent GAAP and thus should be collapsed should be analyzed by applying four criteria found in DIG Issue K1:

[T]he following indicators should be considered in the aggregate and, if present, should cause the transactions to be viewed as a unit and not separately:

- a. the transactions were entered into contemporaneously and in contemplation of one another.
- b. the transactions were executed with the same counterparty (or structured through an intermediary).
- c. the transactions relate to the same risk.
- d. there is no apparent economic need or substantive business purpose for structuring the transactions separately that could *not* also have been accomplished in a single transaction.

²⁶³ See FAS 133.

²⁶⁴ SAS 69, at § 10(c) (AU § 411.10(c)).

²⁶⁵ Fair Value Hedges: Concurrent Offsetting Matching Swaps and Use of One as Hedging Instrument, Derivatives Implementation Group No. F6 (Financial Accounting Standards Bd. 2000) ("DIG Issue F6").

Andersen recognized that DIG Issue F6 was relevant GAAP authority in analyzing whether it could approve Enron's accounting for the Prepay Transactions.²⁶⁶ In draft memoranda found among the desk files of the Andersen accountants responsible for the Yosemite III and Yosemite IV Prepay Transactions, the Andersen accountants attempt to apply the four criteria to the facts of those transactions.²⁶⁷ The analysis attempted in those draft memos is flawed in fundamental respects.

In the Yosemite III and Yosemite IV Prepay Transactions, as previously described, the flow of money took a different form than in the Mahonia Prepays, but the substance was the same.²⁶⁸ In Yosemite III and Yosemite IV, the Yosemite Trusts sold "Credit Linked Notes" to institutional investors. The notes represented Enron credit risk. In turn, the Yosemite Trusts invested the proceeds in certificates of deposit with Citigroup. Citigroup advanced the cash directly to Enron through a prepaid forward with Enron, thus both Enron and Citigroup had commodity risk. The commodity risk was eliminated by Enron and Citigroup by entering into mirror swap agreements through Delta. Under Enron's swap with Delta, Enron paid Delta a fixed price in exchange for a floating price, thus eliminating its floating price risk under the prepaid forward with Citigroup. Under Citigroup's swap with Delta, Delta paid Citigroup a fixed price in exchange for a floating price, thus eliminating Citigroup's floating price risk under the prepaid forward with Enron.

²⁶⁶ See Yosemite III Memo; Yosemite IV Memo; Waldron 4/6/01 Email, at 4. The Yosemite III and Yosemite IV memoranda are neither signed nor initialed, and the Examiner has been unable to locate these documents in the work papers provided to the Examiner by Andersen.

²⁶⁷ See Yosemite III Memo; Yosemite IV Memo.

²⁶⁸ See Second Interim Report, Annexes 4 and 5 to Appendix E (Prepay Transactions). The description of Yosemite III and Yosemite IV is substantially simplified and involves only the largest of the two circular flows of cash.

The technical GAAP issue that arises from the arrangement described above is whether the four criteria identified in DIG Issue F6 require the swaps that Delta had with Enron and Citigroup and the prepaid forward obligation between Enron and the bank to be collapsed, resulting in a loan from Citigroup to Enron for accounting purposes.²⁶⁹ As discussed below, the draft memoranda arrive at strained conclusions with respect to the application of the four tests.²⁷⁰

The draft memoranda recognize that the various steps of the Prepay Transactions were entered into contemporaneously and in contemplation of one another, thus acknowledging that factor “a” is present.²⁷¹ In analyzing factor “b,” however, the memoranda find that factor not to be present because the transactions were not executed with the same counterparty.²⁷² The memoranda simply ignore the fact that DIG Issue K1, factor “b,” which is quoted in DIG Issue F6, includes the parenthetical “(or structured through an intermediary).”²⁷³ The Prepay Transactions that were the subject of these memoranda were structured through Delta, which would be viewed as an intermediary if it could be viewed as the agent of either Citigroup or Enron. Regardless of whether Delta was an SPE, given that it was used only as an accommodation party in the transaction and engaged in no business of its own, Delta is properly viewed as acting on behalf of either or both of Enron and Citigroup, and thus as an agent and intermediary. Therefore, it is apparent that factor “b” is present.

²⁶⁹ DIG Issue F6.

²⁷⁰ *See, e.g.*, Yosemite III Memo, at AB000565304; Yosemite IV Memo, at AB0786 02959.

²⁷¹ Yosemite III Memo, at AB000565304; Yosemite IV Memo, at AB0786 02959.

²⁷² *Id.*

²⁷³ DIG Issue F6.

Addressing factor “c,” the memoranda conclude that “[t]he group of contracts in question . . . involve separate credit risks for each of the three parties”²⁷⁴ However, the three transactions that are the subject of the analysis (the prepaid forward between the bank and Enron, the swap between the intermediary and Enron, and the swap between the intermediary and the bank) all relate to the *same commodity price risk* and eliminate that risk. The fact that there is credit risk present between Enron and the bank cannot be relevant to the analysis.²⁷⁵ In fact, the examples contained in DIG Issue K1 and DIG Issue F6 involve both interest rate risk and credit risk with only the interest rate risk eliminated.²⁷⁶

Finally, with regard to factor “d,” the Andersen memoranda find a substantive business purpose and economic need for structuring the transactions in the manner described by stating: “The group of contracts in question . . . are for trading purposes as well as price risk management for customers, similar to numerous other contracts the company enters into during the normal course of business.”²⁷⁷ However, these arrangements were not for trading purposes, but for financing purposes. Moreover, no “customers” were receiving price risk management services, because neither Citigroup nor Delta had any price risk to manage.

In an email dated April 6, 2001, from PSG member Jason Waldron to Stewart concerning an Enron transaction involving use of the London Metals Exchange as a third

²⁷⁴ Yosemite III Memo, at AB000565303; Yosemite IV Memo, at AB0786 02958.

²⁷⁵ The intermediary Delta had no meaningful risk because it had virtually no equity and had a “flat” book (i.e., its assets matched its liabilities). If Enron failed to pay Delta, then Delta simply would be unable to pay the bank.

²⁷⁶ DIG Issue F6.

²⁷⁷ Yosemite III Memo, at AB000565303; Yosemite IV Memo, at AB0786 02958.

party in a transaction structure similar to the Prepay Transaction, Waldron suggests that DIG Issue F6 was designed to collapse transactions when there was no business purpose for separate transaction legs other than to avoid otherwise applicable GAAP.²⁷⁸ Waldron's analysis, if applied to the Mahonia and Delta prepay, would have required collapsing of the multiple legs, resulting in loan treatment.

The analysis contained in the draft prepay memos discussed above suggests that Andersen was both aware that DIG Issue F6 was GAAP authority for collapsing the legs of the prepay structure and unable to create a plausible argument for a contrary result. This suggestion is reinforced by Waldron's April 6, 2001 email, in which Waldron suggests that DIG Issue F6 would apply to and require the collapsing of a structure substantially identical in this respect to the structure of the Prepay Transactions.²⁷⁹

The draft prepay memos discussed above, although dated as of the closing dates of Yosemite III and Yosemite IV, were prepared after the closings. These memos are marked "draft," and the Examiner has found no evidence that they were ever finalized or concurred in by any member of the PSG. These circumstances, particularly when viewed with the related evidence, would permit a fact-finder to conclude that Andersen knew that Enron's accounting for the Prepay Transactions did not comply with GAAP. This strained analysis of applicable GAAP is a pattern that was repeated when issues were discovered in the Spring of 2001 with regard to Andersen's prior advice on the FAS 140 Transactions.²⁸⁰

²⁷⁸ Waldron 4/6/01 Email, at 4.

²⁷⁹ Waldron 4/6/01 Email, at 4.

²⁸⁰ As discussed below in the *Andersen's Role in the FAS 140 Transactions* Section of this Appendix.

Rejection of Proposed Disclosure

The draft memoranda identified above also discuss disclosure of Prepay Transactions. In December of 2000, Andersen client Aquila Energy Corporation (“Aquila”) filed an S-1 registration statement to take its energy trading business public.²⁸¹ Aquila engaged in prepaid forward transactions similar to Enron’s Prepay Transactions. Aquila discussed its prepay transactions in the MD&A of a registration statement filed with the SEC in 2000, as well as in the notes to the financial statements contained in that filing.²⁸² Aquila included the following disclosures in its MD&A:

As part of our Wholesale Services segment, we periodically enter into long-term prepaid commodity contracts with our clients. Under these agreements, our clients pay us upfront for a specified commodity in exchange for a discounted, fixed-price for that commodity. To date, we have executed approximately \$1 billion of these contracts, and we have used the proceeds to repay loans from UtiliCorp.²⁸³

Aquila also disclosed that it experienced “[a] \$536 million increase in long-term price risk management liabilities due to additional commodity prepay transactions in 2000,”²⁸⁴ and that its operating cash flow for the nine months ended September 30, 2000 was \$270 million higher than in the comparable period of 1999 due in part to the impact of a gas prepay transaction.²⁸⁵

Draft disclosures similar to the Aquila disclosures appear in the Yosemite III and Yosemite IV draft memoranda. Cash, the Andersen partner who was principally responsible for approving Enron’s accounting treatment for its Prepay Transactions, was

²⁸¹ Aquila Energy Corp. Form S-1 filed with the SEC on Dec. 13, 2000 (the “Aquila Form S-1”).

²⁸² *Id.* at 42.

²⁸³ *Id.*

²⁸⁴ *Id.*

²⁸⁵ *Id.* at 43.

also reviewing partner in the Aquila S-1 and one of the authors of the Yosemite III and Yosemite IV memoranda.²⁸⁶ Both Cash and Enron manager Kimberly Scardino have told the Examiner that Andersen recommended to Enron prior to the issuance of Enron's 2000 financial statements that Enron make the same or similar disclosures with respect to Enron's Prepay Transactions as those appearing in the Aquila S-1.²⁸⁷ Both Cash and Scardino have indicated that they did not present the proposed disclosures to Enron personally. Scardino has indicated, however, that she understands that Duncan recommended the disclosure to Causey, who rejected the proposal.²⁸⁸ As discussed above, the Examiner has located no evidence that Andersen determined that the Audit Committee was informed that its recommended disclosure had been rejected by Enron management. Andersen, however, certified Enron's 2000 financial statements, and reviewed and voiced no objections to Enron's MD&A disclosure.

Had the proposed disclosures been included in the 1999 and 2000 financial statements, a careful reader of the financial statements and MD&A might have understood the economic impact and substance of the Prepay Transactions, even though Enron's accounting treatment for the Prepay Transactions was not in accordance with GAAP. Without the disclosure, unless the financial statement reader had an independent basis to know about the Prepay Transactions, it was impossible to understand the economic substance of these borrowings or the material impact they had on Enron's operating cash flow. The evidence suggests that Andersen knew this, but approved Enron's financial presentation nonetheless.

²⁸⁶ Cash Sworn Statement, at 72.

²⁸⁷ *Id.* at 70-75; Scardino Interview.

²⁸⁸ Scardino Interview.

D. Andersen's Role in the FAS 140 Transactions

The FAS 140 Transactions were another key technique Enron officers used to enhance Enron's reported financial condition, results of operations and cash flow in a manner inconsistent with the economic substance of the transactions. These transactions had a significant impact on Enron's reported financial performance. In 2000 alone, FAS 140 Transactions, which were in substance unsecured loans to Enron accounted for as "sales" of assets, increased reported income by \$350 million, increased cash flow from operating activities by more than \$1 billion, and kept more than \$1 billion of debt off of Enron's balance sheet.²⁸⁹

In Prior Reports, the Examiner identified issues regarding the accounting for the FAS 140 Transactions and their attendant obligations, such as the Total Return Swaps typically agreed to as a part of these transactions. Evidence indicates that Andersen had deep involvement not only in the initial creation of the FAS 140 Transaction technique, but also in subsequent refinements to and modifications of the technique.²⁹⁰ Throughout the years Enron utilized this transaction structure, Andersen accountants routinely consulted with each other and with Enron about the structure to be employed in FAS 140 Transactions and particular challenges presented by individual transactions.²⁹¹

Inadequate Disclosure of Total Return Swaps

One factor suggesting that Enron's FAS 140 Transactions did not comply with GAAP relates to Enron's use of Total Return Swaps. In the FAS 140 Transactions, Enron or an affiliate typically entered into a Total Return Swap, under which the Enron

²⁸⁹ See Third Interim Report, Appendix C (Role of Enron's Officers), at 62-63.

²⁹⁰ See, e.g., EOTT-Project Nikita Memo; Hawaii Memo; Tax Efficient Lease Memo.

²⁹¹ See, e.g., EOTT-Project Nikita Memo; Tax Efficient Lease Memo.

entity was obliged to pay in full the principal and yield due on the debt owed in the structure. Even though Enron was liable to pay principal and yield pursuant to the Total Return Swap, those obligations were not described on Enron's balance sheet. Instead, Enron officers "buried"²⁹² the Total Return Swaps by aggregating their notional amounts in a general footnote category labeled "equity investments" as a part of Enron's "trading activities."²⁹³ As a result, there was no statement in any financial report revealing that Enron or its affiliates were bound unconditionally under the Total Return Swaps to pay the full amount of the principal and interest when due on the debt, regardless of the value of the underlying asset.²⁹⁴

In the First Interim Report, the Examiner determined that Enron's accounting treatment of the Total Return Swaps violated FAS 105, because under that Financial Accounting Standard, Enron was required to disclose, *inter alia*, the face, contract or notional amount of the Total Return Swaps, and the terms and nature of those instruments, including attendant cash requirements.²⁹⁵ When FAS 140 was adopted, it required similar disclosure, effective for financial statements issued after December 15, 2000.²⁹⁶ Under these rules, Enron was required to disclose "the key characteristics of

²⁹² See Email from Charles Delacey, Enron, to Steve Pruett, Enron, regarding Hawaii Sec 125 Trust, May 2, 2001 (the "Delacey Hawaii - 125 Email"), at 1 (noting that the "total return swaps are buried in the footnotes under price risk management activities") [AB0971 02990-AB0971 2991].

²⁹³ See, e.g., "Financial Review - Enron Corp. and Subsidiaries Notes to the Consolidated Financial Statements - Price Risk Management Activities and Financial Instruments," Enron 2000 Annual Report, at 38-39.

²⁹⁴ Enron would be entitled to the proceeds of an eventual sale of the underlying asset other than the proceeds allocable to the 3% equity interest.

²⁹⁵ See Disclosure of Information about Financial Instruments with Off-Balance Sheet Risk and Financial Instruments with Concentrations of Credit Risk, Statement of Financial Accounting Standards No. 105 (Financial Accounting Standards Bd. 1990) ("FAS 105"); First Interim Report, at 57.

²⁹⁶ See Accounting for Transfers and Servicing of Financial Assets and Extinguishments of Liabilities, Statement of Financial Accounting Standards No. 125 (Financial Accounting Standards Bd. 1996) ("FAS

securitizations (a description of the transferor's continuing involvement with the transferred assets, including, but not limited to, servicing, recourse, and restrictions on retained interests) and the gain or loss from sale of financial assets in securitizations."²⁹⁷

Enron did not disclose its continuing involvement with the financial assets transferred in the FAS 140 Transactions and did not disclose the recourse nature of its obligation.²⁹⁸

Andersen accountants were aware of the specific obligations incurred by Enron and its affiliates under the Total Return Swaps.²⁹⁹ They also understood that Enron was not providing the detailed information described in FAS 140.³⁰⁰

No "True Sale"

As the Examiner has noted in previous reports, many of Enron's FAS 140 Transactions did not comply with GAAP in several respects. For example, evidence indicates that SPEs established as a part of the FAS 140 structures lacked the requisite "at-risk" equity required under the 3% Equity Test. Thus, under GAAP, those entities

125"), and its successor, Accounting for Transfers and Servicing of Financial Assets and Extinguishments of Liabilities, Statement of Financial Accounting Standards No. 140 (Financial Accounting Standards Bd. 2000) ("FAS 140"), ¶ 17(f)(2).

²⁹⁷ *Id.*

²⁹⁸ Enron did disclose that "[s]ome of these sales are completed in securitizations, in which Enron concurrently enters into swaps associated with the underlying assets which limits the risk assumed by the purchaser." "Financial Review - Enron Corp. and Subsidiaries Notes to the Consolidated Financial Statements - Price Risk Management Activities and Financial Instruments," Enron 2000 Annual Report, at 38-39. The financial statements do not disclose, however, that the full risk was placed on Enron for 97% of the purchase price. It was not possible for even sophisticated readers to determine from the notional amount table in Note 3 that Enron had full recourse exposure on the Total Return Swaps. *See, e.g.*, Interview of Ronald Barone and Todd Shipman, Standard & Poor's, by H. Bryan Ives, III, Oct. 8, 2003. Enron employees even acknowledge that the recourse was "buried." *See* Delacey Hawaii - 125 Email.

²⁹⁹ *See, e.g.*, Hawaii Memo; Memorandum from Debra A. Cash and Kimberly R. Scardino, Andersen, to the Files, regarding Avici, Dec. 29, 2000 (the "Avici Memo") (unsigned) [AB1128 00590-AB1128 0595]; Memorandum from Kimberly Scardino, Andersen, to the Files, regarding Project Braveheart, Dec. 29, 2000 (the "Braveheart Memo") [AA 000000590-AA 000000596].

³⁰⁰ *See* Email from James F. Green, Andersen, to Christopher J. Herbold, Andersen, regarding FAS 125 Disclosures, Aug. 18, 2000 [AB1129 00652-AB1129 00653]; *see also* Email from Daniel S. Palomaki, Andersen, to Christopher J. Herbold, Andersen, regarding Statement 140 Disclosures, Jan. 11, 2001 [AB1129 00647-AB1129 00651].

(along with the corresponding debt owed by those entities) should have been consolidated for financial accounting purposes with Enron, the Sponsor of the SPEs.³⁰¹

As the Examiner has also noted previously, Enron's numerous FAS 140 Transactions were tied to, and dependent upon, the "true sale" of financial assets by the Sponsor, typically an Enron affiliate, to a third-party SPE, typically referred to as Asset LLC.³⁰² In these transactions, Enron recorded the proceeds received as cash flow from operating activities, did not record the debt associated with the transaction on its own balance sheet, and recorded gain on sale to the extent the amount received for the sale exceeded Enron's carrying value for the assets conveyed.³⁰³ The Examiner has determined that, in several FAS 140 Transactions, no "true sale" of assets actually took place.³⁰⁴

Both FAS 125, and its successor FAS 140, tie the desired "sale" accounting treatment to the demonstration of the "legal isolation" of the financial assets from the Sponsor. Both FAS 125 and FAS 140 require that the transferor have "surrendered control" over the transferred assets.³⁰⁵ Both use nearly identical language to describe the conditions for demonstrating that surrender of control: the assets must have been "isolated from the transferor – put presumptively beyond the reach of the transferor and its creditors, even in bankruptcy or receivership," and after the sale, the transferor cannot

³⁰¹ See Second Interim Report, Appendix M (FAS 140 Transactions); Third Interim Report, Appendix C (Role of Enron's Officers). As is described in the Examiner's Third Interim Report, Andersen accountants have indicated they were unaware of the existence of the side arrangements that caused Enron to fail the 3% Equity Test. However, as described below, a question of fact likely exists as to whether Andersen should have known of those arrangements, or should have taken additional steps to learn of their existence.

³⁰² See First Interim Report; Second Interim Report, Appendix M (FAS 140 Transactions).

³⁰³ See First Interim Report; Second Interim Report, Appendix M (FAS 140 Transactions).

³⁰⁴ First Interim Report; Second Interim Report, Appendix M (FAS 140 Transactions), at 34.

³⁰⁵ See FAS 125; FAS 140.

“maintain effective control over the transferred assets.”³⁰⁶ Both state that, upon the successful transfer of assets, “the transferor (seller) shall:

- (a) Derecognize all assets sold
- (b) Recognize all assets obtained and liabilities incurred in consideration as proceeds of the sale, . . . and
-
- (d) Recognize in earnings any gain or loss on the sale.”³⁰⁷

In their memoranda describing the accounting conclusions reached in the FAS 140 Transactions, Andersen consistently discussed the requirement for legal isolation contained in both FAS 125 and FAS 140.³⁰⁸ Those same memos explain that Andersen satisfied these requirements through the use of legal opinions of outside counsel secured by Enron.³⁰⁹

In nearly all of Enron’s FAS 140 Transactions, however, Andersen did not determine whether a legal isolation of assets from the Sponsor had occurred. Instead, Andersen addressed the “true issuance” of certain equity (the “B shares”) by Asset LLC. The memo regarding the Avici FAS 140 Transaction dated December 29, 2000, is illustrative. In that memorandum, Andersen states that the transaction involved the “sale by [Enron] of 1,093,433 shares of Avici Systems Inc.” and concludes that these shares “represent[] financial assets within the scope of SFAS 125.”³¹⁰ The memo does not

³⁰⁶ See FAS 125; FAS 140.

³⁰⁷ See FAS 125; FAS 140.

³⁰⁸ See, e.g., Memorandum from Clint Carlin and Andrew Schuleman, Andersen, to the Files, regarding Ghost, Feb. 21, 2000 (the “Ghost Memo”) [AA 000019697-AA 000019698]; Braveheart Memo; Hawaii Memo.

³⁰⁹ See, e.g., Ghost Memo; Avici Memo, at 4-5; Braveheart Memo; Hawaii Memo, at 4.

³¹⁰ Avici Memo, at 1.

examine whether the transfer of Avici stock to Asset LLC constitutes a “true sale.” Instead, Andersen looks at the issuance of B shares from Asset LLC, determining that a “true sale occurs when Transferor sells the Asset LLC B share”³¹¹ The authority cited “by analogy” for this conclusion, specifically Andersen’s analysis of the 1997 SEC staff speech by Armando Pimentel, deals with the question of whether stock in a subsidiary can constitute a financial asset under FAS 125. However, it does not address the question of whether the financial assets have been legally isolated from the Sponsor.³¹²

In connection with Avici, Andersen notes:

The legal opinion obtained from [Andrews & Kurth] indicates the following:

In the event of bankruptcy of Enron, any of its subs or Asset LLC, the B-share would not be the property of Enron, any of its subs or Asset LLC.

In the event of bankruptcy of Enron or any of its subs, the assets and liabilities of neither Transferor nor the [holder of the B Share] would be consolidated with Enron or any of its subs.³¹³

³¹¹ *Id.* The Braveheart Memo contains identical analysis.

³¹² See Andersen Revisions and Additions to Statement 125 Q&A, Apr. 14, 1998, § 3-7(b) [WP-EVE0037576-WP-EVE0037704].

³¹³ Avici Memo, at 4. Other Andersen memoranda apply an analysis consistent with the requirements of FAS 125 and FAS 140. For example, an unsigned Andersen memo dated April 9, 2000, examines the Hawaii structure purportedly under FAS 140. See Hawaii Memo (given that this memo cites to FAS 140 and discusses analysis utilized by Andersen in 2001, it is possible that this memorandum was completed well after its April, 2000 date). The discussion in this memo is identical to the discussion in the Avici Memo, except that Andersen adds its view that a true sale must occur from the Sponsor to Asset LLC, and describes the legal opinions to be obtained from Andrews & Kurth as including “True Sale of Financial Asset from Enron Sub to Asset LLC.” Hawaii Memo, at AB0911 0941.

Consistent with this analysis, the legal opinion obtained by Enron in the Avici transaction analyzes only the issuance of the B share from Asset LLC, not whether an effective isolation of the Avici stock took place.³¹⁴

Evidence indicates that both Enron and Andersen were aware that they were not demonstrating the legal isolation of financial assets from the Sponsor as required by FAS 125 and FAS 140. Evidence suggests that attorneys from Vinson & Elkins contacted both Enron³¹⁵ and Andersen directly to question whether Andersen fully understood that no “true sale” opinion was being rendered.³¹⁶ Andersen apparently acknowledged that it was aware that no such opinion was being given.³¹⁷ Despite that acknowledgement, both Andersen and Enron continued to ask only for “true issuance,” not “true sale,” opinions up until mid-2001.

Evidence also suggests that, in April 2001, Andersen began requiring legal isolation opinions on both the financial asset and the B share.³¹⁸ From 1998 through 2000, Enron completed numerous FAS 140 Transactions in which it recognized at least \$2.6 billion in operating cash flow and \$647 million in net income without requiring “true sale” opinions. Scardino noted in an email on the subject that “[w]e might be able

³¹⁴ Letter from Andrews & Kurth, LLP, to Enron, regarding Section 541 Non-Consolidation Opinion, Series Avici B, Dec. 7, 2000, at 2-3 [AB000016149-AB000016193].

³¹⁵ Typed notes entitled “Notes for meeting with Jim Derrick,” undated, at EVE 1250750 (“We a[re] unsure of how opinion rendered satisfies requirements of FASB 125.”) [EVE 1250750-EVE 1250751].

³¹⁶ Memorandum from Stephen C. Tarry, Vinson & Elkins, to Joe Dilg, Vinson & Elkins, regarding Enron FAS 125 Issues, June 7, 1998 (the “Tarry Memo”) [WP-EVE 0036460-WP-EVE 0036462].

³¹⁷ Tarry Memo, at 2.

³¹⁸ Email from Kimberly Scardino, Andersen, to Daniel S. Palomaki, Andersen, regarding Enron and Statement 140, Apr. 4, 2001 (the “Scardino-Palomaki Email”) [AB0911 2867- AB0911 2869].

to build a case (although quite weak) that the changes to [FAS 140] have caused us to rethink the focus and content of the legal opinions.”³¹⁹ She also observed the following:

If there is anything in SFAS 140 that explains the change in our views on the legal opinion, that would be very helpful for us to know. It is my current understanding that there is not.³²⁰

This evidence suggests that Andersen understood its prior treatment of the FAS 140s, and its prior analysis of the need for legal opinions,³²¹ was flawed.

Andersen’s Knowledge of 3% Equity Side Agreements

As described in the Third Interim Report, in numerous instances Enron officers, particularly Fastow and Glisan, provided assurances to holders of Equity Certificates that Enron would pay those certificates in full at maturity regardless of the value of the assets involved in the transactions.³²² These assurances were provided in numerous FAS 140 Transactions closed throughout 1999, 2000 and 2001.³²³ These assurances, in nearly all cases given verbally, meant that the certificates were not “at risk” as required by FAS 140. With one exception,³²⁴ Andersen accountants have indicated they were unaware of

³¹⁹ *Id.*

³²⁰ *Id.*

³²¹ In this context, legal opinions are merely audit evidence. If the financial assets had in fact been legally isolated from the Sponsor, the lack of an opinion would not be fatal to the accounting. As noted in Prior Reports, however, in numerous FAS 140 Transactions there had in fact been no legal isolation of assets from the Sponsor. *See* First Interim Report; Second Interim Report, Appendix M (FAS 140 Transactions).

³²² Third Interim Report, Appendix C (Role of Enron’s Officers), at 46-58.

³²³ *Id.*

³²⁴ The one instance was a situation, noted by Bass in his March 4, 2001 email, which Andersen believed was remedied after Andersen called it to Enron’s attention. Bass 3/4/01 Email, at 2.

these side arrangements.³²⁵ They have further stated that had they known of the arrangements, they would not have approved Enron's accounting for the transactions.³²⁶

A fact-finder required to consider whether Andersen purposely aided Enron officers in a breach of their duties in connection with the FAS 140 Transactions would weigh this arguably exculpatory evidence. Based on this evidence, a fact-finder could conclude that critical information regarding these transactions was purposely withheld from Andersen regarding these transactions. However, a fact-finder could also determine that, notwithstanding this evidence, Andersen had multiple other reasons to know that the FAS 140 Transactions violated GAAP and applicable disclosure rules.

Evidence further suggests that Andersen failed to perform audit procedures designed to detect the existence of these side agreements. Evidence indicates that Andersen accountants learned of at least one such arrangement.³²⁷ Upon learning of this arrangement, Andersen accountants made inquiry and were told that this provision had been removed from the transaction documents.³²⁸ In addition, in at least two other instances (regarding the Nigerian Barge and Merlin³²⁹ transactions), Andersen accountants became aware of evidence suggesting the existence of side arrangements inconsistent with the reported financial effect of that transaction.³³⁰

³²⁵ Scardino Interview; Cash Sworn Statement, at 139-42; Bass Sworn Statement, at 31-32; Neuhausen Interview; Stewart Interview; Grutzmacher Sworn Statement, at 106-07.

³²⁶ Scardino Interview; Stewart Interview; Bass Sworn Statement, at 44-46.

³²⁷ Cash Sworn Statement, at 139-42; Bass Sworn Statement, at 31-32.

³²⁸ Cash Sworn Statement, at 140.

³²⁹ In this transaction completed December 22, 1999, Enron securitized a \$353.4 million portfolio of 22 loan facilities that were owned by ENA and other Enron affiliates. *See* Second Interim Report, Annex 4 to Appendix L (Related Party Transactions).

³³⁰ Scardino Interview; Andersen Criminal Trial Testimony, at 3253-56 (testimony of Patricia Grutzmacher, May 21, 2002). Scardino inquired regarding the possible existence of a side arrangement to

Evidence thus indicates that Andersen accountants were aware of at least the possibility that side agreements inconsistent with Enron's accounting were being entered into between Enron officers and transaction parties. Bass, then a member of the PSG, suggested that confirmations be sent as a part of the audit of these types of transactions.³³¹ Despite Bass's suggestion, evidence indicates Andersen made no effort to confirm the terms of the transactions with the parties.

E. Andersen's Role in the Non-Economic Hedges

Rhythms

The Engagement Team approved Enron's accounting for the non-economic hedge of its Rhythms stock through the LJM1/Swap Sub structure³³² with the concurrence of the Practice Director and Concurring Partner, but without consulting the PSG.³³³ Enron recognized \$95 million of income in 1999 as a result of the Rhythms Hedge, representing 10.6% of its originally reported net income for the year.³³⁴ In the fall of 2001, Andersen realized it had made a mistake in its original analysis and Swap Sub should have been

"unwind" the sale of Nigerian barges after the close of 1999. She was told that no such agreement existed. Scardino Interview. As described in the Examiner's Third Interim Report, evidence suggests that such an agreement did in fact exist. See Third Interim Report, Appendix C (Role of Enron's Officers), at 52-53. Grutzmacher was suspicious that there may have been a side agreement protecting LJM's equity in the Merlin transaction. Andersen Criminal Trial Transcript, at 3252-53 (testimony of Patricia Grutzmacher, May 21, 2002). After she raised her suspicions, she was informed that the matter was discussed with Causey, who stated that LJM2's equity was paid off to avoid litigation. Andersen Criminal Trial Transcript, at 3255-56 (testimony of Patricia Grutzmacher, May 21, 2002).

³³¹ See Bass 3/4/01 Email.

³³² See Second Interim Report, Annex 2 to Appendix L (Related Party Transactions) for a complete discussion of this transaction.

³³³ Memorandum from Dave Duncan and Patty Grutzmacher, Andersen, to the Files, regarding LJM1 Partnership Structure and Project Martin, Aug. 1999 (the "Martin Memo") [AA000019665-AA000019669].

³³⁴ Enron 11/8/01 Form 8-K, Table 1.

consolidated with Enron because it did not satisfy the 3% Equity Test.³³⁵ Because Swap Sub was an SPE and Enron was the Sponsor of the SPE, Swap Sub should have been consolidated with Enron unless it had equity equal to at least 3% of the fair value of its assets. As illustrated below, Swap Sub's liabilities exceeded its assets by approximately \$23 million and thus it had no equity:

	Fair Value (in millions)
<u>Swap Sub Assets</u>	
Cash	\$3.75
3,114,356 shares of Enron common stock restricted for 4 years ³³⁶	<u>77.0</u> ³³⁷
Total Assets	80.75
<u>Swap Sub Liabilities</u>	
Put option obligation to Enron on 5,393,258 shares of Rhythms stock exercisable on June 29, 2004 at \$56.125/share	<u>(104.00)</u> ³³⁸
Equity	<u>(\$23.25)</u>

³³⁵ See Rhythms Restatement Document; see also Second Interim Report, Appendix B (Accounting Standards), at 26-39 (discussing the 3% Equity Test).

³³⁶ Transfer Restriction Letter, from Richard Causey, Enron, to Andrew S. Fastow, LJM Cayman, L.P. and LJM Swap Sub, L.P., June 30, 1999 [AB000065400-AB000065403]. Swap Sub was restricted from selling these shares for 4 years.

³³⁷ The closing market price of Enron common stock on June 30, 1999, was \$81.75, giving the shares (after adjustment for a 2-for-1 split) a total value of approximately \$127 million without restrictions. See Second Interim Report, Annex 2 to Appendix L (Related Party Transactions), at 4. PWC applied a discount of approximately 39% of the trading price, giving the restricted shares owned by Swap Sub a fair value of approximately \$77 million. See Project Martin Deal Memorandum from Global Finance Tax, undated, at 1 (regarding the LJM1/Rhythms Hedging Transaction) [AB000456678-AB000456680]; PWC Fairness Opinion Letter from Steven Stampf, PWC, to Ben Glisan, Jr., Vice President, Enron Capital Management, Aug. 17, 1999 (the "PWC Opinion Letter 1") [AB000468680-AB000468684]; PricewaterhouseCoopers, Project Martin – Fairness Analysis Presentation, Aug. 13, 1999 (the "PWC Martin Presentation") (draft) [AB000154939-AB000154979].

³³⁸ The \$104 million was Enron's valuation. See Document entitled "LJM/Rhythms Structure Accounting Entries," undated (produced by Enron) [AB000468781]. The PWC opinion valued the put obligation at between \$100-\$140 million. See PWC Martin Presentation.

Accordingly, the income that Enron recognized by marking to market the put that it received from Swap Sub had to be eliminated as a result of Swap Sub's required consolidation with Enron. Given the size of this error, restatement of Enron's 1999 financial statements was required.³³⁹

Although Andersen has acknowledged this mistake,³⁴⁰ because the Rhythms Hedge was the predecessor to the Raptor transactions and because evidence of Andersen's involvement in Enron's non-economic hedging transactions is relevant in determining whether a fact-finder could conclude that Andersen was negligent or aided and abetted the breaches of fiduciary duty by Enron's officers, it is appropriate to analyze the accounting and disclosure issues with the Rhythms Hedge in more detail.

³³⁹ See Enron 11/8/01 Form 8-K. Andersen and Enron apparently did not realize this error at the time of Enron's October 16, 2001 earnings release. See also Andersen Criminal Trial Testimony, at 2043 (testimony of David Duncan, May 15, 2002).

³⁴⁰ Andersen Criminal Trial Transcript, at 2034 (testimony of David Duncan, May 15, 2002). Andersen's audit memo on the transaction reveals two errors: (1) Andersen used the screen price for the Enron stock held by Swap Sub rather than the restricted stock value; and (2) Andersen stated wrongly that the entire \$15 million capital contribution to LJM1 was contributed to Swap Sub when in fact none of it was. See Martin Memo. The Examiner has seen no evidence indicating that these errors evidence anything other than less than careful analysis.

In the LJM1/Swap Sub transaction Enron transferred and received the following:

<u>Transferred</u>	<u>Range of Values (in millions)³⁴¹</u>
6,755,394 shares of Enron common stock ³⁴²	\$170 - 223
<u>Received</u>	
Limited recourse promissory note ³⁴³	64 - 64
Put option from Swap Sub on Rhythms stock at \$56.125/share	<u>100 - 140</u>
Total received	<u>164 - 204</u>
Excess of amount transferred over amount received	<u>\$ 6 - 19</u>

Based on this analysis indicating that the fair value of the items transferred was not materially greater than the fair value of the items received, PricewaterhouseCoopers ("PWC") rendered its opinion to Enron dated August 17, 1999, that as of June 30, 1999, "the consideration received by the Company is fair from a financial point of view."³⁴⁴ The PWC fairness opinion noted that it was based on "circumstances and conditions existing on June 30, 1999, and our opinion does not represent our view as to value of the consideration following the consummation of the Transactions."³⁴⁵ Regardless of whether reasonably equivalent values changed hands on June 30, 1999, *there was no possibility of economic benefit to Enron from this arrangement.* Moreover, it was inevitable on June 30, 1999, that Enron would ultimately receive less value from the

³⁴¹ See PWC Martin Presentation; Letter from PricewaterhouseCoopers to Ben F. Glisan, Jr., Vice President, Enron Capital Management, Aug. 17, 1999 (the "PWC Opinion Letter 2") [AB000468680-AB000468684].

³⁴² Of the 6,755,394 shares, 90,772 shares were sold for approximately \$3.75 million in cash which was contributed to Swap Sub, and 3,114,356 shares were contributed by LJM1 to Swap Sub. The remaining Enron shares stayed at LJM1 and thus provided no credit support for the put. See Second Interim Report, Annex 2 to Appendix L (Related Party Transactions), at 7-9.

³⁴³ This obligation remained with LJM1.

³⁴⁴ See PWC Opinion Letter 2, at 4.

³⁴⁵ See *id.* at 3.

transaction than it originally transferred, regardless of the relative movements in Rhythms stock and Enron stock. If the Rhythms stock increased in value above the \$56.125/share strike price, Enron would receive back only the \$64 million amount of its promissory note (plus interest) despite having transferred \$170 million to \$223 million worth of its restricted stock. If the Rhythms stock declined in value to zero, Enron would be entitled to \$303 million, but the only assets standing behind this promise were \$3.7 million of cash and 3,114,356 shares of restricted Enron common stock, which Enron had transferred to LJM1 originally.³⁴⁶

Absent the financial statement benefits, Enron would not have engaged in the transaction any more than an individual would purchase health insurance from an insurer whose only asset was a portion of the premium paid by the individual. The accounting and disclosure question posed by these circumstances is whether Enron could properly give accounting effect to a “hedge” that in all circumstances could result only in a net economic detriment to Enron. In other words, assuming that Swap Sub had the requisite 3% equity at risk, was it proper to give accounting effect to the transaction in accordance with its form even though the transaction had no economic substance other than the surrendering of value by Enron to LJM1?

While perhaps surprising to the users of financial statements, under GAAP there is no over-arching requirement that a transaction be accounted for in accordance with its substance if the applicable GAAP rule would require a different accounting treatment.³⁴⁷

³⁴⁶ As noted above, the cash came from the sale of Enron shares that Enron transferred on June 30, 1999.

³⁴⁷ The Examiner finds no over-arching concept of business substance in the GAAP hierarchy of SAS 69. See SAS 69 (AU § 411). In some particular GAAP rules, there are provisions directed toward the concept of business purpose. See, e.g., *Miscellaneous: Determining Whether Separate Transactions Should Be Viewed as a Unit*, Derivatives Implementation Group Issue No. K1 (Financial Accounting Standards Bd.

As previously discussed, while the Financial Accounting Concepts contain notions suggesting that accounting should faithfully represent the underlying substance of transactions, these concepts are not within the GAAP hierarchy. Even assuming, however, that the transaction could be accounted for in accordance with its form rather than its substance, and even assuming that Swap Sub had been properly capitalized so as to avoid consolidation with Enron, Andersen nevertheless failed to insist that Enron make the proper GAAP disclosures and permitted financial presentation that was materially misleading. Andersen's memorandum on the Rhythms Hedge provides as follows:³⁴⁸

We informed the client that since the GP of LJM is a related party and transactions are executed with Enron or its affiliates, certain disclosures would be required pursuant to FAS #57. The existence of LJM must be disclosed, including the related party that serves as the GP of the partnership, as well as the purpose of the entity. The nature of transactions executed with Enron and Enron affiliates must also be disclosed as well as any associated gains or losses. We will review Enron's public filings to ensure all appropriate disclosure requirements are met.

The FAS 57 disclosures in Note 16 of Enron's 1999 financial statements with respect to the Rhythms hedge are as follows:³⁴⁹

In June 1999, Enron entered into a series of transactions involving a third party and LJM Cayman, L.P. (LJM). LJM is a private investment company which engages in acquiring or investing in primarily energy-

2000) ("DIG Issue K1"); *see also* DIG Issue F6. As acknowledged by the FASB, in the U.S. rules-based approach to GAAP, as opposed to a principles-based approval under International Accounting Standards, the application of broad concepts are subject to numerous exceptions in specific rules and interpretations. See Proposal, Principles-Based Approach to U.S. Standard Setting (FASB) Oct. 21, 2002, *available at* <http://www.fasb.org/news/nr102102.shtml>. Accountants are required to discuss with audit committees "items that have a significant impact on the representational faithfulness . . . of the accounting information included in financial statements, which include related disclosures." *See* SAS 90, at § 1 (amending SAS 61, at § 11) (AU § 380.11).

³⁴⁸ *See* Martin Memo.

³⁴⁹ Enron 1999 Annual Report, at 59. This disclosure is substantially identical to the disclosure in Note 8 to Enron's financial statements filed with its second quarter 1999 Form 10-Q. Enron Form 10-Q filed with the SEC for the Quarter ended June 30, 1999 (the "Enron 6/30/99 Form 10-Q").

related investments. A senior officer of Enron is the managing member of LJM's general partner. The effect of the transactions was (i) Enron and the third party amended certain forward contracts to purchase shares of Enron common stock, resulting in Enron having forward contracts to purchase Enron common shares at the market price on that day, (ii) LJM received 6.8 million shares of Enron common stock subject to certain restrictions and (iii) Enron received a note receivable and certain financial instruments hedging an investment held by Enron. Enron recorded the assets received and equity issued at estimated fair value. In connection with the transactions, LJM agreed that the Enron officer would have no pecuniary interest in such Enron common shares and would be restricted from voting on matters related to such shares. LJM repaid the note receivable in December 1999.

FAS 57 requires that financial statements include disclosures of material related party transactions:

These disclosures shall include:³⁵⁰

- a. the nature of the relationship(s) involved;
- b. a description of the transactions, . . . for each of the periods for which income statements are presented, and such other information deemed necessary to an understanding of the effects of the transactions on the financial statements;
- c. the dollar amount of transactions for each period for which income statements are presented and . . . ;
- d. amounts due from or to related parties as of the date of each balance sheet presented and, if not otherwise apparent, the terms and manner of settlement.

The Rhythms Hedge disclosure in footnote 16 of Enron's 1999 financial statements (and in footnote 8 to its June 30, 1999 interim statements) violated the GAAP disclosure provisions of FAS 57 quoted above and did not comport with the conclusions in Andersen's audit memorandum.³⁵¹ The disclosures do not describe the non-economic

³⁵⁰ Related Party Disclosures, Statement of Financial Accounting Standards No. 57 (Financial Accounting Standards Bd. 1982) ("FAS 57").

³⁵¹ Enron 1999 Annual Report, at 59; Enron 6/30/99 Form 10-Q, at 13.

nature of the hedging transaction pursuant to which Enron recognized \$95 million of income, much less describe that such income did not represent any possible economic benefit to Enron. The disclosures do not reveal that the hedging instrument received by Enron was from a subsidiary of LJM1 whose only assets were \$3.75 million in cash plus about half of the stock transferred. Such disclosures are necessary to understand the effects of the transactions, the dollar amount of the transactions and the amounts due, and are thus required by FAS 57.³⁵² Andersen was thoroughly aware of the facts of the transaction³⁵³ and thus knew or should have known that the transaction had no economic substance. Although it recognized that the nature of the transactions was required to be disclosed pursuant to FAS 57, Andersen reviewed the related party footnote and concluded that the financial statements were in accordance with GAAP in all material respects. Moreover, although Andersen identified related party transactions as an area of accounting and disclosure risk in its SAS 61 presentation to the Audit Committee on February 7, 2000, and although Andersen knew the Board had approved the related party aspect of the transaction,³⁵⁴ Andersen did not determine that the Audit Committee was informed about the magnitude or effects of this transaction.

³⁵² As discussed below, both Fastow and LJM1 were "related parties" to Enron.

³⁵³ See Martin Memo.

³⁵⁴ See Report, Appendix D (Roles of Lay, Skilling and Outside Directors).

*Raptor Hedges*³⁵⁵

Just as in the case of Enron's non-economic hedge of its Rhythms stock, the Engagement Team approved Enron's non-economic hedges of various Enron merchant investments and assets through the LJM2/Raptor structure with the concurrence of the Practice Director and Concurring Partner, but without the advance concurrence of the PSG on many of the critical issues.³⁵⁶ The LJM2/Raptor structure was similar to the LJM1/Swap Sub structure. In Raptors 1, 2 and 4, Enron capitalized a counterparty with Enron's stock and entered into hedging transactions with the counterparty designed to offset, on Enron's income statement, the declines in mark-to-market and fair value assets on Enron's income statement.³⁵⁷ The Raptor hedges were also like the Rhythms Hedge because at the time they were entered into there was no possibility of any economic benefit to Enron and it was inevitable that Enron would suffer economic detriment. Unlike Swap Sub, when the Raptor counterparties were initially capitalized, the fair value of their assets exceeded the fair value of their liabilities and they had equity from a third

³⁵⁵ The Examiner has reviewed numerous Andersen memos on the Raptor transactions including draft memos, initialed memos, initialed amended memos, uninitialed memos, and memos with handwritten comments. In order to assess this evidence, the Examiner has summarized the principal Raptor memos in Annex 1 to this Appendix, which identifies 15 separate Raptor memos, four of which amend earlier ones, and all of which were initialed by their authors (except as indicated in Annex 1). The memos are listed in chronological order of their original date. The Annex sets forth the title, the Engagement Team authors, the issues addressed, the conclusions on the issues, and the PSG and Andersen risk management accountants consulted on each issue. For ease of reference, the Raptor memos referred to in this portion of this Appendix are cross-referenced to by the number assigned to them on Annex 1. Unless otherwise indicated, all references to Andersen memoranda concerning the Raptors in the proceeding discussion are to memoranda that have been initialed by their authors.

³⁵⁶ See Annex 1 to this Appendix. As indicated above, evidence suggests that Andersen may have been unaware that the Raptor entities were prohibited from commencing their hedging activities until a return of capital was paid to LJM2. See, e.g., Raptor Memo #3. However, as discussed previously, evidence indicates that Andersen was aware that the Raptors had no economic substance.

³⁵⁷ Raptor 3 was capitalized also with equity interests in the NewPower Company. See First Interim Report for a discussion of how Raptor 4 was used in connection with other Enron accounting techniques to manipulate Enron's 2000 financial statements.